

CAPE Economics Practice Bank

500 original machine-markable items

Syllabus CXC A20/U2/26, for examinations from May–June 2027

Units 1 and 2 only (six modules). This syllabus has no Unit 3.

These questions were written for teachers to load into a quiz tool or to print. They are original practice, in the style of a Paper 01 multiple-choice paper, not copies of CXC items. Each item has one best answer worth one mark. Calculation items name the method in the stem. Names of places and all figures are fictional.

Unit 1: Microeconomics

Module 1: Methodology: Demand and Supply

CE-001 (Easy, knowledge) Central Problem of Economics

A good is scarce, in the economic sense, when

- A. everyone already has as much as they want
- B. more of it is wanted than is freely available at a zero price
- C. it cannot be produced by labour
- D. it has no opportunity cost

CE-002 (Easy, knowledge) Central Problem of Economics

A production possibility frontier shows

- A. the prices consumers are willing to pay
- B. only the goods that are imported
- C. the maximum combinations of two goods that can be produced when resources are fully and efficiently employed
- D. combinations that are always inside the country's budget

CE-003 (Easy, knowledge) Central Problem of Economics

Opportunity cost is

- A. the sum of money spent on every alternative
- B. a cost that is always zero in a mixed economy
- C. the next best alternative given up when a choice is made
- D. the total output of the economy

CE-004 (Easy, knowledge) Central Problem of Economics

The three basic choices for an economy are

- A. what to consume, how to save, and for whom to lend abroad only
- B. what to tax, how to vote, and for whom to export only
- C. what the central bank prints, how banks advertise, and for whom interest is paid
- D. what to produce, how to produce, and for whom to produce

CE-005 (Easy, knowledge) Central Problem of Economics

Which contrast between microeconomics and macroeconomics is correct?

- A. Microeconomics studies inflation only; macroeconomics studies one firm only
- B. Macroeconomics ignores national income and studies only one household
- C. Microeconomics studies individual markets; macroeconomics studies the economy as a whole
- D. Both study only the foreign-exchange market

CE-006 (Easy, knowledge) Central Problem of Economics

Which statement best defines economics as it is used in this syllabus?

- A. The study of how banks set every price in a modern economy
- B. The study of unlimited resources and limited human wants
- C. The recording of government tax revenue only
- D. The study of how scarce resources are allocated among competing uses

CE-007 (Medium, application) Central Problem of Economics

A point inside the production possibility frontier of Westford indicates

- A. unemployment or inefficient use of existing resources
- B. a combination that is impossible with current resources
- C. productive efficiency
- D. an improvement in technology

CE-008 (Medium, application) Central Problem of Economics

A point outside the current production possibility frontier is

- A. the equilibrium of demand and supply
- B. proof that the economy is in recession
- C. always preferred by consumers to a point on the frontier
- D. unattainable with present resources and technology

CE-009 (Easy, application) Central Problem of Economics

Air at the roadside in Port Clare is freely available and nobody has to give anything up to breathe it. In economics this air is best treated as

- A. a public good that must be rationed by price
- B. a factor of production called enterprise
- C. an economic good
- D. a free good

CE-010 (Medium, application) Central Problem of Economics

The government of St Brice spends a given budget on a new clinic and therefore postpones a harbour repair. The opportunity cost of the clinic is

- A. the wages of nurses in other countries
- B. the sum of every project the government has ever discussed

- C. zero, because the clinic is useful
- D. the harbour repair that was given up

CE-011 (Easy, application) Central Problem of Economics

Which statement is normative?

- A. Harbour Cay produced 20 000 tonnes of fish last year in this classroom example
- B. The government of Harbour Cay ought to subsidise school meals
- C. The marginal propensity to consume is the change in consumption divided by the change in income
- D. A price ceiling set below equilibrium causes a shortage

CE-012 (Medium, application) Central Problem of Economics

Which statement is positive?

- A. The government must always prefer equality to growth
- B. The minimum wage is unfair and should be abolished
- C. Tourism is a better industry than farming
- D. A rise in the minimum wage in a competitive labour market reduces the quantity of labour demanded

CE-013 (Medium, calculation) Central Problem of Economics

A fully employed economy in Maren Island can produce the combinations A (0 tonnes of fish and 40 tonnes of yams) and B (8 tonnes of fish and 24 tonnes of yams). Moving from A to B, the opportunity cost of one extra tonne of fish is

- A. 16 tonnes of yams
- B. 8 tonnes of yams
- C. 2 tonnes of yams
- D. 0.5 tonnes of yams

CE-014 (Medium, calculation) Central Problem of Economics

A fully employed economy in Port Clare can produce the combinations A (10 tonnes of cocoa and 50 tonnes of breadfruit) and B (20 tonnes of cocoa and 30 tonnes of breadfruit). Moving from A to B, the opportunity cost of one extra tonne of cocoa is

- A. 2 tonnes of breadfruit
- B. 10 tonnes of breadfruit
- C. 0.5 tonnes of breadfruit
- D. 20 tonnes of breadfruit

CE-015 (Medium, calculation) Central Problem of Economics

A fully employed economy in St Brice can produce the combinations A (0 tonnes of cocoa and 60 tonnes of breadfruit) and B (10 tonnes of cocoa and 40 tonnes of breadfruit). Moving from A to B, the opportunity cost of one extra tonne of cocoa is

- A. 10 tonnes of breadfruit
- B. 20 tonnes of breadfruit
- C. 2 tonnes of breadfruit

D. 0.5 tonnes of breadfruit

CE-016 (Easy, knowledge) Market Equilibrium

A market is in equilibrium when

- A. producers hold unwanted stocks that keep growing
- B. quantity demanded equals quantity supplied
- C. the government fixes a price below the market-clearing price
- D. price is zero

CE-017 (Hard, knowledge) Market Equilibrium

A specific tax is levied on producers. Which statement is correct?

- A. The tax shifts demand to the right
- B. Buyers always pay the entire tax, whatever the elasticities
- C. Sellers always pay the entire tax, whatever the elasticities
- D. The price buyers pay rises and the price sellers keep falls, and the more inelastic side of the market bears more of the tax

CE-018 (Medium, application) Market Equilibrium

A minimum price is set above equilibrium. The result is

- A. no change, because a floor above equilibrium does not bind
- B. a surplus
- C. a shortage
- D. an increase in quantity demanded above quantity supplied

CE-019 (Medium, application) Market Equilibrium

A price ceiling is set above the equilibrium price. The ceiling

- A. is non-binding and the market stays at the equilibrium price
- B. causes a surplus
- C. forces the price down to zero
- D. causes a shortage

CE-020 (Medium, application) Market Equilibrium

A price ceiling is set below the equilibrium price. The result is

- A. a quantity traded equal to quantity demanded
- B. a surplus
- C. a shortage, and the quantity traded is the quantity supplied
- D. no effect, because a ceiling below equilibrium is non-binding

CE-021 (Easy, application) Market Equilibrium

At the current price there is a shortage. In a free market

- A. price falls until a larger shortage appears
- B. price rises until quantity demanded equals quantity supplied

- C. suppliers destroy the good
- D. demand must shift left by law

CE-022 (Easy, application) Market Equilibrium

At the current price, quantity supplied exceeds quantity demanded. In a free market the price will

- A. stay the same because a surplus is an equilibrium
- B. fall, which increases quantity supplied
- C. rise, which increases the surplus
- D. fall, which reduces the surplus

CE-023 (Hard, application) Market Equilibrium

Both the demand curve and the supply curve of cement shift right. Which conclusion is certain?

- A. Equilibrium price must rise
- B. Equilibrium price must fall
- C. Equilibrium quantity must fall
- D. Equilibrium quantity rises, but the change in price is uncertain

CE-024 (Hard, application) Market Equilibrium

Demand for a medicine is perfectly inelastic and supply slopes upward. A specific tax on producers is borne

- A. entirely by buyers
- B. equally, because perfect inelasticity means a 50-50 split
- C. entirely by sellers
- D. by neither side, because the price cannot change

CE-025 (Medium, application) Market Equilibrium

Demand for cocoa shifts right and the supply curve does not move. Equilibrium

- A. price rises and quantity rises
- B. price rises and quantity falls
- C. price stays the same and quantity falls
- D. price falls and quantity falls

CE-026 (Medium, application) Market Equilibrium

Supply of tomatoes shifts right because of a good harvest. Demand does not change. Equilibrium

- A. price and quantity both fall
- B. price rises and quantity falls
- C. price falls and quantity rises
- D. price rises and quantity rises

CE-027 (Medium, calculation) Market Equilibrium

A linear demand curve in Maren Island is $P = 80 - 2Q$. At a price of EC\$20, quantity demanded is 30. Consumer surplus is the triangle $\frac{1}{2} \times (80 - 20) \times 30$. Consumer surplus equals

- A. EC\$1800
- B. EC\$2400
- C. EC\$450
- D. EC\$900

CE-028 (Medium, calculation) Market Equilibrium

A linear demand curve in Port Clare is $P = 40 - Q$. At a price of EC\$10, quantity demanded is 30. Consumer surplus is the triangle $\frac{1}{2} \times (40 - 10) \times 30$. Consumer surplus equals

- A. EC\$225
- B. EC\$1200
- C. EC\$450
- D. EC\$900

CE-029 (Medium, calculation) Market Equilibrium

A linear demand curve in St Brice is $P = 50 - 0.5Q$. At a price of EC\$20, quantity demanded is 60. Consumer surplus is the triangle $\frac{1}{2} \times (50 - 20) \times 60$. Consumer surplus equals

- A. EC\$3000
- B. EC\$900
- C. EC\$1800
- D. EC\$450

CE-030 (Hard, calculation) Market Equilibrium

Demand for cooking gas in St Brice is $Q_d = 100 - 2P$ and supply before tax is $Q_s = 20 + 2P$. A specific tax of EC\$4 per unit is levied on producers, so the supply relation becomes $Q_s = 20 + 2(P - 4)$, where P is the price buyers pay. The price buyers pay at the new equilibrium is

- A. EC\$20
- B. EC\$24
- C. EC\$22
- D. EC\$18

CE-031 (Hard, calculation) Market Equilibrium

Demand for flour in Harbour Cay is $Q_d = 200 - 4P$ and supply before tax is $Q_s = 40 + 4P$. A specific tax of EC\$4 per unit is levied on producers, so the supply relation becomes $Q_s = 40 + 4(P - 4)$, where P is the price buyers pay. The price buyers pay at the new equilibrium is

- A. EC\$22
- B. EC\$18
- C. EC\$24
- D. EC\$20

CE-032 (Hard, calculation) Market Equilibrium

Demand for juice in Golden Vale is $Q_d = 150 - 5P$ and supply before tax is $Q_s = 30 + 5P$. A specific tax of EC\$4 per unit is levied on producers, so the supply relation becomes $Q_s = 30 + 5(P - 4)$, where P is the price buyers pay. The price sellers receive, after paying the tax, is

- A. EC\$10
- B. EC\$14
- C. EC\$6
- D. EC\$12

CE-033 (Hard, calculation) Market Equilibrium

Demand for nails in Westford is $Q_d = 90 - 2P$ and supply before tax is $Q_s = 10 + 2P$. A specific tax of EC\$2 per unit is levied on producers, so the supply relation becomes $Q_s = 10 + 2(P - 2)$, where P is the price buyers pay. Tax revenue at the new equilibrium is

- A. EC\$42
- B. EC\$100
- C. EC\$96
- D. EC\$1008

CE-034 (Hard, calculation) Market Equilibrium

Demand for paint in Maren Island is $Q_d = 80 - 1P$ and supply before tax is $Q_s = 20 + 1P$. A specific tax of EC\$4 per unit is levied on producers, so the supply relation becomes $Q_s = 20 + 1(P - 4)$, where P is the price buyers pay. The price sellers receive, after paying the tax, is

- A. EC\$28
- B. EC\$32
- C. EC\$30
- D. EC\$24

CE-035 (Hard, calculation) Market Equilibrium

Demand for soft drinks in Port Clare is $Q_d = 120 - 3P$ and supply before tax is $Q_s = 30 + 3P$. A specific tax of EC\$6 per unit is levied on producers, so the supply relation becomes $Q_s = 30 + 3(P - 6)$, where P is the price buyers pay. Tax revenue at the new equilibrium is

- A. EC\$108
- B. EC\$450
- C. EC\$1188
- D. EC\$396

CE-036 (Medium, calculation) Market Equilibrium

In the breadfruit market in St Brice, quantity demanded is $100 - 2P$ and quantity supplied is $20 + 2P$, where P is the price in EC dollars. The equilibrium price is

- A. EC\$22
- B. 60 units
- C. EC\$20
- D. EC\$60

CE-037 (Medium, calculation) Market Equilibrium

In the cocoa market in Port Clare, quantity demanded is $200 - 4P$ and quantity supplied is $20 + 5P$, where P is the price in EC dollars. The equilibrium quantity is

- A. 180 units
- B. 120 units
- C. 20 units
- D. EC\$20

CE-038 (Medium, calculation) Market Equilibrium

In the fish market in Maren Island, quantity demanded is $80 - 1P$ and quantity supplied is $20 + 1P$, where P is the price in EC dollars. The equilibrium price is

- A. EC\$50
- B. 50 units
- C. EC\$31
- D. EC\$30

CE-039 (Medium, calculation) Market Equilibrium

In the uniforms market in Westford, quantity demanded is $500 - 5P$ and quantity supplied is $100 + 5P$, where P is the price in EC dollars. The equilibrium price is

- A. EC\$40
- B. 300 units
- C. EC\$45
- D. EC\$300

CE-040 (Medium, calculation) Market Equilibrium

In the water market in Golden Vale, quantity demanded is $90 - 2P$ and quantity supplied is $10 + 2P$, where P is the price in EC dollars. The equilibrium quantity is

- A. 80 units
- B. EC\$20
- C. 50 units
- D. 20 units

CE-041 (Medium, calculation) Market Equilibrium

In the yams market in Harbour Cay, quantity demanded is $120 - 3P$ and quantity supplied is $30 + 3P$, where P is the price in EC dollars. The equilibrium quantity is

- A. 75 units
- B. 90 units
- C. 15 units
- D. EC\$15

CE-042 (Medium, knowledge) Theory of Consumer Demand

A limitation of cardinal marginal-utility theory is that

- A. satisfaction cannot in practice be measured in objective utility units
- B. it denies that consumers respond to prices
- C. it assumes diminishing marginal utility, which no textbook uses

D. it cannot be stated as an equation

CE-043 (Easy, knowledge) Theory of Consumer Demand

An indifference curve shows

- A. combinations the consumer cannot afford
- B. the market demand of all consumers added together
- C. combinations of two goods that give the consumer the same satisfaction
- D. the cost of producing two goods

CE-044 (Medium, knowledge) Theory of Consumer Demand

Consumer equilibrium in cardinal utility theory occurs when

- A. marginal utility is rising for every good
- B. total utility is zero
- C. the consumer buys only the cheapest good, whatever its marginal utility
- D. the marginal utility per dollar is equal for every good bought, and income is spent

CE-045 (Medium, knowledge) Theory of Consumer Demand

Marginal utility is

- A. the extra satisfaction from consuming one more unit
- B. always rising as more units are consumed
- C. satisfaction from all units consumed, added together
- D. total utility divided by price only when price is zero

CE-046 (Medium, knowledge) Theory of Consumer Demand

Ordinal consumer equilibrium is at the point where

- A. two indifference curves cross the budget line at different slopes
- B. marginal utility is negative
- C. the budget line is tangent to an indifference curve
- D. the consumer is on the lowest indifference curve that cuts the budget line twice

CE-047 (Medium, knowledge) Theory of Consumer Demand

The law of diminishing marginal utility states that, beyond some point,

- A. marginal utility rises with every extra unit
- B. extra units of a good add less satisfaction than the previous unit, other things equal
- C. consumers always prefer higher prices
- D. total utility falls as soon as consumption begins

CE-048 (Medium, knowledge) Theory of Consumer Demand

The slope of the budget line, in absolute value, equals

- A. marginal utility of income
- B. the price of the good on the horizontal axis divided by the price of the good on the vertical axis

- C. money income only
- D. the ratio of quantities consumed

CE-049 (Easy, knowledge) Theory of Consumer Demand

Utility means

- A. the total cost of production
- B. the wage of the seller
- C. the price printed on the good
- D. the satisfaction a consumer obtains from a good or service

CE-050 (Medium, knowledge) Theory of Consumer Demand

Which property of a standard indifference map is correct?

- A. Every curve is concave to the origin
- B. Curves further from the origin represent higher satisfaction, and two curves do not cross
- C. Curves slope upwards because both goods are desirable
- D. Curves cross at the consumer's equilibrium

CE-051 (Hard, application) Theory of Consumer Demand

A consumer buys goods A and B. The marginal utility of A divided by its price is greater than the marginal utility of B divided by its price. To move toward equilibrium the consumer should

- A. buy more B and less A
- B. buy more A and less B
- C. stop buying A because its marginal utility is too high
- D. buy more of both in the same proportion

CE-052 (Medium, application) Theory of Consumer Demand

Total utility is still rising, but at a decreasing rate. Marginal utility must be

- A. zero
- B. negative
- C. positive and falling
- D. rising

CE-053 (Hard, calculation) Theory of Consumer Demand

In Golden Vale, the price of painted tiles rises from EC\$16 to EC\$20 and quantity demanded changes from 125 to 75. Total revenue changes from EC\$2000 to EC\$1500. Measured by the simple percentage method, demand over this range is

- A. price inelastic, and the price change has the opposite total-revenue effect from the one observed
- B. unit elastic, so total revenue must stay exactly the same
- C. perfectly inelastic, so quantity demanded does not change
- D. price elastic, and the higher price reduces total revenue

CE-054 (Medium, calculation) Theory of Consumer Demand

In Harbour Cay, household income changes from EC\$2500 to EC\$3000 a month and quantity demanded of second-hand phones changes from 60 to 48. Using $YED = \text{percentage change in quantity demanded} / \text{percentage change in income}$, the income elasticity of demand is

- A. 0
- B. 1
- C. -1
- D. -2

CE-055 (Medium, calculation) Theory of Consumer Demand

In Harbour Cay, the price of breadfruit rises from EC\$5 to EC\$6 and quantity demanded falls from 100 to 90. Using the simple percentage method, not the midpoint method, $PED = |\text{percentage change in quantity demanded}| / |\text{percentage change in price}|$. The price elasticity of demand is

- A. 0.5
- B. 0.58
- C. 10
- D. 2

CE-056 (Medium, calculation) Theory of Consumer Demand

In Harbour Cay, the price of petrol changes from EC\$40 to EC\$32 and quantity demanded of cars changes from 90 to 108. Using $XED = \text{percentage change in quantity demanded of cars} / \text{percentage change in the price of petrol}$, the cross elasticity is

- A. 0 (unrelated)
- B. -1 (complements)
- C. 0.5 (substitutes)
- D. 1 (substitutes)

CE-057 (Medium, calculation) Theory of Consumer Demand

In Maren Island, household income changes from EC\$5000 to EC\$6000 a month and quantity demanded of weekend villa stays changes from 20 to 30. Using $YED = \text{percentage change in quantity demanded} / \text{percentage change in income}$, the income elasticity of demand is

- A. 3.5
- B. 0.4
- C. -2.5
- D. 2.5

CE-058 (Medium, calculation) Theory of Consumer Demand

In Maren Island, the price of cocoa rises from EC\$40 to EC\$50 and quantity demanded falls from 200 to 100. Using the simple percentage method, not the midpoint method, $PED = |\text{percentage change in quantity demanded}| / |\text{percentage change in price}|$. The price elasticity of demand is

- A. 3
- B. 2

- C. 0.5
- D. 10

CE-059 (Medium, calculation) Theory of Consumer Demand

In Maren Island, the price of margarine changes from EC\$5 to EC\$6 and quantity demanded of butter changes from 50 to 55. Using $XED = \text{percentage change in quantity demanded of butter} / \text{percentage change in the price of margarine}$, the cross elasticity is

- A. 1 (substitutes)
- B. 0.5 (substitutes)
- C. -1 (complements)
- D. 0 (unrelated)

CE-060 (Medium, calculation) Theory of Consumer Demand

In Port Clare, household income changes from EC\$1000 to EC\$1100 a month and quantity demanded of instant noodles changes from 80 to 76. Using $YED = \text{percentage change in quantity demanded} / \text{percentage change in income}$, the income elasticity of demand is

- A. -1.5
- B. -0.5
- C. 0.5
- D. -2

CE-061 (Hard, calculation) Theory of Consumer Demand

In Port Clare, the price of bus fares rises from EC\$20 to EC\$24 and quantity demanded changes from 90 to 81. Total revenue changes from EC\$1800 to EC\$1944. Measured by the simple percentage method, demand over this range is

- A. price inelastic, and the higher price increases total revenue
- B. price inelastic, and the price change has the opposite total-revenue effect from the one observed
- C. perfectly inelastic, so quantity demanded does not change
- D. unit elastic, so total revenue must stay exactly the same

CE-062 (Medium, calculation) Theory of Consumer Demand

In Port Clare, the price of ferry tickets rises from EC\$20 to EC\$25 and quantity demanded falls from 80 to 60. Using the simple percentage method, not the midpoint method, $PED = |\text{percentage change in quantity demanded}| / |\text{percentage change in price}|$. The price elasticity of demand is

- A. 1
- B. 2
- C. 4
- D. 1.29

CE-063 (Medium, calculation) Theory of Consumer Demand

In Port Clare, the price of ink cartridges changes from EC\$20 to EC\$25 and quantity demanded of printers changes from 80 to 60. Using $XED = \text{percentage change in quantity demanded of printers} / \text{percentage change in the price of ink cartridges}$, the cross elasticity is

- A. 0.5 (substitutes)
- B. 1 (substitutes)
- C. -1 (complements)
- D. 0 (unrelated)

CE-064 (Medium, calculation) Theory of Consumer Demand

In St Brice, household income changes from EC\$2000 to EC\$2400 a month and quantity demanded of restaurant meals changes from 40 to 52. Using $YED = \text{percentage change in quantity demanded} / \text{percentage change in income}$, the income elasticity of demand is

- A. 1.5
- B. 0.67
- C. 2.5
- D. -1.5

CE-065 (Medium, calculation) Theory of Consumer Demand

In St Brice, the price of bottled spring water rises from EC\$10 to EC\$12 and quantity demanded falls from 100 to 80. Using the simple percentage method, not the midpoint method, $PED = |\text{percentage change in quantity demanded}| / |\text{percentage change in price}|$. The price elasticity of demand is

- A. 1.22
- B. 2
- C. 10
- D. 1

CE-066 (Medium, calculation) Theory of Consumer Demand

In St Brice, the price of coffee changes from EC\$10 to EC\$12 and quantity demanded of tea changes from 100 to 140. Using $XED = \text{percentage change in quantity demanded of tea} / \text{percentage change in the price of coffee}$, the cross elasticity is

- A. 2 (substitutes)
- B. 0 (unrelated)
- C. -1 (complements)
- D. 1 (substitutes)

CE-067 (Hard, calculation) Theory of Consumer Demand

In St Brice, the price of craft baskets rises from EC\$10 to EC\$14 and quantity demanded changes from 100 to 50. Total revenue changes from EC\$1000 to EC\$700. Measured by the simple percentage method, demand over this range is

- A. perfectly inelastic, so quantity demanded does not change
- B. price elastic, and the higher price reduces total revenue
- C. unit elastic, so total revenue must stay exactly the same
- D. price inelastic, and the price change has the opposite total-revenue effect from the one observed

CE-068 (Hard, calculation) Theory of Consumer Demand

In Westford, the price of room nights falls from EC\$30 to EC\$24 and quantity demanded changes from 40 to 56. Total revenue changes from EC\$1200 to EC\$1344. Measured by the simple percentage method, demand over this range is

- A. price elastic, and the lower price increases total revenue
- B. price inelastic, and the price change has the opposite total-revenue effect from the one observed
- C. perfectly inelastic, so quantity demanded does not change
- D. unit elastic, so total revenue must stay exactly the same

CE-069 (Medium, knowledge) Theory of Supply

In the short run, the supply curve of a perfectly competitive firm is

- A. its marginal-cost curve above average variable cost
- B. its average-fixed-cost curve
- C. a vertical line at zero output whatever the price
- D. its marginal-cost curve below average variable cost

CE-070 (Medium, knowledge) Theory of Supply

Normal profit is

- A. the same thing as supernormal profit
- B. a loss
- C. the minimum return that keeps the entrepreneur in the industry, and it counts as zero economic profit
- D. any revenue above total cost, including opportunity cost

CE-071 (Medium, knowledge) Theory of Supply

Producer surplus is

- A. the area above the demand curve
- B. always equal to consumer surplus
- C. the amount sellers receive above the minimum they would have accepted
- D. total revenue minus wages only

CE-072 (Medium, knowledge) Theory of Supply

The law of diminishing returns applies when

- A. average cost falls as the scale of the firm increases
- B. at least one factor is fixed and extra units of a variable factor eventually add less output
- C. demand for the product is inelastic
- D. all factors are variable in the long run

CE-073 (Easy, knowledge) Theory of Supply

Which matching of a factor of production to its reward is correct?

- A. Enterprise earns interest and capital earns profit only

- B. Land earns rent, labour earns wages, capital earns interest, and enterprise earns profit
- C. Capital earns rent and land earns profit only
- D. Land earns wages and labour earns rent

CE-074 (Medium, application) Theory of Supply

A firm reports a positive accounting profit, but that profit is only just enough to cover the entrepreneur's next best earnings. Economic profit is

- A. equal to the accounting profit
- B. zero
- C. negative and larger than the accounting profit in magnitude
- D. infinite

CE-075 (Medium, application) Theory of Supply

A firm should shut down in the short run if price is

- A. equal to marginal cost and above average variable cost
- B. below average total cost but above average variable cost
- C. equal to average total cost
- D. below average variable cost

CE-076 (Medium, application) Theory of Supply

A per-unit subsidy is paid to producers of solar lamps. The supply curve

- A. does not move, because subsidies affect demand only
- B. shifts left
- C. becomes perfectly inelastic
- D. shifts right, or downward by the amount of the subsidy

CE-077 (Easy, application) Theory of Supply

A rise in the market price of fish, with cost conditions unchanged, causes

- A. a fall in quantity supplied
- B. a leftward shift of demand
- C. a movement up along the supply curve
- D. a rightward shift of supply

CE-078 (Hard, application) Theory of Supply

Marginal product is positive but falling. Total product is

- A. rising at a decreasing rate
- B. falling
- C. negative
- D. at its maximum already

CE-079 (Easy, application) Theory of Supply

Which change shifts the supply curve of yams to the left?

- A. A good harvest caused by better weather
- B. A fall in the price of fertiliser
- C. A rise in the wages of farm workers, with no change in yam technology
- D. An improvement in farm technology

CE-080 (Medium, calculation) Theory of Supply

A linear supply curve in Golden Vale is $P = 4 + 2Q$. At a price of EC\$24, quantity supplied is 10. Producer surplus is the triangle $\frac{1}{2} \times (24 - 4) \times 10$. Producer surplus equals

- A. EC\$200
- B. EC\$50
- C. EC\$100
- D. EC\$240

CE-081 (Medium, calculation) Theory of Supply

A linear supply curve in Harbour Cay is $P = 10 + Q$. At a price of EC\$30, quantity supplied is 20. Producer surplus is the triangle $\frac{1}{2} \times (30 - 10) \times 20$. Producer surplus equals

- A. EC\$200
- B. EC\$100
- C. EC\$400
- D. EC\$600

CE-082 (Medium, calculation) Theory of Supply

A linear supply curve in Westford is $P = 6 + 0.5Q$. At a price of EC\$16, quantity supplied is 20. Producer surplus is the triangle $\frac{1}{2} \times (16 - 6) \times 20$. Producer surplus equals

- A. EC\$320
- B. EC\$100
- C. EC\$200
- D. EC\$50

CE-083 (Medium, calculation) Theory of Supply

Producers of clinic visits in Maren Island see price rises from EC\$40 to EC\$50. Quantity supplied rises, from 200 to 220. Using $PES = |\text{percentage change in quantity supplied}| / |\text{percentage change in price}|$, the price elasticity of supply is

- A. 2
- B. 0.4
- C. 2.5
- D. 1.4

CE-084 (Medium, calculation) Theory of Supply

Producers of sand in Port Clare see price rises from EC\$20 to EC\$25. Quantity supplied rises, from 80 to 100. Using $PES = |\text{percentage change in quantity supplied}| / |\text{percentage change in price}|$, the price elasticity of supply is

- A. 0
- B. 2
- C. 1
- D. 4

CE-085 (Medium, calculation) Theory of Supply

Producers of tomatoes in St Brice see price rises from EC\$10 to EC\$12. Quantity supplied rises, from 100 to 140. Using $PES = |\text{percentage change in quantity supplied}| / |\text{percentage change in price}|$, the price elasticity of supply is

- A. 2
- B. 20
- C. 0.5
- D. 3

Unit 1: Microeconomics

Module 2: Market Structure, Market Failure and Intervention

CE-086 (Medium, knowledge) Intervention

A Pigouvian tax on a negative production externality should, in principle, be set equal to

- A. the entire price of the good
- B. the marginal external cost at the socially efficient output
- C. marginal private benefit
- D. zero, because taxes cannot change output

CE-087 (Medium, knowledge) Intervention

An argument against government intervention is that

- A. administrative costs and political pressure can make the cure worse than the market failure
- B. externalities are always priced
- C. public goods are rival
- D. markets never fail

CE-088 (Medium, knowledge) Intervention

Government failure occurs when

- A. a Pigouvian tax equals marginal external cost
- B. consumers have perfect information
- C. intervention leaves society worse off than the market outcome it tried to correct, or wastes resources
- D. a market reaches Pareto efficiency

CE-089 (Medium, knowledge) Intervention

Regulation that simply bans pollution above a limit, compared with a tax,

- A. can hit a quantity target but may not minimise the cost of doing so if firms face different abatement costs
- B. is the same instrument as a producer subsidy
- C. always costs less than a tax for every firm
- D. cannot reduce pollution

CE-090 (Medium, knowledge) Intervention

Tradable pollution permits

- A. are a form of public good provided free to polluters with no cap
- B. cap the total quantity of pollution and let firms buy and sell the right to emit
- C. force every firm to emit the same amount whatever the cost
- D. set no limit on total pollution

CE-091 (Hard, application) Intervention

A natural monopoly, with falling average cost over the whole market, is sometimes regulated rather than broken up because

- A. one firm can produce the whole output at a lower average cost than several firms
- B. competition always lowers average cost in this case
- C. marginal cost is above average cost
- D. the good is non-excludable

CE-092 (Medium, application) Intervention

A subsidy is a suitable market-based response to

- A. a pure monopoly, if the aim is to raise price
- B. a positive externality that causes under-consumption or under-production
- C. a shortage caused by a price ceiling, if the aim is to lower supply
- D. a negative externality that causes over-production, if the aim is to raise output further

CE-093 (Medium, application) Intervention

Competition policy is used to

- A. force every industry to become a monopoly
- B. ban all advertising of differentiated products
- C. restrict abuse of monopoly power and anti-competitive agreements
- D. set price equal to average fixed cost

CE-094 (Medium, application) Intervention

Compulsory labelling of the health risk on a demerit good is an intervention aimed at

- A. a public-good free-rider problem only
- B. constant opportunity cost
- C. information failure
- D. joint supply

CE-095 (Easy, application) Intervention

Governments often provide street lighting directly because

- A. it is a private good with no free riders
- B. it is a demerit good
- C. it is a public good and the market would under-provide it
- D. marginal cost is always above willingness to pay

CE-096 (Medium, application) Intervention

Providing a merit good free at the point of use is intended to

- A. raise consumption toward the socially desirable level
- B. reduce consumption to zero
- C. turn the good into a demerit good
- D. create a negative externality

CE-097 (Easy, application) Intervention

Which intervention directly targets a negative consumption externality of cigarettes?

- A. A subsidy that lowers the price
- B. A price ceiling that creates a shortage and raises consumption
- C. A specific tax that raises the price buyers pay
- D. Free provision of cigarettes as if they were a public good

CE-098 (Hard, application) Intervention

Which is a possible cost of using a tax to correct an externality?

- A. Taxes cannot be levied on producers
- B. If the tax is much larger than the marginal external cost, output falls below the social optimum
- C. The tax removes private costs as well as external costs from the firm's accounts
- D. A correctly set tax always increases the externality

CE-099 (Medium, knowledge) Market Failure

A demerit good is

- A. a good with a positive consumption externality only
- B. a pure public good
- C. a good that the free market over-consumes relative to the socially desirable level
- D. any inferior good

CE-100 (Medium, knowledge) Market Failure

A merit good is

- A. any good the rich buy
- B. a good that the free market under-consumes relative to the socially desirable level, often because of poor information or a positive externality
- C. a good the market over-consumes
- D. a good that is always non-excludable

CE-101 (Medium, knowledge) Market Failure

A negative production externality means

- A. the good is a public good
- B. marginal social benefit is above marginal private benefit
- C. marginal social cost is below marginal private cost, and the market produces too little
- D. marginal social cost is above marginal private cost, and the free market produces too much

CE-102 (Medium, knowledge) Market Failure

A positive consumption externality means

- A. the good must be a demerit good
- B. marginal social cost exceeds marginal private cost
- C. the market consumes too much
- D. marginal social benefit exceeds marginal private benefit, and the free market consumes too little

CE-103 (Easy, knowledge) Market Failure

A pure private good is

- A. rival and excludable
- B. non-rival and excludable only if it is a public good
- C. rival and non-excludable
- D. non-rival and non-excludable

CE-104 (Easy, knowledge) Market Failure

A pure public good is

- A. rival and excludable
- B. rival and non-excludable
- C. non-rival and non-excludable
- D. excludable and always sold by a monopolist

CE-105 (Medium, knowledge) Market Failure

An allocation is Pareto efficient when

- A. nobody can be made better off without making someone else worse off
- B. one person can gain without any cost to anyone else, and that change has not yet been made
- C. the government owns every firm
- D. everyone has the same income

CE-106 (Medium, knowledge) Market Failure

Information failure causes market failure when

- A. the good is a free good
- B. buyers or sellers lack information and so consume or produce the wrong amount
- C. everyone has perfect information
- D. prices are flexible

CE-107 (Easy, knowledge) Market Failure

Market failure means that

- A. the free market does not achieve an efficient allocation of resources
- B. any firm earns normal profit
- C. the market price is above zero
- D. consumers buy a good

CE-108 (Hard, knowledge) Market Failure

Missing markets, as a cause of market failure, means

- A. every externality has a price
- B. the stock exchange has closed for a holiday
- C. demand equals supply

D. some costs or benefits are not priced, so no market coordinates them

CE-109 (Hard, application) Market Failure

An open-access fishery, where anyone may fish and one boat's catch reduces the stock, is

- A. rival but non-excludable, so it tends to be overused
- B. a pure private good, because a licence is always required
- C. a pure public good, because the fish are non-rival
- D. non-rival and excludable

CE-110 (Medium, application) Market Failure

Education can be excludable and rival in a classroom, yet still be treated as a merit good. That shows

- A. every merit good is non-excludable
- B. rivalry and exclusion are the same thing
- C. education cannot have a positive externality
- D. a merit good need not be a public good

CE-111 (Medium, application) Market Failure

Monopoly power is a source of market failure because

- A. price is set above marginal cost, so too little is produced
- B. free entry removes every barrier at once
- C. price equals marginal cost
- D. the firm must produce at minimum average cost

CE-112 (Easy, application) Market Failure

Smoke from a factory harms nearby residents and the firm does not pay them. This is

- A. a public good
- B. a negative production externality
- C. a positive consumption externality
- D. a merit good

CE-113 (Medium, application) Market Failure

The free-rider problem of a public good arises because

- A. the government always over-provides private goods
- B. marginal cost is above average cost
- C. people can benefit without paying, so the market under-provides the good
- D. the good is rival, so one user blocks every other user

CE-114 (Medium, application) Market Failure

The socially efficient output of a good with an external cost is where

- A. marginal social benefit equals marginal social cost
- B. marginal private cost equals marginal private benefit, ignoring the external cost

- C. price is below marginal social cost by as much as possible
- D. output is zero in every case

CE-115 (Easy, knowledge) Market Structure

A firm is best described as

- A. the whole group of firms selling a product
- B. any household that only consumes
- C. a unit that employs factors to produce goods or services for sale
- D. a market with one buyer

CE-116 (Medium, knowledge) Market Structure

A four-firm concentration ratio of 90 percent means

- A. the Herfindahl-Hirschman index is 90
- B. each of four firms has a 90 percent share
- C. the largest four firms supply 90 percent of the market
- D. the market is perfectly competitive

CE-117 (Hard, knowledge) Market Structure

A limitation of concentration ratios is that they

- A. measure marginal cost directly
- B. do not by themselves show barriers to entry, contestability or how firms actually behave
- C. always equal the Lerner index
- D. prove that price equals marginal cost

CE-118 (Hard, knowledge) Market Structure

A market is contestable when

- A. the government bans entry
- B. entry and exit are easy and sunk costs are low, so even a few firms may behave competitively
- C. one firm owns an essential resource that cannot be duplicated
- D. sunk costs are very high

CE-119 (Medium, knowledge) Market Structure

A perfectly competitive firm is a price taker, so

- A. marginal revenue is below average revenue
- B. price equals average revenue and marginal revenue
- C. the firm sets the market price on its own
- D. average revenue falls as it sells more

CE-120 (Medium, knowledge) Market Structure

A profit-maximising monopolist chooses the output where

- A. marginal cost equals average revenue, always

- B. total revenue is zero
- C. price equals minimum average cost, by law
- D. marginal revenue equals marginal cost, and then charges the price on the demand curve

CE-121 (Medium, knowledge) Market Structure

A single-price monopoly is allocatively inefficient because

- A. price is greater than marginal cost
- B. price equals marginal cost
- C. it must produce at minimum average cost
- D. it earns only normal profit by definition

CE-122 (Easy, knowledge) Market Structure

An industry is

- A. the group of firms producing a particular type of good or service
- B. the same thing as a household
- C. a single plant only
- D. always a monopoly

CE-123 (Medium, knowledge) Market Structure

Compared with the four-firm concentration ratio, the Herfindahl-Hirschman index

- A. ignores the largest firm
- B. is always equal to CR4
- C. cannot be calculated from percentage shares
- D. gives extra weight to firms with larger shares because shares are squared

CE-124 (Medium, knowledge) Market Structure

For a single-price monopolist facing a downward-sloping demand curve,

- A. marginal revenue is above price
- B. marginal revenue equals average revenue at every output
- C. the firm is a price taker
- D. marginal revenue is below average revenue

CE-125 (Medium, knowledge) Market Structure

In long-run equilibrium a perfectly competitive firm produces where

- A. marginal cost is below average variable cost
- B. price equals minimum average total cost, so profit is normal
- C. marginal revenue is zero
- D. price is above average total cost

CE-126 (Hard, knowledge) Market Structure

In long-run monopolistic competition the firm

- A. earns normal profit and has excess capacity, producing less than the output at minimum average cost
- B. earns supernormal profit forever
- C. sets price equal to marginal cost
- D. produces at the minimum of average cost

CE-127 (Hard, knowledge) Market Structure

In the kinked-demand model of oligopoly, price is rigid because

- A. firms are price takers
- B. rivals are assumed to match a price cut but not a price rise
- C. demand is perfectly elastic for a price cut
- D. marginal cost always equals price

CE-128 (Hard, knowledge) Market Structure

Long-run equilibrium in perfect competition is allocatively efficient because

- A. marginal revenue is below price
- B. price is greater than marginal cost
- C. the firm holds spare capacity on purpose
- D. price equals marginal cost

CE-129 (Easy, knowledge) Market Structure

Market structure is distinguished by features such as

- A. the number of firms, product similarity, ease of entry and information
- B. whether the finance minister is elected
- C. the month of the year only
- D. the colour of the product only

CE-130 (Easy, knowledge) Market Structure

Monopolistic competition is characterised by

- A. a homogeneous product and no advertising
- B. a few interdependent firms
- C. one firm and blocked entry
- D. many firms, differentiated products, and free entry

CE-131 (Easy, knowledge) Market Structure

Oligopoly is a market with

- A. thousands of firms that ignore each other
- B. free entry and a homogeneous product sold by price takers
- C. one firm only
- D. a few firms, each aware that its decisions affect rivals

CE-132 (Easy, knowledge) Market Structure

Which features fit a pure monopoly?

- A. Many sellers of differentiated products and free entry
- B. Many sellers of an identical product and free entry
- C. One seller, no close substitute, and barriers that block entry
- D. A few firms that must each take the price as given

CE-133 (Easy, knowledge) Market Structure

Which set of features fits perfect competition?

- A. One seller protected by barriers to entry
- B. A few interdependent sellers of similar products
- C. Many buyers and sellers, a homogeneous product, free entry and perfect information
- D. Many sellers of differentiated products and free entry

CE-134 (Medium, application) Market Structure

A monopolist can earn supernormal profit in the long run if

- A. there is free entry
- B. barriers stop new firms from entering
- C. price equals marginal cost
- D. the demand curve is horizontal

CE-135 (Medium, application) Market Structure

A perfectly competitive firm is making supernormal profit in the short run. With free entry, the long-run outcome is

- A. entry of firms, a lower market price, and only normal profit
- B. permanent supernormal profit because entry is blocked
- C. a kinked demand curve
- D. exit of firms and a higher price

CE-136 (Medium, application) Market Structure

Members of a cartel have an incentive to cheat because

- A. free entry makes cheating impossible
- B. cheating always raises the market price
- C. a cartel has no agreed output
- D. a firm that secretly sells more at a price below the cartel price can raise its own profit

CE-137 (Hard, calculation) Market Structure

A single seller of clinic services in Port Clare faces the following marginal revenue, already calculated from its demand schedule: $Q=1$, $P=\text{EC}\$20$, $MR=\text{EC}\$20$; $Q=2$, $P=\text{EC}\$19$, $MR=\text{EC}\$18$; $Q=3$, $P=\text{EC}\$18$, $MR=\text{EC}\$16$; $Q=4$, $P=\text{EC}\$17$, $MR=\text{EC}\$14$; $Q=5$, $P=\text{EC}\$16$, $MR=\text{EC}\$12$. Marginal cost is constant at $\text{EC}\$20$. The profit-maximising output, where $MR = MC$ and the next unit would have MR below MC , is

- A. 5 units
- B. 1 units
- C. 2 units
- D. 1 unit

CE-138 (Hard, calculation) Market Structure

A single seller of island ferry services in St Brice faces the following marginal revenue, already calculated from its demand schedule: $Q=1$, $P=EC\$12$, $MR=EC\$12$; $Q=2$, $P=EC\$11$, $MR=EC\$10$; $Q=3$, $P=EC\$10$, $MR=EC\$8$; $Q=4$, $P=EC\$9$, $MR=EC\$6$; $Q=5$, $P=EC\$8$, $MR=EC\$4$; $Q=6$, $P=EC\$7$, $MR=EC\$2$. Marginal cost is constant at $EC\$12$. The profit-maximising output, where $MR = MC$ and the next unit would have MR below MC , is

- A. 1 units
- B. 2 units
- C. 1 unit
- D. 6 units

CE-139 (Hard, calculation) Market Structure

A single seller of quarry services in Maren Island faces the following marginal revenue, already calculated from its demand schedule: $Q=1$, $P=EC\$15$, $MR=EC\$15$; $Q=2$, $P=EC\$14$, $MR=EC\$13$; $Q=3$, $P=EC\$13$, $MR=EC\$11$; $Q=4$, $P=EC\$12$, $MR=EC\$9$. Marginal cost is constant at $EC\$15$. The profit-maximising output, where $MR = MC$ and the next unit would have MR below MC , is

- A. 2 units
- B. 4 units
- C. 1 units
- D. 1 unit

CE-140 (Hard, calculation) Market Structure

Bay Boats is a price taker. Market price is $EC\$15$. Marginal cost of successive units is unit 1: $EC\$8$, unit 2: $EC\$10$, unit 3: $EC\$12$, unit 4: $EC\$18$, unit 5: $EC\$27$. Average variable cost at each output is 1 units: $EC\$8$, 2 units: $EC\$9$, 3 units: $EC\$10$, 4 units: $EC\$12$, 5 units: $EC\$15$. The firm produces the largest output at which marginal cost does not exceed price, provided price is greater than average variable cost. It should produce

- A. 4 units
- B. 3 units
- C. 2 units
- D. 5 units

CE-141 (Medium, calculation) Market Structure

Bay Boats sells in a perfectly competitive market at $EC\$50$ per unit. Total fixed cost is $EC\$25$. Total variable cost at 4 units is $EC\$80$. Economic profit at 4 units, using $\text{profit} = \text{total revenue} - \text{total cost}$, is

- A. $EC\$120$
- B. $-EC\$25$
- C. $EC\$95$

D. EC\$175

CE-142 (Medium, calculation) Market Structure

Bellecombe Bakery has total fixed cost of EC\$120. Total variable cost is EC\$30 at 1 unit, EC\$54 at 2 units, EC\$90 at 3 units, EC\$136 at 4 units, EC\$200 at 5 units. Average fixed cost at 2 units is

A. EC\$27

B. EC\$87

C. EC\$60

D. EC\$24

CE-143 (Medium, calculation) Market Structure

Bellecombe Bakery has total fixed cost of EC\$120. Total variable cost is EC\$30 at 1 unit, EC\$54 at 2 units, EC\$90 at 3 units, EC\$136 at 4 units, EC\$200 at 5 units. Average total cost at 4 units is

A. EC\$34

B. EC\$46

C. EC\$64

D. EC\$30

CE-144 (Medium, calculation) Market Structure

Bellecombe Bakery has total fixed cost of EC\$120. Total variable cost is EC\$30 at 1 unit, EC\$54 at 2 units, EC\$90 at 3 units, EC\$136 at 4 units, EC\$200 at 5 units. Average variable cost at 3 units is

A. EC\$40

B. EC\$30

C. EC\$70

D. EC\$36

CE-145 (Medium, calculation) Market Structure

Bellecombe Bakery has total fixed cost of EC\$120. Total variable cost is EC\$30 at 1 unit, EC\$54 at 2 units, EC\$90 at 3 units, EC\$136 at 4 units, EC\$200 at 5 units. Marginal cost of the 4th unit is

A. EC\$34

B. EC\$30

C. EC\$46

D. EC\$64

CE-146 (Medium, calculation) Market Structure

Bellecombe Bakery has total fixed cost of EC\$120. Total variable cost is EC\$30 at 1 unit, EC\$54 at 2 units, EC\$90 at 3 units, EC\$136 at 4 units, EC\$200 at 5 units. Total cost at 5 units is

A. EC\$320

B. EC\$64

C. EC\$24

D. EC\$40

CE-147 (Hard, calculation) Market Structure

Claremont Clay is a price taker. Market price is EC\$16. Marginal cost of successive units is unit 1: EC\$12, unit 2: EC\$8, unit 3: EC\$16, unit 4: EC\$20, unit 5: EC\$24. Average variable cost at each output is 1 units: EC\$12, 2 units: EC\$10, 3 units: EC\$12, 4 units: EC\$14, 5 units: EC\$16. The firm produces the largest output at which marginal cost does not exceed price, provided price is greater than average variable cost. It should produce

- A. 3 units
- B. 4 units
- C. 5 units
- D. 2 units

CE-148 (Medium, calculation) Market Structure

Claremont Clay sells in a perfectly competitive market at EC\$40 per unit. Total fixed cost is EC\$20. Total variable cost at 3 units is EC\$48. Economic profit at 3 units, using $\text{profit} = \text{total revenue} - \text{total cost}$, is

- A. -EC\$20
- B. EC\$52
- C. EC\$72
- D. EC\$100

CE-149 (Medium, calculation) Market Structure

Havre Printers has total fixed cost of EC\$100. Total variable cost is EC\$40 at 1 unit, EC\$70 at 2 units, EC\$105 at 3 units, EC\$148 at 4 units, EC\$200 at 5 units. Average fixed cost at 2 units is

- A. EC\$85
- B. EC\$30
- C. EC\$35
- D. EC\$50

CE-150 (Medium, calculation) Market Structure

Havre Printers has total fixed cost of EC\$100. Total variable cost is EC\$40 at 1 unit, EC\$70 at 2 units, EC\$105 at 3 units, EC\$148 at 4 units, EC\$200 at 5 units. Average total cost at 4 units is

- A. EC\$62
- B. EC\$37
- C. EC\$25
- D. EC\$43

CE-151 (Medium, calculation) Market Structure

Havre Printers has total fixed cost of EC\$100. Total variable cost is EC\$40 at 1 unit, EC\$70 at 2 units, EC\$105 at 3 units, EC\$148 at 4 units, EC\$200 at 5 units. Average variable cost at 3 units is

- A. EC\$68.33
- B. EC\$35
- C. EC\$33.33

D. EC\$205

CE-152 (Medium, calculation) Market Structure

Havre Printers has total fixed cost of EC\$100. Total variable cost is EC\$40 at 1 unit, EC\$70 at 2 units, EC\$105 at 3 units, EC\$148 at 4 units, EC\$200 at 5 units. Marginal cost of the 4th unit is

A. EC\$25

B. EC\$62

C. EC\$43

D. EC\$37

CE-153 (Medium, calculation) Market Structure

Havre Printers has total fixed cost of EC\$100. Total variable cost is EC\$40 at 1 unit, EC\$70 at 2 units, EC\$105 at 3 units, EC\$148 at 4 units, EC\$200 at 5 units. Total cost at 5 units is

A. EC\$300

B. EC\$60

C. EC\$20

D. EC\$40

CE-154 (Easy, calculation) Market Structure

Market shares in the airline seats industry in Maren Island, in percent, are 50, 20, 10, 10, 5, 5. The four-firm concentration ratio (the sum of the largest four shares) is

A. 80 percent

B. 50 percent

C. 90 percent

D. 100 percent

CE-155 (Easy, calculation) Market Structure

Market shares in the cement industry in St Brice, in percent, are 40, 25, 15, 10, 5, 5. The four-firm concentration ratio (the sum of the largest four shares) is

A. 100 percent

B. 90 percent

C. 40 percent

D. 80 percent

CE-156 (Easy, calculation) Market Structure

Market shares in the flour industry in Port Clare, in percent, are 30, 20, 20, 15, 10, 5. The four-firm concentration ratio (the sum of the largest four shares) is

A. 70 percent

B. 30 percent

C. 100 percent

D. 85 percent

CE-157 (Medium, calculation) Market Structure

Northbank Nets has total fixed cost of EC\$60. Total variable cost is EC\$24 at 1 unit, EC\$42 at 2 units, EC\$72 at 3 units, EC\$108 at 4 units, EC\$150 at 5 units. Average fixed cost at 2 units is

- A. EC\$18
- B. EC\$30
- C. EC\$21
- D. EC\$51

CE-158 (Medium, calculation) Market Structure

Northbank Nets has total fixed cost of EC\$60. Total variable cost is EC\$24 at 1 unit, EC\$42 at 2 units, EC\$72 at 3 units, EC\$108 at 4 units, EC\$150 at 5 units. Average total cost at 4 units is

- A. EC\$27
- B. EC\$15
- C. EC\$42
- D. EC\$36

CE-159 (Medium, calculation) Market Structure

Northbank Nets has total fixed cost of EC\$60. Total variable cost is EC\$24 at 1 unit, EC\$42 at 2 units, EC\$72 at 3 units, EC\$108 at 4 units, EC\$150 at 5 units. Average variable cost at 3 units is

- A. EC\$30
- B. EC\$44
- C. EC\$20
- D. EC\$24

CE-160 (Medium, calculation) Market Structure

Northbank Nets has total fixed cost of EC\$60. Total variable cost is EC\$24 at 1 unit, EC\$42 at 2 units, EC\$72 at 3 units, EC\$108 at 4 units, EC\$150 at 5 units. Marginal cost of the 4th unit is

- A. EC\$15
- B. EC\$36
- C. EC\$27
- D. EC\$42

CE-161 (Medium, calculation) Market Structure

Sable Blocks has total fixed cost of EC\$80. Total variable cost is EC\$20 at 1 unit, EC\$50 at 2 units, EC\$84 at 3 units, EC\$124 at 4 units, EC\$180 at 5 units. Average fixed cost at 2 units is

- A. EC\$30
- B. EC\$25
- C. EC\$40
- D. EC\$65

CE-162 (Medium, calculation) Market Structure

Sable Blocks has total fixed cost of EC\$80. Total variable cost is EC\$20 at 1 unit, EC\$50 at 2 units, EC\$84 at 3 units, EC\$124 at 4 units, EC\$180 at 5 units. Average total cost at 4 units is

- A. EC\$40
- B. EC\$20
- C. EC\$31
- D. EC\$51

CE-163 (Medium, calculation) Market Structure

Sable Blocks has total fixed cost of EC\$80. Total variable cost is EC\$20 at 1 unit, EC\$50 at 2 units, EC\$84 at 3 units, EC\$124 at 4 units, EC\$180 at 5 units. Average variable cost at 3 units is

- A. EC\$26.67
- B. EC\$28
- C. EC\$34
- D. EC\$54.67

CE-164 (Medium, calculation) Market Structure

Sable Blocks has total fixed cost of EC\$80. Total variable cost is EC\$20 at 1 unit, EC\$50 at 2 units, EC\$84 at 3 units, EC\$124 at 4 units, EC\$180 at 5 units. Marginal cost of the 4th unit is

- A. EC\$40
- B. EC\$31
- C. EC\$20
- D. EC\$51

CE-165 (Medium, calculation) Market Structure

Sable Blocks has total fixed cost of EC\$80. Total variable cost is EC\$20 at 1 unit, EC\$50 at 2 units, EC\$84 at 3 units, EC\$124 at 4 units, EC\$180 at 5 units. Total cost at 5 units is

- A. EC\$260
- B. EC\$36
- C. EC\$52
- D. EC\$16

CE-166 (Medium, calculation) Market Structure

Using the same airline seats shares in Maren Island (50, 20, 10, 10, 5, 5 percent), the Herfindahl-Hirschman Index, defined here as the sum of the squared percentage shares, is

- A. 90
- B. 3150
- C. 100
- D. 2500

CE-167 (Medium, calculation) Market Structure

Using the same cement shares in St Brice (40, 25, 15, 10, 5, 5 percent), the Herfindahl-Hirschman Index, defined here as the sum of the squared percentage shares, is

- A. 90
- B. 1600

- C. 2600
- D. 100

CE-168 (Medium, calculation) Market Structure

Using the same flour shares in Port Clare (30, 20, 20, 15, 10, 5 percent), the Herfindahl-Hirschman Index, defined here as the sum of the squared percentage shares, is

- A. 100
- B. 900
- C. 85
- D. 2050

CE-169 (Hard, calculation) Market Structure

Verde Juice is a price taker. Market price is EC\$20. Marginal cost of successive units is unit 1: EC\$10, unit 2: EC\$14, unit 3: EC\$18, unit 4: EC\$22, unit 5: EC\$26. Average variable cost at each output is 1 units: EC\$10, 2 units: EC\$12, 3 units: EC\$14, 4 units: EC\$16, 5 units: EC\$18. The firm produces the largest output at which marginal cost does not exceed price, provided price is greater than average variable cost. It should produce

- A. 2 units
- B. 3 units
- C. 5 units
- D. 4 units

CE-170 (Medium, calculation) Market Structure

Verde Juice sells in a perfectly competitive market at EC\$30 per unit. Total fixed cost is EC\$15. Total variable cost at 4 units is EC\$48. Economic profit at 4 units, using $\text{profit} = \text{total revenue} - \text{total cost}$, is

- A. EC\$105
- B. -EC\$15
- C. EC\$72
- D. EC\$57

Unit 1: Microeconomics

Module 3: Distribution Theory

CE-171 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation

A Gini coefficient of 0 means

- A. perfect inequality
- B. that the country has no income
- C. perfect equality of income
- D. that the Lorenz curve cannot be drawn

CE-172 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation

A means-tested benefit, compared with a universal benefit of the same total cost,

- A. can concentrate help on low-income households but may discourage extra earnings if the benefit is withdrawn sharply
- B. cannot reduce poverty
- C. is paid to every household regardless of income and therefore always costs less
- D. is the same thing as a regressive tax

CE-173 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation

A poverty line is

- A. the diagonal of the Lorenz curve
- B. the income threshold used to decide who is counted as poor
- C. the equilibrium wage
- D. the marginal cost curve

CE-174 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation

A progressive income tax is one in which

- A. the average rate of tax rises as income rises
- B. the average rate of tax is constant
- C. every household pays the same number of dollars
- D. the average rate of tax falls as income rises

CE-175 (Easy, knowledge) Income Inequality, Poverty and Poverty Alleviation

Absolute poverty means

- A. the Gini coefficient is zero
- B. a person has less income than the richest household
- C. a person falls below a fixed minimum standard of living
- D. income is below the national average, even if basic needs are met

CE-176 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation

Inequality of opportunity differs from inequality of outcome because

- A. they are identical by definition
- B. opportunity is measured only by the terms of trade
- C. opportunity concerns unequal access to education, jobs or assets, while outcome is the resulting income or wealth
- D. outcome ignores income

CE-177 (Medium, knowledge) Income Inequality, Poverty and Poverty Alleviation
On a Lorenz curve, greater inequality is shown by

- A. a curve lying on the diagonal
- B. a curve further from the diagonal line of equality
- C. a horizontal demand curve
- D. a higher origin

CE-178 (Easy, knowledge) Income Inequality, Poverty and Poverty Alleviation
Relative poverty means

- A. a person is below a threshold that never refers to other people
- B. national income is falling
- C. the functional share of wages is zero
- D. a person is poor compared with the typical living standard in that society

CE-179 (Easy, knowledge) Income Inequality, Poverty and Poverty Alleviation
The functional distribution of income shows

- A. how income is shared among wages, rent, interest and profit
- B. the balance of payments
- C. the price elasticity of demand
- D. how income is shared among households

CE-180 (Easy, knowledge) Income Inequality, Poverty and Poverty Alleviation
The size distribution of income shows

- A. how income is shared among individuals or households
- B. the marginal product of capital
- C. only the share of profit in national income
- D. export prices relative to import prices

CE-181 (Hard, application) Income Inequality, Poverty and Poverty Alleviation

A minimum wage can reduce poverty among workers who keep their jobs, but it may not reduce poverty overall if

- A. every worker's marginal product rises by the amount of the wage
- B. the wage is set below equilibrium and does not bind
- C. employment of low-skilled workers falls and some lose all of their wage
- D. the labour market is in equilibrium at a wage above the minimum

CE-182 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

A sales tax of 10 percent on all goods takes a larger share of a low income than of a high income, because the low-income household spends all of its income. The burden of the tax is

- A. a poll tax, which is unrelated to spending
- B. proportional to income
- C. progressive
- D. regressive

CE-183 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

Cash transfers to low-income households are intended to

- A. reduce poverty and narrow the size distribution of disposable income
- B. raise the Gini coefficient on purpose
- C. increase absolute poverty
- D. replace the demand for labour

CE-184 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

Country A has a Gini coefficient of 0.30 and Country B has a Gini coefficient of 0.55. On this measure,

- A. the coefficients cannot be compared
- B. both countries have perfect equality
- C. income is more unequal in B than in A
- D. income is more unequal in A than in B

CE-185 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

Public spending on basic education can reduce long-run inequality by

- A. lowering everyone's marginal product
- B. making labour supply perfectly inelastic
- C. replacing the Lorenz curve with a demand curve
- D. raising the human capital and future earnings of children from poor households

CE-186 (Hard, application) Income Inequality, Poverty and Poverty Alleviation

Regional policy that attracts firms to a poor parish is meant to reduce inequality by

- A. lowering the marginal product of every worker
- B. raising labour demand and wages or employment in that parish
- C. replacing absolute poverty with a higher Gini coefficient on purpose
- D. shifting the parish's labour demand to the left

CE-187 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

The share of wages in national income rises and the share of profits falls. This is a change in

- A. the monetary base
- B. the price elasticity of demand only
- C. the commodity terms of trade

D. the functional distribution of income

CE-188 (Medium, application) Income Inequality, Poverty and Poverty Alleviation

Which is a recognised cause of poverty in a labour market?

- A. Prolonged unemployment of the household's earners
- B. A wage equal to a high marginal revenue product for every worker
- C. A Gini coefficient of zero
- D. Perfect equality on the Lorenz curve

CE-189 (Hard, application) Income Inequality, Poverty and Poverty Alleviation

Which outcome is possible?

- A. A Gini coefficient of 0 means one person has all the income
- B. The Lorenz curve lies on the diagonal when inequality is extreme
- C. Functional distribution and size distribution are the same concept
- D. Absolute poverty falls while relative poverty rises

CE-190 (Easy, application) Income Inequality, Poverty and Poverty Alleviation

Which policy is aimed directly at the size distribution of income?

- A. Open-market sale of securities
- B. A devaluation intended only to switch expenditure
- C. A more progressive income tax combined with transfers
- D. A higher required reserve ratio

CE-191 (Medium, knowledge) The Demand for and Supply of Factors

A firm hiring labour in a perfectly competitive labour market should hire extra workers while

- A. the wage is above marginal revenue product
- B. marginal revenue product is above the wage, and stop when they are equal
- C. marginal product is negative
- D. average revenue is zero

CE-192 (Medium, knowledge) The Demand for and Supply of Factors

A monopsony in a labour market is

- A. many buyers of labour
- B. a single buyer of labour
- C. a single seller of the product
- D. perfect competition in hiring

CE-193 (Hard, knowledge) The Demand for and Supply of Factors

A profit-maximising monopsonist hires labour where

- A. marginal cost of labour equals marginal revenue product, and pays the lower wage read from the supply curve
- B. the wage equals marginal revenue product, as in perfect competition

- C. marginal cost of labour is below the wage
- D. employment is higher than under perfect competition

CE-194 (Easy, knowledge) The Demand for and Supply of Factors

Economic rent is

- A. a tax on land only
- B. the same as normal profit by definition in every market
- C. payment that is only just enough to keep the factor in its current use
- D. payment to a factor above its transfer earnings

CE-195 (Medium, knowledge) The Demand for and Supply of Factors

Marginal revenue product of labour is

- A. marginal physical product multiplied by marginal revenue
- B. average product divided by price
- C. marginal physical product multiplied by the wage
- D. the wage multiplied by employment

CE-196 (Hard, knowledge) The Demand for and Supply of Factors

Quasi-rent is

- A. a subsidy
- B. the wage in a perfectly elastic labour market
- C. economic rent that lasts forever on a factor in permanently fixed supply
- D. a surplus earned in the short run by a factor whose supply is temporarily fixed

CE-197 (Medium, knowledge) The Demand for and Supply of Factors

The demand curve for labour slopes downward, other things equal, because

- A. the supply of labour is fixed
- B. wages are a stock
- C. diminishing returns reduce marginal physical product as more workers are hired
- D. transfer earnings rise with the wage automatically

CE-198 (Easy, knowledge) The Demand for and Supply of Factors

The demand for labour is a derived demand because

- A. labour is demanded for the output it helps to produce, not for its own sake
- B. the supply of labour slopes upwards
- C. wages are set by law
- D. workers demand goods

CE-199 (Easy, knowledge) The Demand for and Supply of Factors

The reward to enterprise is

- A. profit

- B. rent
- C. interest only
- D. wages

CE-200 (Medium, knowledge) The Demand for and Supply of Factors

The supply of labour to an occupation slopes upward when

- A. a higher wage always reduces hours because leisure is the only good
- B. workers ignore wages
- C. the marginal revenue product is falling
- D. a higher wage attracts more workers into that occupation

CE-201 (Easy, knowledge) The Demand for and Supply of Factors

Transfer earnings of a factor are

- A. any payment above the minimum needed to keep it in its current use
- B. a government transfer payment to households
- C. the minimum payment needed to keep that factor in its current use
- D. the total wage bill of the industry

CE-202 (Hard, knowledge) The Demand for and Supply of Factors

Value of the marginal product differs from marginal revenue product when

- A. marginal product is zero
- B. the firm sells in perfect competition, so price equals marginal revenue
- C. the firm sells in an imperfect product market, so marginal revenue is below price
- D. the wage is equal to MRP

CE-203 (Hard, application) The Demand for and Supply of Factors

A tax that takes part of the economic rent of a factor in perfectly inelastic supply

- A. reduces quantity supplied to zero
- B. does not reduce the quantity supplied of that factor
- C. shifts a perfectly inelastic supply curve to the left
- D. is a tax on transfer earnings only

CE-204 (Medium, application) The Demand for and Supply of Factors

An increase in immigration that raises the supply of labour, with demand unchanged, will in a competitive market

- A. raise the wage and lower employment
- B. shift labour demand left
- C. leave both wage and employment unchanged
- D. lower the equilibrium wage and raise employment

CE-205 (Hard, application) The Demand for and Supply of Factors

Compared with a competitive labour market, a monopsonist tends to

- A. face a horizontal labour-supply curve
- B. employ more workers and pay a higher wage
- C. pay a wage above MRP
- D. employ fewer workers and pay a lower wage

CE-206 (Medium, application) The Demand for and Supply of Factors

Demand for the product made by workers in Golden Vale falls. The demand curve for their labour

- A. shifts left because marginal revenue product is lower
- B. shifts right
- C. is unchanged, because product demand does not affect derived demand
- D. becomes the supply curve of labour

CE-207 (Medium, application) The Demand for and Supply of Factors

The price of breadfruit rises and workers' physical productivity is unchanged. For a competitive breadfruit farm, the demand for labour

- A. is unchanged because wages fix MRP
- B. shifts left
- C. becomes perfectly inelastic at zero employment
- D. shifts right because marginal revenue product is higher

CE-208 (Medium, application) The Demand for and Supply of Factors

The supply of a unique harbour site is perfectly inelastic. The whole of the payment to the owner is

- A. economic rent
- B. a wage
- C. normal profit of a competitive firm
- D. transfer earnings

CE-209 (Medium, application) The Demand for and Supply of Factors

The supply of casual labour to a particular job is perfectly elastic at EC\$40 a day. A worker paid EC\$40 a day receives

- A. no income
- B. economic rent of EC\$40
- C. only transfer earnings
- D. only economic rent

CE-210 (Medium, calculation) The Demand for and Supply of Factors

A bakery in Golden Vale sells output in a perfectly competitive product market at EC\$5 per unit. The marginal physical product of the 8th worker is 7 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$30
- B. EC\$7
- C. EC\$35

D. EC\$12

CE-211 (Medium, calculation) The Demand for and Supply of Factors

A boat yard in Port Clare sells output in a perfectly competitive product market at EC\$12 per unit. The marginal physical product of the 5th worker is 4 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$40
- B. EC\$16
- C. EC\$4
- D. EC\$48

CE-212 (Medium, calculation) The Demand for and Supply of Factors

A breadfruit farm in St Brice sells output in a perfectly competitive product market at EC\$8 per unit. The marginal physical product of the 6th worker is 5 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$13
- B. EC\$5
- C. EC\$50
- D. EC\$40

CE-213 (Medium, calculation) The Demand for and Supply of Factors

A cocoa estate in Maren Island sells output in a perfectly competitive product market at EC\$10 per unit. The marginal physical product of the 7th worker is 6 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$60
- B. EC\$70
- C. EC\$6
- D. EC\$16

CE-214 (Medium, calculation) The Demand for and Supply of Factors

A guest house in Harbour Cay sells output in a perfectly competitive product market at EC\$20 per unit. The marginal physical product of the 4th worker is 3 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$3
- B. EC\$60
- C. EC\$50
- D. EC\$23

CE-215 (Medium, calculation) The Demand for and Supply of Factors

A net maker in Westford sells output in a perfectly competitive product market at EC\$6 per unit. The marginal physical product of the 9th worker is 8 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$48

- B. EC\$14
- C. EC\$8
- D. EC\$40

CE-216 (Medium, calculation) The Demand for and Supply of Factors

A print shop in Northbank sells output in a perfectly competitive product market at EC\$9 per unit. The marginal physical product of the 5th worker is 4 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$4
- B. EC\$13
- C. EC\$36
- D. EC\$30

CE-217 (Medium, calculation) The Demand for and Supply of Factors

A quarry in Petit Havre sells output in a perfectly competitive product market at EC\$15 per unit. The marginal physical product of the 3rd worker is 2 units. Marginal revenue product, $MPP \times \text{price}$, of that worker is

- A. EC\$30
- B. EC\$17
- C. EC\$2
- D. EC\$40

CE-218 (Easy, calculation) The Demand for and Supply of Factors

The owner of a crane in St Brice receives EC\$900 a week. The minimum weekly payment that would keep the crane in its current use (transfer earnings) is EC\$600. Economic rent is

- A. EC\$600
- B. EC\$1500
- C. EC\$900
- D. EC\$300

CE-219 (Easy, calculation) The Demand for and Supply of Factors

The owner of a jetty in Harbour Cay receives EC\$1200 a week. The minimum weekly payment that would keep the jetty in its current use (transfer earnings) is EC\$400. Economic rent is

- A. EC\$1600
- B. EC\$400
- C. EC\$1200
- D. EC\$800

CE-220 (Easy, calculation) The Demand for and Supply of Factors

The owner of a shop unit in Port Clare receives EC\$2500 a week. The minimum weekly payment that would keep the shop unit in its current use (transfer earnings) is EC\$1800. Economic rent is

- A. EC\$1800

- B. EC\$4300
- C. EC\$700
- D. EC\$2500

CE-221 (Easy, calculation) The Demand for and Supply of Factors

The owner of a stall in Golden Vale receives EC\$300 a week. The minimum weekly payment that would keep the stall in its current use (transfer earnings) is EC\$200. Economic rent is

- A. EC\$200
- B. EC\$300
- C. EC\$100
- D. EC\$500

CE-222 (Easy, calculation) The Demand for and Supply of Factors

The owner of a tractor in Westford receives EC\$1500 a week. The minimum weekly payment that would keep the tractor in its current use (transfer earnings) is EC\$1100. Economic rent is

- A. EC\$1500
- B. EC\$1100
- C. EC\$400
- D. EC\$2600

CE-223 (Easy, calculation) The Demand for and Supply of Factors

The owner of a van in Maren Island receives EC\$700 a week. The minimum weekly payment that would keep the van in its current use (transfer earnings) is EC\$700. Economic rent is

- A. EC\$0
- B. EC\$800
- C. EC\$700
- D. EC\$1400

CE-224 (Medium, calculation) The Demand for and Supply of Factors

The same bakery in Golden Vale hires labour in a perfectly competitive labour market at a wage of EC\$30. MRP of the 8th worker is EC\$35. The firm should

- A. hire the worker, because MRP is above the wage
- B. not hire the worker, because MRP is below the wage
- C. hire the worker, because the wage equals the product price
- D. hire the worker only if MRP equals the product price

CE-225 (Medium, calculation) The Demand for and Supply of Factors

The same boat yard in Port Clare hires labour in a perfectly competitive labour market at a wage of EC\$40. MRP of the 5th worker is EC\$48. The firm should

- A. hire the worker, because MRP is above the wage
- B. hire the worker only if MRP equals the product price
- C. not hire the worker, because MRP is below the wage

D. hire the worker, because the wage equals the product price

CE-226 (Medium, calculation) The Demand for and Supply of Factors

The same breadfruit farm in St Brice hires labour in a perfectly competitive labour market at a wage of EC\$50. MRP of the 6th worker is EC\$40. The firm should

- A. hire the worker only if MRP equals the product price
- B. not hire the worker, because the wage equals the product price
- C. hire the worker, because MRP is above the wage
- D. not hire the worker, because MRP is below the wage

CE-227 (Medium, calculation) The Demand for and Supply of Factors

The same cocoa estate in Maren Island hires labour in a perfectly competitive labour market at a wage of EC\$70. MRP of the 7th worker is EC\$60. The firm should

- A. not hire the worker, because the wage equals the product price
- B. hire the worker only if MRP equals the product price
- C. hire the worker, because MRP is above the wage
- D. not hire the worker, because MRP is below the wage

CE-228 (Medium, calculation) The Demand for and Supply of Factors

The same guest house in Harbour Cay hires labour in a perfectly competitive labour market at a wage of EC\$50. MRP of the 4th worker is EC\$60. The firm should

- A. hire the worker, because MRP is above the wage
- B. not hire the worker, because MRP is below the wage
- C. hire the worker, because the wage equals the product price
- D. hire the worker only if MRP equals the product price

CE-229 (Medium, calculation) The Demand for and Supply of Factors

The same net maker in Westford hires labour in a perfectly competitive labour market at a wage of EC\$40. MRP of the 9th worker is EC\$48. The firm should

- A. not hire the worker, because MRP is below the wage
- B. hire the worker only if MRP equals the product price
- C. hire the worker, because MRP is above the wage
- D. hire the worker, because the wage equals the product price

CE-230 (Medium, calculation) The Demand for and Supply of Factors

The same print shop in Northbank hires labour in a perfectly competitive labour market at a wage of EC\$30. MRP of the 5th worker is EC\$36. The firm should

- A. hire the worker, because MRP is above the wage
- B. not hire the worker, because MRP is below the wage
- C. hire the worker only if MRP equals the product price
- D. hire the worker, because the wage equals the product price

CE-231 (Medium, calculation) The Demand for and Supply of Factors

The same quarry in Petit Havre hires labour in a perfectly competitive labour market at a wage of EC\$40. MRP of the 3rd worker is EC\$30. The firm should

- A. not hire the worker, because the wage equals the product price
- B. not hire the worker, because MRP is below the wage
- C. hire the worker, because MRP is above the wage
- D. hire the worker only if MRP equals the product price

CE-232 (Medium, knowledge) Wage Differentials

Employers' associations, in wage bargaining, typically aim to

- A. maximise union membership
- B. set the price of the product equal to marginal cost by law
- C. act as a single seller of labour
- D. resist wage increases that they believe will raise costs

CE-233 (Medium, knowledge) Wage Differentials

Human capital explains higher wages when

- A. training and education raise a worker's marginal product
- B. education has no effect on productivity
- C. firms ignore productivity
- D. all jobs require the same skill

CE-234 (Medium, knowledge) Wage Differentials

Non-competing groups in the labour market are

- A. buyers in a product market
- B. groups of workers who cannot easily move into each other's occupations because skills or qualifications differ
- C. firms in perfect competition
- D. workers who all do the same job

CE-235 (Easy, knowledge) Wage Differentials

Occupational mobility of labour means

- A. the ease of moving house between parishes only
- B. a change in the product price
- C. the ease with which workers can move from one occupation to another
- D. perfect competition in the product market

CE-236 (Easy, knowledge) Wage Differentials

The real wage is

- A. the Gini coefficient
- B. nominal GDP

- C. the money wage before any prices are considered, and nothing else
- D. the money wage adjusted for the price level

CE-237 (Easy, knowledge) Wage Differentials

Wage differentials means

- A. the fact that every worker is paid the same wage
- B. the difference between exports and imports
- C. differences in wages between workers, occupations or regions
- D. the gap between price and marginal cost

CE-238 (Easy, knowledge) Wage Differentials

Which pair is a labour-market institution that can affect wages?

- A. A production possibility frontier and a free good
- B. The terms of trade and the current account
- C. A trade union and a minimum-wage law
- D. Velocity of money and the deflator

CE-239 (Medium, application) Wage Differentials

A trade union that raises wages above the competitive equilibrium in an otherwise competitive labour market will

- A. shift labour demand to the right by the amount of the wage rise
- B. make the supply of labour perfectly inelastic
- C. reduce employment in that market if the employer still hires along the demand curve
- D. always increase employment

CE-240 (Hard, application) Wage Differentials

A union and a monopsony employer bargain together. This situation is called

- A. perfect competition
- B. bilateral monopoly
- C. a price-taking labour market on both sides
- D. monopolistic competition in the product market

CE-241 (Medium, application) Wage Differentials

Deep-sea fishing in Fortuna Bay pays more than equally skilled shop work because the job is dangerous. This is mainly

- A. a monopsony discount
- B. a compensating differential
- C. an economic rent created by a perfectly elastic supply
- D. discrimination that lowers the fishing wage

CE-242 (Medium, application) Wage Differentials

In a competitive labour market a minimum wage set above equilibrium causes

- A. a shortage of labour
- B. a surplus of labour, meaning some workers who want jobs at that wage do not get them
- C. no change, because a floor above equilibrium does not bind
- D. an increase in employment

CE-243 (Hard, application) Wage Differentials

In a monopsony, a minimum wage set between the monopsony wage and the competitive wage can

- A. push the wage below MRP further
- B. have no effect because monopsonists ignore laws
- C. raise both the wage and employment
- D. only reduce employment, as it must in perfect competition

CE-244 (Easy, application) Wage Differentials

Surgeons are paid more than hospital porters mainly because

- A. porters work in a monopsony and surgeons do not, and that is the only possible reason
- B. porters have more human capital
- C. the marginal revenue product of surgeons is higher and the supply of trained surgeons is limited
- D. the supply of surgeons is perfectly elastic at a low wage

CE-245 (Medium, application) Wage Differentials

Two groups of workers are equally productive, but one group is paid less because employers refuse to hire them into better jobs. This is

- A. discrimination
- B. a compensating differential for a more dangerous job
- C. economic rent from perfectly inelastic supply of the higher-paid group only
- D. a difference in marginal revenue product

CE-246 (Medium, application) Wage Differentials

Workers in a remote parish are paid less than equally skilled workers in the capital, and moving is costly. This differential can persist because of

- A. perfect mobility
- B. identical non-monetary advantages in both places
- C. immobility of labour
- D. a law that wages must be equal, which is being obeyed

CE-247 (Easy, calculation) Wage Differentials

Harbour Cay School employs 32 workers at a wage of EC\$950 each per week. The weekly wage bill is

- A. EC\$950
- B. EC\$30400
- C. EC\$31350
- D. EC\$32

CE-248 (Easy, calculation) Wage Differentials

Maren Clinic employs 15 workers at a wage of EC\$2000 each per week. The weekly wage bill is

- A. EC\$15
- B. EC\$30000
- C. EC\$32000
- D. EC\$2000

CE-249 (Easy, calculation) Wage Differentials

Port Clare Hotel employs 25 workers at a wage of EC\$1200 each per week. The weekly wage bill is

- A. EC\$1200
- B. EC\$25
- C. EC\$31200
- D. EC\$30000

CE-250 (Easy, calculation) Wage Differentials

St Brice Council employs 40 workers at a wage of EC\$800 each per week. The weekly wage bill is

- A. EC\$32000
- B. EC\$32800
- C. EC\$40
- D. EC\$800

Unit 2: Macroeconomics

Module 1: Models of the Macroeconomy

CE-251 (Easy, knowledge) Basic Keynesian Models

A basic Keynesian assumption is that

- A. wages fall instantly until the labour market clears
- B. wages and prices are sticky, so output can settle below full employment
- C. saving and investment are equated only by a flexible interest rate at full employment
- D. velocity of circulation is fixed and output is always at full employment

CE-252 (Medium, knowledge) Basic Keynesian Models

A deflationary gap is

- A. the amount by which prices must rise in the Classical model
- B. a surplus on the current account only
- C. the shortfall of aggregate demand below the full-employment level of output
- D. excess demand at full employment

CE-253 (Hard, knowledge) Basic Keynesian Models

A liquidity trap occurs when

- A. investment is perfectly inelastic and fiscal policy has no effect
- B. the demand for money is perfectly elastic at a low interest rate, so increasing the money supply does not lower the rate further
- C. the interest rate rises without limit as the money supply rises
- D. wages are perfectly flexible

CE-254 (Medium, knowledge) Basic Keynesian Models

An inflationary gap is closed, in the Keynesian approach, by

- A. cutting the full-employment level of output
- B. reducing aggregate demand
- C. increasing the marginal propensity to consume
- D. raising aggregate demand further

CE-255 (Medium, knowledge) Basic Keynesian Models

Autonomous consumption is

- A. saving at equilibrium
- B. MPC times income
- C. imports induced by income
- D. the part of consumption that does not depend on current income

CE-256 (Medium, knowledge) Basic Keynesian Models

If there is no tax, the marginal propensity to consume plus the marginal propensity to save equals

- A. 1
- B. the multiplier
- C. 0
- D. average propensity to consume only

CE-257 (Medium, knowledge) Basic Keynesian Models

In the simple Keynesian consumption function $C = a + bY$, the term b is

- A. the average propensity to consume at every income
- B. the marginal propensity to consume
- C. the marginal propensity to save plus one
- D. autonomous consumption

CE-258 (Hard, knowledge) Basic Keynesian Models

In the simple Keynesian model the balanced-budget multiplier is

- A. 1, so an equal rise in government spending and tax raises income by that same amount
- B. equal to $1/(1-MPC)$, the same as a rise in spending with no tax
- C. 0, so the policy has no effect
- D. undefined, because the budget cannot be balanced

CE-259 (Medium, knowledge) Basic Keynesian Models

On the Keynesian 45-degree diagram, equilibrium national income is where

- A. marginal revenue equals marginal cost
- B. saving is zero at every income
- C. aggregate demand crosses the 45-degree line
- D. the price level is on the vertical axis and output is fixed

CE-260 (Hard, knowledge) Basic Keynesian Models

The paradox of thrift, in a Keynesian model with spare capacity, says that

- A. consumption and saving move in opposite directions for one household but income is fixed for the economy
- B. an attempt by everyone to save more can reduce income so that actual saving does not rise
- C. higher saving always raises equilibrium income
- D. the interest rate falls and investment rises enough to keep income at full employment

CE-261 (Medium, application) Basic Keynesian Models

As income rises along $C = a + bY$, with a positive,

- A. the average propensity to consume rises above 1 and stays there
- B. the average propensity to consume falls toward the marginal propensity to consume
- C. the marginal propensity to consume becomes greater than 1
- D. autonomous consumption rises with income

CE-262 (Medium, application) Basic Keynesian Models

In a deep recession with spare capacity, the Keynesian remedy for unemployment is

- A. a rise in interest rates to encourage saving
- B. an increase in government spending or a cut in taxes
- C. a wage increase imposed on firms that already cannot sell their output
- D. a cut in aggregate demand

CE-263 (Medium, application) Basic Keynesian Models

Liquidity preference is Keynes's explanation of

- A. the Lorenz curve
- B. comparative advantage
- C. the production possibility frontier
- D. the demand for money

CE-264 (Medium, application) Basic Keynesian Models

Other things equal, a higher marginal propensity to import makes the multiplier

- A. larger, because imports are an injection
- B. equal to 1 regardless of the marginal propensity to consume
- C. infinite
- D. smaller, because more of any extra income leaks into imports

CE-265 (Hard, calculation) Basic Keynesian Models

In Harbour Cay, consumption is $200 + 0.6Y$, investment is 50, government spending is 70, exports are 40 and imports are 20. All figures are EC\$ million and imports are autonomous. Equilibrium income, from $Y = C + I + G + (X - M)$, is

- A. EC\$850 million
- B. EC\$204 million
- C. EC\$340 million
- D. EC\$342.5 million

CE-266 (Medium, calculation) Basic Keynesian Models

In Harbour Cay, the consumption function is $C = 40 + 0.9Y$ and income is EC\$800 million. The average propensity to consume, C/Y , is

- A. 760
- B. 0.05
- C. 0.95
- D. 0.9

CE-267 (Hard, calculation) Basic Keynesian Models

In Maren Island, consumption is $80 + 0.5Y$, investment is 40, government spending is 60, exports are 20 and imports are 10. All figures are EC\$ million and imports are autonomous. Equilibrium income, from $Y = C + I + G + (X - M)$, is

- A. EC\$190 million
- B. EC\$192 million
- C. EC\$95 million
- D. EC\$380 million

CE-268 (Medium, calculation) Basic Keynesian Models

In Maren Island, the consumption function is $C = 80 + 0.5Y$ and income is EC\$200 million. The average propensity to consume, C/Y , is

- A. 0.5
- B. 0.9
- C. 0.1
- D. 0.4

CE-269 (Hard, calculation) Basic Keynesian Models

In Port Clare, consumption is $50 + 0.75Y$, investment is 30, government spending is 40, exports are 20 and imports are 15. All figures are EC\$ million and imports are autonomous. Equilibrium income, from $Y = C + I + G + (X - M)$, is

- A. EC\$93.75 million
- B. EC\$129 million
- C. EC\$500 million
- D. EC\$125 million

CE-270 (Medium, calculation) Basic Keynesian Models

In Port Clare, the consumption function is $C = 50 + 0.75Y$ and income is EC\$500 million. The average propensity to consume, C/Y , is

- A. 0.85
- B. 0.15
- C. 0.75
- D. 0.1

CE-271 (Hard, calculation) Basic Keynesian Models

In St Brice, consumption is $100 + 0.8Y$, investment is 40, government spending is 50, exports are 30 and imports are 20. All figures are EC\$ million and imports are autonomous. Equilibrium income, from $Y = C + I + G + (X - M)$, is

- A. EC\$200 million
- B. EC\$160 million
- C. EC\$1000 million
- D. EC\$205 million

CE-272 (Medium, calculation) Basic Keynesian Models

In St Brice, the consumption function is $C = 100 + 0.8Y$ and income is EC\$500 million. The average propensity to consume, C/Y , is

- A. 0.2
- B. 1
- C. 0.8
- D. 0

CE-273 (Medium, calculation) Basic Keynesian Models

In a closed economy with no government, the Harbour Cay model uses the multiplier $1 / (1 - \text{MPC})$. MPC is 0.6. The multiplier is

- A. 2.5
- B. 1.67
- C. 0.6
- D. 0.4

CE-274 (Medium, calculation) Basic Keynesian Models

In a closed economy with no government, the Maren Island model uses the multiplier $1 / (1 - \text{MPC})$. MPC is 0.5. The multiplier is

- A. 1
- B. 2
- C. 5
- D. 0.5

CE-275 (Medium, calculation) Basic Keynesian Models

In a closed economy with no government, the Port Clare model uses the multiplier $1 / (1 - \text{MPC})$. MPC is 0.75. The multiplier is

- A. 1.33
- B. 4
- C. 0.75
- D. 0.25

CE-276 (Medium, calculation) Basic Keynesian Models

In a closed economy with no government, the St Brice model uses the multiplier $1 / (1 - \text{MPC})$. MPC is 0.8. The multiplier is

- A. 1.25
- B. 0.2
- C. 0.8
- D. 5

CE-277 (Medium, calculation) Basic Keynesian Models

Using that same Harbour Cay multiplier of 2.5, an increase in autonomous investment of EC\$15 million changes equilibrium national income by

- A. EC\$37.5 million
- B. EC\$9 million

- C. EC\$15 million
- D. EC\$17.5 million

CE-278 (Medium, calculation) Basic Keynesian Models

Using that same Maren Island multiplier of 2, an increase in autonomous investment of EC\$40 million changes equilibrium national income by

- A. EC\$40 million
- B. EC\$42 million
- C. EC\$20 million
- D. EC\$80 million

CE-279 (Medium, calculation) Basic Keynesian Models

Using that same Port Clare multiplier of 4, an increase in autonomous investment of EC\$20 million changes equilibrium national income by

- A. EC\$80 million
- B. EC\$20 million
- C. EC\$24 million
- D. EC\$15 million

CE-280 (Medium, calculation) Basic Keynesian Models

Using that same St Brice multiplier of 5, an increase in autonomous investment of EC\$10 million changes equilibrium national income by

- A. EC\$15 million
- B. EC\$10 million
- C. EC\$8 million
- D. EC\$50 million

CE-281 (Easy, knowledge) Classical Models of the Macroeconomy

A central Classical assumption is that

- A. the money supply never affects prices
- B. aggregate demand alone sets real output at every price
- C. wages, prices and interest rates are flexible and the economy tends to full employment
- D. wages are stuck, so the economy can stay below full employment indefinitely

CE-282 (Medium, knowledge) Classical Models of the Macroeconomy

Classical unemployment is viewed mainly as

- A. voluntary or temporary, because flexible wages clear the labour market
- B. the same thing as a liquidity trap
- C. a permanent equilibrium below full employment caused by sticky wages
- D. impossible to define

CE-283 (Medium, knowledge) Classical Models of the Macroeconomy

Crowding out, in a Classical full-employment setting with a fixed money supply, means

- A. taxes automatically fall in a boom
- B. the multiplier is larger than in a deep recession
- C. government spending raises private investment dollar for dollar with no interest-rate effect
- D. government borrowing raises the interest rate and reduces private investment

CE-284 (Medium, knowledge) Classical Models of the Macroeconomy

In the Classical model, the long-run aggregate supply curve is

- A. downward sloping
- B. the same curve as aggregate demand
- C. horizontal at a sticky price
- D. vertical at the full-employment level of output

CE-285 (Medium, knowledge) Classical Models of the Macroeconomy

Say's Law, as used in the Classical model, says that

- A. saving always exceeds investment at full employment
- B. demand creates its own supply with sticky prices
- C. supply creates its own demand
- D. exports must equal taxes

CE-286 (Hard, knowledge) Classical Models of the Macroeconomy

Which contrast is correct?

- A. Both schools deny that aggregate demand can affect prices
- B. Classical economists expect flexible wages to restore full employment; Keynesians allow sticky wages and an equilibrium below full employment
- C. Keynesians assume the interest rate always clears the goods market at full employment
- D. Classical economists assume a horizontal aggregate supply curve at every output

CE-287 (Easy, application) Classical Models of the Macroeconomy

A point on the Classical long-run aggregate supply curve shows

- A. full-employment output, whatever the price level
- B. unemployment of labour at a sticky wage
- C. a deflationary gap by definition
- D. the Keynesian 45-degree equilibrium only

CE-288 (Medium, application) Classical Models of the Macroeconomy

A rightward shift of long-run aggregate supply, in a Classical diagram, can be caused by

- A. a higher money supply with no change in productive capacity
- B. a fall in aggregate demand
- C. sticky wages
- D. growth of the labour force or an improvement in technology

CE-289 (Medium, application) Classical Models of the Macroeconomy

In the Classical loanable-funds story, a rise in saving

- A. lowers the interest rate and raises investment until saving and investment are equal
- B. causes a permanent glut of goods
- C. raises the interest rate and cuts investment
- D. has no link to the interest rate

CE-290 (Hard, application) Classical Models of the Macroeconomy

In the Classical model, an increase in the money supply, with velocity stable and output at full employment,

- A. raises real output in proportion and leaves prices unchanged
- B. raises the price level in proportion
- C. creates a liquidity trap
- D. lowers the price level

CE-291 (Easy, knowledge) Investment

Investment, in national-income accounting, means

- A. consumption of food
- B. spending on capital goods, changes in stocks, and new buildings
- C. a transfer payment
- D. buying an existing share from another household

CE-292 (Medium, knowledge) Investment

Replacement investment is

- A. a withdrawal from the circular flow
- B. purchases of imported consumer goods
- C. the same as net investment by definition
- D. spending to make good depreciation of the existing capital stock

CE-293 (Medium, knowledge) Investment

The accelerator principle says that net investment depends on

- A. last year's interest rate only, with output irrelevant
- B. the price level alone
- C. the rate of change of national income, not only on the level of income
- D. the Gini coefficient

CE-294 (Medium, knowledge) Investment

The marginal efficiency of capital is

- A. the accelerator coefficient
- B. the flow of investment during a year, drawn against the interest rate, including shifts from business confidence

- C. the expected rate of return on an extra unit of the capital stock
- D. the marginal propensity to consume

CE-295 (Hard, knowledge) Investment

The marginal efficiency of investment schedule shifts when

- A. consumption is autonomous
- B. business confidence, technology or the cost of capital goods changes, at a given interest rate
- C. only the interest rate changes, moving the economy along the schedule
- D. the money supply is constant and nothing else happens

CE-296 (Medium, application) Investment

A firm compares the marginal efficiency of capital with the interest rate. It buys the extra machine if

- A. the expected rate of return is below the interest rate
- B. velocity is constant
- C. the expected rate of return is above the interest rate
- D. the interest rate is equal to the wage

CE-297 (Medium, application) Investment

Interest rates fall and nothing else changes. Along a downward-sloping MEI schedule,

- A. the schedule shifts left
- B. the volume of investment rises
- C. the volume of investment falls
- D. marginal efficiency becomes meaningless

CE-298 (Hard, application) Investment

Output has been growing quickly and then the growth rate slows, although output is still rising. The simple accelerator predicts that

- A. the capital stock must fall to zero
- B. induced investment keeps rising at the previous pace
- C. induced investment depends only on the price level
- D. induced investment falls

CE-299 (Easy, application) Investment

Which event shifts the investment demand schedule to the right?

- A. A fall in expected returns on capital
- B. A rise in business confidence about future sales
- C. A rise in the rate of interest alone
- D. An increase in the cost of new machines with no change in expected revenue

CE-300 (Medium, knowledge) National Income Accounting

Disposable income is

- A. household income after personal taxes, available to spend or save

- B. the same as the government budget deficit
- C. GDP at factor cost
- D. exports minus imports

CE-301 (Medium, knowledge) National Income Accounting

GDP is a measure of output produced

- A. only in the public sector
- B. only as a stock of wealth
- C. on the country's territory, whether or not the factors are owned by residents
- D. only by nationally owned factors, wherever they are located

CE-302 (Easy, knowledge) National Income Accounting

In the circular flow of income, households

- A. are outside the flow because only government spends
- B. supply factors to firms and receive incomes, which they spend on output
- C. export factors and never consume
- D. produce all output and pay themselves no income

CE-303 (Hard, knowledge) National Income Accounting

Net national income, in the standard sequence used with this syllabus, is related to GNP by

- A. adding indirect taxes and subtracting subsidies
- B. ignoring capital consumption
- C. subtracting depreciation
- D. adding imports

CE-304 (Easy, knowledge) National Income Accounting

Nominal GDP can rise from one year to the next even if real output does not, because

- A. the terms of trade must have fallen
- B. depreciation is zero
- C. imports are not subtracted
- D. prices have risen

CE-305 (Medium, knowledge) National Income Accounting

Per capita income is

- A. the Gini coefficient
- B. the wage of the median worker only
- C. national income multiplied by population
- D. national income divided by population

CE-306 (Easy, knowledge) National Income Accounting

Which list contains injections into the circular flow?

- A. Taxation, exports and saving
- B. Saving, investment and imports
- C. Saving, taxation and imports
- D. Investment, government spending and exports

CE-307 (Easy, knowledge) National Income Accounting

Which list contains withdrawals from the circular flow?

- A. Consumption, investment and exports
- B. Wages, rent and profit
- C. Saving, taxation and imports
- D. Investment, government spending and exports

CE-308 (Medium, application) National Income Accounting

A rise in real GDP per capita does not by itself prove living standards have risen for most people, because

- A. per capita figures ignore the number of people
- B. real GDP already deducts every non-market activity and all pollution
- C. the extra income may be concentrated in a few households
- D. population cannot change

CE-309 (Medium, application) National Income Accounting

Counting both the flour sold to a bakery and the bread sold to households would

- A. remove indirect taxes
- B. double-count, because the flour is an intermediate good already inside the value of the bread
- C. be the correct value-added method
- D. measure GNP rather than GDP

CE-310 (Medium, application) National Income Accounting

Foreign-owned hotels in Maren Island repatriate profits. Other things equal, this makes

- A. GNP larger than GDP
- B. GDP larger than GNP
- C. GDP equal to depreciation
- D. net property income from abroad positive

CE-311 (Medium, application) National Income Accounting

Which payment should be excluded from government spending when measuring GDP?

- A. The cost of a new public road
- B. The salary of a public-school teacher
- C. Government purchases of locally made medicines
- D. Unemployment benefits paid to households

CE-312 (Medium, calculation) National Income Accounting

GDP at market prices in Harbour Cay is EC\$800 million. Indirect taxes are EC\$100 million and subsidies are EC\$25 million. Using $\text{GDP at factor cost} = \text{GDP at market prices} - \text{indirect taxes} + \text{subsidies}$, GDP at factor cost is

- A. EC\$925 million
- B. EC\$675 million
- C. EC\$875 million
- D. EC\$725 million

CE-313 (Medium, calculation) National Income Accounting

GDP at market prices in Maren Island is EC\$640 million. Indirect taxes are EC\$40 million and subsidies are EC\$10 million. Using $\text{GDP at factor cost} = \text{GDP at market prices} - \text{indirect taxes} + \text{subsidies}$, GDP at factor cost is

- A. EC\$670 million
- B. EC\$590 million
- C. EC\$690 million
- D. EC\$610 million

CE-314 (Medium, calculation) National Income Accounting

GDP at market prices in Port Clare is EC\$1200 million. Indirect taxes are EC\$150 million and subsidies are EC\$30 million. Using $\text{GDP at factor cost} = \text{GDP at market prices} - \text{indirect taxes} + \text{subsidies}$, GDP at factor cost is

- A. EC\$1380 million
- B. EC\$1320 million
- C. EC\$1080 million
- D. EC\$1020 million

CE-315 (Medium, calculation) National Income Accounting

GDP at market prices in St Brice is EC\$900 million. Indirect taxes are EC\$70 million and subsidies are EC\$20 million. Using $\text{GDP at factor cost} = \text{GDP at market prices} - \text{indirect taxes} + \text{subsidies}$, GDP at factor cost is

- A. EC\$810 million
- B. EC\$990 million
- C. EC\$950 million
- D. EC\$850 million

CE-316 (Medium, calculation) National Income Accounting

GDP at market prices in Westford is EC\$450 million. Indirect taxes are EC\$60 million and subsidies are EC\$10 million. Using $\text{GDP at factor cost} = \text{GDP at market prices} - \text{indirect taxes} + \text{subsidies}$, GDP at factor cost is

- A. EC\$520 million
- B. EC\$500 million

- C. EC\$400 million
- D. EC\$380 million

CE-317 (Medium, calculation) National Income Accounting

GDP in Harbour Cay is EC\$960 million. Net property income from abroad is EC\$25 million. Using $GNP = GDP + \text{net property income from abroad}$, GNP is

- A. EC\$960 million
- B. EC\$985 million
- C. EC\$945 million
- D. EC\$935 million

CE-318 (Medium, calculation) National Income Accounting

GDP in Maren Island is EC\$420 million. Net property income from abroad is EC\$-15 million. Using $GNP = GDP + \text{net property income from abroad}$, GNP is

- A. EC\$375 million
- B. EC\$405 million
- C. EC\$435 million
- D. EC\$420 million

CE-319 (Medium, calculation) National Income Accounting

GDP in Port Clare is EC\$1500 million. Net property income from abroad is EC\$60 million. Using $GNP = GDP + \text{net property income from abroad}$, GNP is

- A. EC\$1500 million
- B. EC\$1480 million
- C. EC\$1440 million
- D. EC\$1560 million

CE-320 (Medium, calculation) National Income Accounting

GDP in St Brice is EC\$800 million. Net property income from abroad is EC\$-40 million. Using $GNP = GDP + \text{net property income from abroad}$, GNP is

- A. EC\$760 million
- B. EC\$710 million
- C. EC\$840 million
- D. EC\$800 million

CE-321 (Medium, calculation) National Income Accounting

GDP in Westford is EC\$300 million. Net property income from abroad is EC\$-20 million. Using $GNP = GDP + \text{net property income from abroad}$, GNP is

- A. EC\$260 million
- B. EC\$320 million
- C. EC\$300 million
- D. EC\$280 million

CE-322 (Medium, calculation) National Income Accounting

GNP in Harbour Cay is EC\$985 million and depreciation is EC\$40 million. In this item, net national income is defined as GNP minus depreciation. Net national income is

- A. EC\$985 million
- B. EC\$945 million
- C. EC\$1025 million
- D. EC\$40 million

CE-323 (Medium, calculation) National Income Accounting

GNP in Maren Island is EC\$405 million and depreciation is EC\$30 million. In this item, net national income is defined as GNP minus depreciation. Net national income is

- A. EC\$30 million
- B. EC\$375 million
- C. EC\$405 million
- D. EC\$435 million

CE-324 (Medium, calculation) National Income Accounting

GNP in Port Clare is EC\$1560 million and depreciation is EC\$80 million. In this item, net national income is defined as GNP minus depreciation. Net national income is

- A. EC\$80 million
- B. EC\$1480 million
- C. EC\$1640 million
- D. EC\$1560 million

CE-325 (Medium, calculation) National Income Accounting

GNP in St Brice is EC\$760 million and depreciation is EC\$50 million. In this item, net national income is defined as GNP minus depreciation. Net national income is

- A. EC\$50 million
- B. EC\$760 million
- C. EC\$710 million
- D. EC\$810 million

CE-326 (Medium, calculation) National Income Accounting

GNP in Westford is EC\$280 million and depreciation is EC\$20 million. In this item, net national income is defined as GNP minus depreciation. Net national income is

- A. EC\$260 million
- B. EC\$20 million
- C. EC\$300 million
- D. EC\$280 million

CE-327 (Medium, calculation) National Income Accounting

In Harbour Cay, in EC\$ million, consumption is 600, investment is 180, government spending on goods and services is 260, exports are 200 and imports are 240. Using $GDP = C + I + G + (X - M)$, GDP is

- A. EC\$1480 million
- B. EC\$1000 million
- C. EC\$1040 million
- D. EC\$1240 million

CE-328 (Medium, calculation) National Income Accounting

In Maren Island, in EC\$ million, consumption is 250, investment is 90, government spending on goods and services is 140, exports are 60 and imports are 40. Using $GDP = C + I + G + (X - M)$, GDP is

- A. EC\$500 million
- B. EC\$540 million
- C. EC\$480 million
- D. EC\$580 million

CE-329 (Medium, calculation) National Income Accounting

In Port Clare, in EC\$ million, consumption is 800, investment is 220, government spending on goods and services is 300, exports are 250 and imports are 170. Using $GDP = C + I + G + (X - M)$, GDP is

- A. EC\$1400 million
- B. EC\$1740 million
- C. EC\$1320 million
- D. EC\$1570 million

CE-330 (Medium, calculation) National Income Accounting

In St Brice, in EC\$ million, consumption is 400, investment is 150, government spending on goods and services is 200, exports are 120 and imports are 80. Using $GDP = C + I + G + (X - M)$, GDP is

- A. EC\$870 million
- B. EC\$750 million
- C. EC\$950 million
- D. EC\$790 million

CE-331 (Medium, calculation) National Income Accounting

In Westford, in EC\$ million, consumption is 150, investment is 70, government spending on goods and services is 80, exports are 40 and imports are 30. Using $GDP = C + I + G + (X - M)$, GDP is

- A. EC\$300 million
- B. EC\$340 million
- C. EC\$370 million
- D. EC\$310 million

CE-332 (Medium, calculation) National Income Accounting

Nominal GDP in Harbour Cay is EC\$990 million and the GDP deflator is 110 (base year = 100). Using $\text{real GDP} = \text{nominal GDP} / \text{deflator} \times 100$, real GDP is

- A. EC\$900 million
- B. EC\$990 million
- C. EC\$9 million
- D. EC\$1089 million

CE-333 (Medium, calculation) National Income Accounting

Nominal GDP in Maren Island is EC\$600 million and the GDP deflator is 120 (base year = 100). Using $\text{real GDP} = \text{nominal GDP} / \text{deflator} \times 100$, real GDP is

- A. EC\$500 million
- B. EC\$5 million
- C. EC\$600 million
- D. EC\$720 million

CE-334 (Medium, calculation) National Income Accounting

Nominal GDP in Port Clare is EC\$1500 million and the GDP deflator is 125 (base year = 100). Using $\text{real GDP} = \text{nominal GDP} / \text{deflator} \times 100$, real GDP is

- A. EC\$1500 million
- B. EC\$1875 million
- C. EC\$1200 million
- D. EC\$12 million

CE-335 (Medium, calculation) National Income Accounting

Nominal GDP in St Brice is EC\$840 million and the GDP deflator is 105 (base year = 100). Using $\text{real GDP} = \text{nominal GDP} / \text{deflator} \times 100$, real GDP is

- A. EC\$800 million
- B. EC\$840 million
- C. EC\$882 million
- D. EC\$8 million

Unit 2: Macroeconomics

Module 2: Macroeconomic Problems and Policies

CE-336 (Medium, knowledge) Fiscal Policy

A structural budget deficit is

- A. a surplus
- B. the part of the deficit caused only by a recession
- C. the national debt
- D. the deficit that would remain even if the economy were at its normal level of output

CE-337 (Medium, knowledge) Fiscal Policy

Automatic stabilisers are

- A. tax and benefit rules that reduce the amplitude of the business cycle without a new policy decision
- B. discretionary changes announced in each budget
- C. tariffs that change every week by ministerial order
- D. open-market operations

CE-338 (Hard, knowledge) Fiscal Policy

Crowding in occurs when

- A. public investment raises the profitability of private investment, so private investment rises
- B. public borrowing necessarily cuts private investment one for one at full employment
- C. the money multiplier is 1
- D. taxes are indexed

CE-339 (Easy, knowledge) Fiscal Policy

Fiscal policy uses

- A. the exchange rate alone
- B. the required reserve ratio only
- C. government spending and taxation
- D. open-market operations only

CE-340 (Medium, application) Fiscal Policy

A government wants to reduce demand-pull inflation. A suitable fiscal action is

- A. buying securities on the open market, which is fiscal policy
- B. cutting taxes and raising spending
- C. increasing transfer payments to households by a large amount
- D. raising taxes or cutting government spending

CE-341 (Medium, application) Fiscal Policy

During a boom, income-tax revenue rises and unemployment benefits fall. This automatic change

- A. raises the multiplier above its recession value

- B. dampens the boom
- C. amplifies the boom
- D. is contractionary monetary policy

CE-342 (Hard, application) Fiscal Policy

Near full employment, a bond-financed rise in government spending is more likely to crowd out private investment if

- A. taxes are cut by the same amount and the balanced-budget multiplier is the only effect considered, with interest rates fixed
- B. the money supply does not rise and the interest rate increases
- C. the economy is in a liquidity trap
- D. there is a deep recession and idle saving

CE-343 (Easy, application) Fiscal Policy

The public-sector borrowing requirement in a year is a

- A. flow
- B. measure of the money multiplier
- C. stock of debt accumulated over all past years
- D. price index

CE-344 (Easy, application) Fiscal Policy

Which is expansionary fiscal policy?

- A. A rise in income tax rates
- B. A cut in capital spending with no other change
- C. A cut in income tax or a rise in government spending on goods and services
- D. An open-market sale of securities

CE-345 (Medium, application) Fiscal Policy

Why might fiscal policy act with a lag?

- A. Tax rates change output on the same morning they are drafted, with no delay
- B. Automatic stabilisers require a new law every month
- C. It takes time to recognise the problem, pass a budget and spend the money
- D. Government spending is not part of aggregate demand

CE-346 (Medium, calculation) Fiscal Policy

The government of Harbour Cay spends EC\$420 million on goods and services, pays EC\$60 million in transfer payments, and collects EC\$400 million in tax revenue. The budget balance, tax revenue minus spending on goods, services and transfers, is

- A. a balanced budget
- B. a deficit of EC\$420 million
- C. a deficit of EC\$20 million
- D. a deficit of EC\$80 million

CE-347 (Medium, calculation) Fiscal Policy

The government of Maren Island spends EC\$180 million on goods and services, pays EC\$20 million in transfer payments, and collects EC\$250 million in tax revenue. The budget balance, tax revenue minus spending on goods, services and transfers, is

- A. a deficit of EC\$180 million
- B. a surplus of EC\$50 million
- C. a surplus of EC\$70 million
- D. a balanced budget

CE-348 (Medium, calculation) Fiscal Policy

The government of Port Clare spends EC\$500 million on goods and services, pays EC\$80 million in transfer payments, and collects EC\$500 million in tax revenue. The budget balance, tax revenue minus spending on goods, services and transfers, is

- A. a deficit of EC\$80 million
- B. a balanced budget
- C. a deficit of EC\$500 million
- D. a balanced budget if transfers are excluded, and that is the full balance

CE-349 (Medium, calculation) Fiscal Policy

The government of St Brice spends EC\$300 million on goods and services, pays EC\$40 million in transfer payments, and collects EC\$260 million in tax revenue. The budget balance, tax revenue minus spending on goods, services and transfers, is

- A. a deficit of EC\$80 million
- B. a deficit of EC\$40 million
- C. a deficit of EC\$300 million
- D. a balanced budget

CE-350 (Medium, knowledge) Monetary Theory and Policy

A repo, in monetary operations, is

- A. a sale of securities with an agreement to repurchase them, used to manage bank liquidity
- B. a tax on imports
- C. a transfer payment
- D. the same as government spending on a road

CE-351 (Medium, knowledge) Monetary Theory and Policy

In the quantity theory $MV = PY$, if velocity is stable and real output is at full employment, a higher money supply

- A. lowers velocity in exact proportion, leaving PY unchanged, by assumption of this case
- B. raises the price level
- C. lowers prices
- D. raises real output in the same proportion and leaves prices unchanged

CE-352 (Easy, knowledge) Monetary Theory and Policy

M1, a narrow measure of money, typically includes

- A. shares in every company
- B. currency in circulation and demand deposits
- C. factory buildings
- D. only long-term government bonds

CE-353 (Medium, knowledge) Monetary Theory and Policy

Moral suasion, as a monetary instrument, means

- A. a tariff
- B. the central bank persuades commercial banks to restrict or expand lending
- C. a legal change in the tax rate
- D. the purchase of goods by the ministry of finance

CE-354 (Medium, knowledge) Monetary Theory and Policy

Speculative demand for money is

- A. unrelated to the rate of interest
- B. the same as the demand for capital goods
- C. perfectly inelastic at every interest rate, in Keynes's basic account
- D. inversely related to the rate of interest

CE-355 (Medium, knowledge) Monetary Theory and Policy

The monetary base is

- A. currency held by the public plus commercial-bank reserves at the central bank
- B. M2 minus currency
- C. the government's external debt
- D. national income

CE-356 (Medium, knowledge) Monetary Theory and Policy

The transactions demand for money rises when

- A. national income falls, and that is the only influence Keynes allowed
- B. national income rises
- C. prices are zero
- D. the speculative motive disappears at high interest rates only, with income irrelevant

CE-357 (Easy, knowledge) Monetary Theory and Policy

Which set lists the four functions of money?

- A. Medium of exchange, store of value, unit of account and standard of deferred payment
- B. Unit of account, public good, merit good and transfer earnings
- C. Store of value only, with no other function accepted

D. Medium of exchange, Gini coefficient, terms of trade and tariff

CE-358 (Medium, application) Monetary Theory and Policy

An increase in the required reserve ratio is

- A. expansionary, because the multiplier rises
- B. contractionary, because banks can lend a smaller fraction of deposits
- C. fiscal policy
- D. a cut in taxation

CE-359 (Hard, application) Monetary Theory and Policy

If commercial banks keep excess reserves and the public holds more cash, the simple deposit multiplier $1/\text{reserve ratio}$

- A. understates the expansion, because excess reserves create extra loans
- B. becomes equal to the reserve ratio
- C. overstates the expansion of deposits
- D. is exactly correct with no further assumption

CE-360 (Hard, application) Monetary Theory and Policy

Monetary policy is weak in a liquidity trap because

- A. the multiplier on government spending is zero
- B. open-market operations are a fiscal instrument
- C. extra money is held rather than spent, and the interest rate does not fall further
- D. reserve ratios cannot be defined

CE-361 (Medium, application) Monetary Theory and Policy

The central bank of St Brice buys government securities on the open market. This is

- A. expansionary monetary policy, because bank reserves and the money supply rise
- B. a price ceiling
- C. fiscal policy, because taxes change
- D. contractionary, because reserves fall

CE-362 (Easy, application) Monetary Theory and Policy

The central bank raises its discount rate, or bank rate. This is intended to

- A. devalue the currency by definition
- B. discourage bank borrowing from the central bank and restrain credit
- C. increase the fiscal deficit directly
- D. encourage banks to borrow more and expand credit

CE-363 (Easy, application) Monetary Theory and Policy

Which is contractionary monetary policy?

- A. The required reserve ratio is cut
- B. The central bank buys securities

- C. The central bank sells securities on the open market
- D. The bank rate is cut

CE-364 (Hard, calculation) Monetary Theory and Policy

A new cash deposit of EC\$1000 enters the banks of St Brice. The required reserve ratio is 20 percent. Assume no cash drain and that banks hold no excess reserves. Using the simple deposit multiplier $1/\text{reserve ratio}$, the maximum total of bank deposits, including the initial deposit, is

- A. EC\$4000
- B. EC\$800
- C. EC\$200
- D. EC\$5000

CE-365 (Hard, calculation) Monetary Theory and Policy

A new cash deposit of EC\$2000 enters the banks of Maren Island. The required reserve ratio is 10 percent. Assume no cash drain and that banks hold no excess reserves. Using the simple deposit multiplier $1/\text{reserve ratio}$, the maximum total of bank deposits, including the initial deposit, is

- A. EC\$18000
- B. EC\$200
- C. EC\$20000
- D. EC\$1800

CE-366 (Hard, calculation) Monetary Theory and Policy

A new cash deposit of EC\$400 enters the banks of Westford. The required reserve ratio is 12.5 percent. Assume no cash drain and that banks hold no excess reserves. Using the simple deposit multiplier $1/\text{reserve ratio}$, the maximum total of bank deposits, including the initial deposit, is

- A. EC\$50
- B. EC\$350
- C. EC\$3200
- D. EC\$2800

CE-367 (Hard, calculation) Monetary Theory and Policy

A new cash deposit of EC\$500 enters the banks of Port Clare. The required reserve ratio is 25 percent. Assume no cash drain and that banks hold no excess reserves. Using the simple deposit multiplier $1/\text{reserve ratio}$, the maximum total of bank deposits, including the initial deposit, is

- A. EC\$125
- B. EC\$1500
- C. EC\$375
- D. EC\$2000

CE-368 (Hard, calculation) Monetary Theory and Policy

A new cash deposit of EC\$800 enters the banks of Harbour Cay. The required reserve ratio is 20 percent. Assume no cash drain and that banks hold no excess reserves. Using the simple deposit multiplier $1/\text{reserve ratio}$, the maximum total of bank deposits, including the initial deposit, is

- A. EC\$4000
- B. EC\$3200
- C. EC\$160
- D. EC\$640

CE-369 (Easy, calculation) Monetary Theory and Policy

In Harbour Cay the nominal interest rate is 8 percent and the inflation rate is 3 percent. Using the approximate relation $\text{real rate} \approx \text{nominal rate} - \text{inflation rate}$, the real interest rate is

- A. 5 percent
- B. 11 percent
- C. 3 percent
- D. 8 percent

CE-370 (Easy, calculation) Monetary Theory and Policy

In Maren Island the nominal interest rate is 6 percent and the inflation rate is 2 percent. Using the approximate relation $\text{real rate} \approx \text{nominal rate} - \text{inflation rate}$, the real interest rate is

- A. 6 percent
- B. 2 percent
- C. 4 percent
- D. 8 percent

CE-371 (Easy, calculation) Monetary Theory and Policy

In Port Clare the nominal interest rate is 12 percent and the inflation rate is 7 percent. Using the approximate relation $\text{real rate} \approx \text{nominal rate} - \text{inflation rate}$, the real interest rate is

- A. 19 percent
- B. 12 percent
- C. 7 percent
- D. 5 percent

CE-372 (Easy, calculation) Monetary Theory and Policy

In St Brice the nominal interest rate is 9 percent and the inflation rate is 4 percent. Using the approximate relation $\text{real rate} \approx \text{nominal rate} - \text{inflation rate}$, the real interest rate is

- A. 13 percent
- B. 5 percent
- C. 9 percent
- D. 4 percent

CE-373 (Easy, calculation) Monetary Theory and Policy

In Westford the nominal interest rate is 15 percent and the inflation rate is 5 percent. Using the approximate relation $\text{real rate} \approx \text{nominal rate} - \text{inflation rate}$, the real interest rate is

- A. 15 percent
- B. 5 percent

- C. 10 percent
- D. 20 percent

CE-374 (Medium, calculation) Monetary Theory and Policy

In a Harbour Cay quantity-theory example, the money stock M is 250, velocity V is 4 and the price level P is 2. Using $MV = PY$, real output Y is

- A. 500
- B. 1000
- C. 2000
- D. 125

CE-375 (Medium, calculation) Monetary Theory and Policy

In a Maren Island quantity-theory example, the money stock M is 100, velocity V is 8 and the price level P is 4. Using $MV = PY$, real output Y is

- A. 800
- B. 3200
- C. 200
- D. 25

CE-376 (Medium, calculation) Monetary Theory and Policy

In a Port Clare quantity-theory example, the money stock M is 500, velocity V is 3 and the price level P is 5. Using $MV = PY$, real output Y is

- A. 7500
- B. 100
- C. 1500
- D. 300

CE-377 (Medium, calculation) Monetary Theory and Policy

In a St Brice quantity-theory example, the money stock M is 200, velocity V is 4 and the price level P is 2. Using $MV = PY$, real output Y is

- A. 400
- B. 800
- C. 1600
- D. 100

CE-378 (Medium, calculation) Monetary Theory and Policy

In a Westford quantity-theory example, the money stock M is 80, velocity V is 5 and the price level P is 2. Using $MV = PY$, real output Y is

- A. 200
- B. 40
- C. 400
- D. 800

CE-379 (Medium, knowledge) Public Debt

A high debt-service ratio means

- A. the budget is always in surplus
- B. the terms of trade equal 100 by definition
- C. exports are larger than debt service, so the ratio is low
- D. a large share of export earnings goes to interest and principal on external debt

CE-380 (Medium, knowledge) Public Debt

The burden of the debt on future generations is clearest when

- A. the debt is zero
- B. debt is external, so future residents must transfer real resources to foreigners
- C. the government prints a stock of money and calls it debt service without any further consequence
- D. debt is internal, interest is taxed back from the same residents, and there is no other effect

CE-381 (Easy, knowledge) Public Debt

The national debt is

- A. this year's tax revenue
- B. the money supply
- C. the stock of government borrowing that has not yet been repaid
- D. the deficit of the current year only

CE-382 (Easy, application) Public Debt

A budget deficit this year, financed by borrowing,

- A. is the same statistic as the debt-service ratio
- B. reduces the national debt by the amount of the deficit
- C. is a stock, not a flow
- D. adds to the national debt

CE-383 (Hard, application) Public Debt

Inflation reduces the real burden of a domestic debt fixed in money terms if

- A. the nominal interest rate does not rise fully with inflation
- B. tax revenue is fixed in nominal terms and spending is indexed
- C. the debt is indexed to the price level and the real interest rate stays constant
- D. the debt is denominated in a foreign currency that appreciates

CE-384 (Medium, application) Public Debt

Internal debt differs from external debt because

- A. interest on internal debt is paid to residents, whereas external debt service uses foreign currency and is paid to non-residents
- B. internal debt has no opportunity cost of any kind
- C. they are both stocks of private company shares

D. external debt never has to be serviced

CE-385 (Medium, application) Public Debt

Refinancing a loan replaces a maturing debt with a new loan. The debt stock

- A. need not fall, because one liability replaces another
- B. falls to zero automatically
- C. is converted into GDP
- D. becomes a flow

CE-386 (Medium, application) Public Debt

Which is a way of reducing the burden of an external debt?

- A. Borrowing more abroad only to pay interest, with exports unchanged, and calling that a fall in the burden
- B. Redefining the debt as internal without repaying the foreign creditors
- C. Ignoring principal repayments
- D. Earning more foreign exchange through exports, so that the debt-service ratio falls

CE-387 (Medium, calculation) Public Debt

In Harbour Cay, external interest payments are EC\$40 million and principal repayments are EC\$20 million. Exports of goods and services are EC\$400 million. The debt-service ratio, $(\text{interest} + \text{principal repayments}) / \text{exports} \times 100$, is

- A. 13.64 percent
- B. 15 percent
- C. 5 percent
- D. 10 percent

CE-388 (Medium, calculation) Public Debt

In Maren Island, external interest payments are EC\$12 million and principal repayments are EC\$8 million. Exports of goods and services are EC\$80 million. The debt-service ratio, $(\text{interest} + \text{principal repayments}) / \text{exports} \times 100$, is

- A. 10 percent
- B. 15 percent
- C. 21.74 percent
- D. 25 percent

CE-389 (Medium, calculation) Public Debt

In Port Clare, external interest payments are EC\$45 million and principal repayments are EC\$15 million. Exports of goods and services are EC\$300 million. The debt-service ratio, $(\text{interest} + \text{principal repayments}) / \text{exports} \times 100$, is

- A. 17.39 percent
- B. 5 percent
- C. 15 percent

D. 20 percent

CE-390 (Medium, calculation) Public Debt

In St Brice, external interest payments are EC\$30 million and principal repayments are EC\$20 million. Exports of goods and services are EC\$200 million. The debt-service ratio, $(\text{interest} + \text{principal repayments}) / \text{exports} \times 100$, is

- A. 25 percent
- B. 10 percent
- C. 21.74 percent
- D. 15 percent

CE-391 (Easy, knowledge) Unemployment and Inflation

Cost-push inflation can be started by

- A. a rise in consumer spending when there is massive spare capacity and no cost increase
- B. higher import prices, indirect taxes or wage costs that shift aggregate supply to the left
- C. a fall in oil prices
- D. an increase in potential output

CE-392 (Easy, knowledge) Unemployment and Inflation

Demand-pull inflation is caused by

- A. a fall in the money supply
- B. a rise in import prices or wages that shifts aggregate supply left
- C. a larger deflationary gap
- D. aggregate demand rising when the economy is near full employment

CE-393 (Medium, knowledge) Unemployment and Inflation

Real-wage, or classical, unemployment occurs when

- A. aggregate demand is high and wages are fully flexible downward
- B. the real wage is held above the market-clearing level
- C. workers are between jobs for a week
- D. the harvest ends

CE-394 (Hard, knowledge) Unemployment and Inflation

Stagflation challenged the simple Phillips curve because

- A. both inflation and unemployment fell to zero
- B. inflation and unemployment rose together
- C. the curve predicted that outcome exactly and policy never changed
- D. money did not exist

CE-395 (Easy, knowledge) Unemployment and Inflation

The labour force is

- A. the whole population, including young children

- B. the employed plus the unemployed
- C. only people who are not looking for work
- D. the working-age population minus the employed

CE-396 (Hard, knowledge) Unemployment and Inflation

The natural rate of unemployment is closest to

- A. zero by definition
- B. frictional plus structural unemployment, with no cyclical unemployment
- C. cyclical unemployment only
- D. the whole labour force

CE-397 (Medium, knowledge) Unemployment and Inflation

The short-run Phillips curve shows

- A. the terms of trade
- B. an inverse relationship between unemployment and wage or price inflation
- C. a positive relationship between unemployment and inflation in every period
- D. the production possibility frontier

CE-398 (Medium, knowledge) Unemployment and Inflation

Underemployment means

- A. the labour force has shrunk to zero
- B. every worker is frictionally unemployed
- C. the unemployment rate is zero
- D. workers are in jobs that use less skill or fewer hours than they want and can offer

CE-399 (Easy, application) Unemployment and Inflation

A graduate spends six weeks searching for a first job that matches her training. This unemployment is

- A. seasonal by definition, whatever the month
- B. frictional
- C. cyclical
- D. the result of a deficiency of aggregate demand lasting several years

CE-400 (Medium, application) Unemployment and Inflation

A person who has stopped looking for work after many rejections is a discouraged worker. In the standard measure this person is

- A. in the labour force but not of working age
- B. unemployed, because they have no job
- C. employed part-time
- D. outside the labour force, so the unemployment rate does not count them as unemployed

CE-401 (Medium, application) Unemployment and Inflation

A small open island imports most of its fuel. A sharp rise in the world fuel price is most likely to cause

- A. imported cost-push inflation
- B. a fall in the consumer price index in the same month, because imports are excluded
- C. a deflationary gap with lower prices for sure
- D. perfectly elastic aggregate supply

CE-402 (Medium, application) Unemployment and Inflation

A sugar factory in St Brice closes and the workers' skills are not wanted in tourism. They remain unemployed for a long period. This is mainly

- A. a fall in the participation rate only, with the workers still counted as employed
- B. disguised employment
- C. structural unemployment
- D. frictional unemployment lasting a few days

CE-403 (Medium, application) Unemployment and Inflation

Employment in a fruit-packing plant falls every year after the harvest and recovers next season. This is

- A. seasonal unemployment
- B. imported inflation
- C. structural unemployment caused by a permanent loss of the industry
- D. a liquidity trap

CE-404 (Medium, application) Unemployment and Inflation

Hotel workers in Harbour Cay lose their jobs because a recession has cut tourist arrivals. This is mainly

- A. a change in the season that happens every September by custom, with demand otherwise strong
- B. cyclical, or demand-deficient, unemployment
- C. frictional unemployment caused by normal job search
- D. full employment

CE-405 (Hard, application) Unemployment and Inflation

Why might a Caribbean government not rely on a stable Phillips-curve trade-off?

- A. the island has no labour force
- B. inflation is defined as a fall in the price level
- C. unemployment and inflation are the same variable
- D. Imported inflation and supply shocks can raise prices without reducing unemployment

CE-406 (Medium, calculation) Unemployment and Inflation

In Harbour Cay the labour force is 70000 and the working-age population is 100000. The labour-force participation rate, labour force / working-age population $\times$ 100, is

- A. 20 percent
- B. 56 percent
- C. 30 percent
- D. 70 percent

CE-407 (Medium, calculation) Unemployment and Inflation

In Harbour Cay, 56000 people are employed and 14000 are unemployed. The unemployment rate, unemployed / labour force $\times$ 100, where the labour force is employed plus unemployed, is

- A. 25 percent
- B. 14 percent
- C. 80 percent
- D. 20 percent

CE-408 (Medium, calculation) Unemployment and Inflation

In Maren Island the labour force is 40000 and the working-age population is 50000. The labour-force participation rate, labour force / working-age population $\times$ 100, is

- A. 20 percent
- B. 80 percent
- C. 76 percent
- D. 5 percent

CE-409 (Medium, calculation) Unemployment and Inflation

In Maren Island, 38000 people are employed and 2000 are unemployed. The unemployment rate, unemployed / labour force $\times$ 100, where the labour force is employed plus unemployed, is

- A. 95 percent
- B. 4 percent
- C. 5 percent
- D. 5.26 percent

CE-410 (Medium, calculation) Unemployment and Inflation

In Port Clare the labour force is 50000 and the working-age population is 80000. The labour-force participation rate, labour force / working-age population $\times$ 100, is

- A. 10 percent
- B. 56.25 percent
- C. 62.5 percent
- D. 37.5 percent

CE-411 (Medium, calculation) Unemployment and Inflation

In Port Clare, 45000 people are employed and 5000 are unemployed. The unemployment rate, unemployed / labour force $\times$ 100, where the labour force is employed plus unemployed, is

- A. 90 percent
- B. 10 percent

- C. 6.25 percent
- D. 11.11 percent

CE-412 (Medium, calculation) Unemployment and Inflation

In St Brice the labour force is 80000 and the working-age population is 100000. The labour-force participation rate, labour force / working-age population $\times$ 100, is

- A. 80 percent
- B. 20 percent
- C. 10 percent
- D. 72 percent

CE-413 (Medium, calculation) Unemployment and Inflation

In St Brice, 72000 people are employed and 8000 are unemployed. The unemployment rate, unemployed / labour force $\times$ 100, where the labour force is employed plus unemployed, is

- A. 10 percent
- B. 8 percent
- C. 90 percent
- D. 11.11 percent

CE-414 (Medium, calculation) Unemployment and Inflation

In Westford the labour force is 30000 and the working-age population is 40000. The labour-force participation rate, labour force / working-age population $\times$ 100, is

- A. 25 percent
- B. 18 percent
- C. 75 percent
- D. 61.5 percent

CE-415 (Medium, calculation) Unemployment and Inflation

In Westford, 24600 people are employed and 5400 are unemployed. The unemployment rate, unemployed / labour force $\times$ 100, where the labour force is employed plus unemployed, is

- A. 13.5 percent
- B. 21.95 percent
- C. 18 percent
- D. 82 percent

CE-416 (Easy, calculation) Unemployment and Inflation

The consumer price index in Harbour Cay rises from 80 to 96. The inflation rate, (new index - old index) / old index $\times$ 100, is

- A. 16.67 percent
- B. 16 percent
- C. 20 percent
- D. 1.2 percent

CE-417 (Easy, calculation) Unemployment and Inflation

The consumer price index in Maren Island rises from 150 to 165. The inflation rate, $(\text{new index} - \text{old index}) / \text{old index} \times 100$, is

- A. 1.1 percent
- B. 9.09 percent
- C. 10 percent
- D. 15 percent

CE-418 (Easy, calculation) Unemployment and Inflation

The consumer price index in Port Clare rises from 125 to 130. The inflation rate, $(\text{new index} - \text{old index}) / \text{old index} \times 100$, is

- A. 5 percent
- B. 3.85 percent
- C. 4 percent
- D. 1.04 percent

CE-419 (Easy, calculation) Unemployment and Inflation

The consumer price index in St Brice rises from 120 to 126. The inflation rate, $(\text{new index} - \text{old index}) / \text{old index} \times 100$, is

- A. 4.76 percent
- B. 6 percent
- C. 1.05 percent
- D. 5 percent

CE-420 (Easy, calculation) Unemployment and Inflation

The consumer price index in Westford rises from 200 to 210. The inflation rate, $(\text{new index} - \text{old index}) / \text{old index} \times 100$, is

- A. 1.05 percent
- B. 5 percent
- C. 10 percent
- D. 4.76 percent

Unit 2: Macroeconomics

Module 3: Growth, Sustainable Development and Global Relations

CE-421 (Easy, knowledge) Balance of Payments and Exchange Rates

A managed float means

- A. the rate is reset only by the IMF each morning for every country
- B. the rate is permanently fixed and never changes
- C. the rate is mainly market-determined but the central bank sometimes intervenes
- D. there is no foreign-exchange market

CE-422 (Medium, knowledge) Balance of Payments and Exchange Rates

Devaluation is

- A. an official increase in the value of a currency
- B. the same word as appreciation
- C. a market-driven fall in a floating rate
- D. an official reduction in the value of a currency under a fixed exchange rate

CE-423 (Hard, knowledge) Balance of Payments and Exchange Rates

Expenditure-switching policy differs from expenditure-reducing policy because

- A. reducing is a devaluation
- B. both mean a rise in government spending
- C. switching is a cut in the money supply only
- D. switching tries to move spending toward home goods, while reducing tries to cut total spending and imports

CE-424 (Medium, knowledge) Balance of Payments and Exchange Rates

Foreign direct investment is recorded in

- A. the current account as a good
- B. the terms of trade
- C. the financial account, not the current account
- D. GDP as a transfer payment

CE-425 (Hard, knowledge) Balance of Payments and Exchange Rates

The Marshall-Lerner condition says that a devaluation improves the current account if

- A. the country has a fixed quantity of exports and imports that cannot change
- B. both elasticities are zero
- C. the sum of the elasticities is less than 1
- D. the sum of the price elasticities of demand for exports and imports is greater than 1

CE-426 (Easy, knowledge) Balance of Payments and Exchange Rates

The current account of the balance of payments includes

- A. trade in goods, trade in services, primary income and secondary income
- B. only official reserve assets
- C. only foreign direct investment
- D. the national debt stock

CE-427 (Medium, knowledge) Balance of Payments and Exchange Rates

Under a fixed exchange rate the central bank

- A. buys or sells foreign currency to keep the rate at the peg
- B. lets the rate move to whatever the market sets that day
- C. never uses reserves
- D. sets fiscal policy as its only tool

CE-428 (Medium, application) Balance of Payments and Exchange Rates

An appreciation of the domestic currency tends to

- A. make imports dearer and exports cheaper
- B. make imports cheaper and can reduce imported inflation, while making exports dearer
- C. raise the foreign-currency price of imports
- D. be called a devaluation

CE-429 (Medium, application) Balance of Payments and Exchange Rates

The EC dollar depreciates under a floating rate. Exports priced in EC dollars become

- A. unchanged in every currency
- B. cheaper in foreign currency, which can switch spending toward local goods
- C. more expensive in foreign currency
- D. a reason to call the change a revaluation

CE-430 (Medium, application) Balance of Payments and Exchange Rates

Under a floating exchange rate, a rise in demand for a country's exports tends to

- A. require an official devaluation
- B. depreciate its currency
- C. appreciate its currency
- D. leave the rate unchanged because floating rates are fixed by decree

CE-431 (Medium, calculation) Balance of Payments and Exchange Rates

The Golden Vale currency price of one US dollar moves from EC\$3 to EC\$2.4. The EC dollar cost of a US\$60 payment changes from EC\$180 to

- A. EC\$180
- B. EC\$144
- C. EC\$324
- D. EC\$25

CE-432 (Medium, calculation) Balance of Payments and Exchange Rates

The Harbour Cay currency price of one US dollar moves from EC\$4 to EC\$3.2. The EC dollar cost of a US\$50 payment changes from EC\$200 to

- A. EC\$160
- B. EC\$15.62
- C. EC\$360
- D. EC\$200

CE-433 (Medium, calculation) Balance of Payments and Exchange Rates

The Maren Island currency price of one US dollar moves from EC\$1.35 to EC\$1.5. The EC dollar cost of a US\$80 payment changes from EC\$108 to

- A. EC\$108
- B. EC\$53.33
- C. EC\$120
- D. EC\$228

CE-434 (Medium, calculation) Balance of Payments and Exchange Rates

The Port Clare currency price of one US dollar moves from EC\$2.7 to EC\$2.9. The EC dollar cost of a US\$200 payment changes from EC\$540 to

- A. EC\$540
- B. EC\$68.97
- C. EC\$1120
- D. EC\$580

CE-435 (Medium, calculation) Balance of Payments and Exchange Rates

The St Brice currency price of one US dollar moves from EC\$2.7 to EC\$2.5. The EC dollar cost of a US\$100 payment changes from EC\$270 to

- A. EC\$40
- B. EC\$520
- C. EC\$270
- D. EC\$250

CE-436 (Medium, calculation) Balance of Payments and Exchange Rates

The Westford currency price of one US dollar moves from EC\$2.5 to EC\$2.75. The EC dollar cost of a US\$40 payment changes from EC\$100 to

- A. EC\$210
- B. EC\$100
- C. EC\$110
- D. EC\$14.55

CE-437 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of Golden Vale, in EC\$ million, has a goods balance of 5, a services balance of -12, primary income of -3 and secondary income of 2. The current-account balance, the sum of those four components, is

- A. EC\$-8 million
- B. EC\$-7 million
- C. EC\$5 million
- D. EC\$8 million

CE-438 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of Harbour Cay, in EC\$ million, has a goods balance of 10, a services balance of 10, primary income of -4 and secondary income of -2. The current-account balance, the sum of those four components, is

- A. EC\$10 million
- B. EC\$20 million
- C. EC\$-10 million
- D. EC\$14 million

CE-439 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of Maren Island, in EC\$ million, has a goods balance of -15, a services balance of 30, primary income of -8 and secondary income of 3. The current-account balance, the sum of those four components, is

- A. EC\$-5 million
- B. EC\$20 million
- C. EC\$10 million
- D. EC\$15 million

CE-440 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of Port Clare, in EC\$ million, has a goods balance of 20, a services balance of -5, primary income of 4 and secondary income of -6. The current-account balance, the sum of those four components, is

- A. EC\$13 million
- B. EC\$15 million
- C. EC\$-20 million
- D. EC\$20 million

CE-441 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of St Brice, in EC\$ million, has a goods balance of -40, a services balance of 15, primary income of -10 and secondary income of 8. The current-account balance, the sum of those four components, is

- A. EC\$-27 million
- B. EC\$27 million

- C. EC\$-40 million
- D. EC\$-25 million

CE-442 (Medium, calculation) Balance of Payments and Exchange Rates

The current account of Westford, in EC\$ million, has a goods balance of -60, a services balance of 25, primary income of 5 and secondary income of 10. The current-account balance, the sum of those four components, is

- A. EC\$-60 million
- B. EC\$-35 million
- C. EC\$20 million
- D. EC\$-20 million

CE-443 (Medium, knowledge) Economic Integration

A common market goes beyond a customs union by allowing

- A. free movement of factors of production among members
- B. each member to set a different external tariff
- C. no movement of goods
- D. only free movement of goods, with labour and capital still blocked

CE-444 (Easy, knowledge) Economic Integration

A customs union is a free-trade area plus

- A. political union only
- B. a common external tariff
- C. no rules on trade with outsiders
- D. a common currency and a single central bank, and nothing less

CE-445 (Easy, knowledge) Economic Integration

A free-trade area removes tariffs among members and

- A. requires free movement of labour and a common fiscal policy
- B. requires a single currency
- C. requires a common external tariff
- D. lets each member keep its own tariff against non-members

CE-446 (Medium, knowledge) Economic Integration

An economic union typically adds, beyond a common market,

- A. the abolition of the common external tariff
- B. harmonised economic policies, and sometimes a common currency
- C. a ban on factor movement
- D. a return to internal tariffs

CE-447 (Medium, knowledge) Economic Integration

The CARICOM Single Market and Economy is intended to

- A. be a monetary instrument of a single parish council
- B. set the world price of oil
- C. deepen integration among members, including freer movement of goods, services, capital and skills
- D. replace CARICOM with a free-trade area that keeps barriers to factor movement as its goal

CE-448 (Medium, knowledge) Economic Integration

Trade creation in a customs union is

- A. the replacement of higher-cost domestic production by lower-cost imports from a partner
- B. a tariff on partners
- C. a fall in exports to zero
- D. the replacement of lower-cost imports from outside the union by higher-cost partner imports

CE-449 (Hard, application) Economic Integration

A small member of a customs union may lose if

- A. trade creation is the only effect and partner costs are lower
- B. the common external tariff is zero on a good it already imported freely from the partner
- C. it specialises according to comparative advantage inside a free-trade area with no diversion
- D. trade diversion outweighs trade creation

CE-450 (Hard, application) Economic Integration

Before a customs union, St Brice imported cement from the cheapest world supplier. After the union it buys dearer cement from a partner because the common external tariff shuts out the world supplier. This is

- A. trade diversion
- B. a free-trade area with no external tariff
- C. absolute advantage
- D. trade creation

CE-451 (Medium, application) Economic Integration

Which sequence moves from shallower to deeper integration?

- A. Economic union, free-trade area, autarky
- B. Common market, then a free-trade area that reintroduces internal tariffs as a deepening
- C. Customs union, then separate external tariffs as a deepening
- D. Free-trade area, customs union, common market, economic union

CE-452 (Medium, knowledge) Growth and Sustainable Development

Brain drain is

- A. the import of unskilled labour only
- B. the emigration of skilled workers
- C. a surplus on the capital account
- D. a rise in the domestic birth rate of graduates

CE-453 (Easy, knowledge) Growth and Sustainable Development

Economic development is broader than growth because it includes

- A. only the rise in nominal GDP
- B. a higher Gini coefficient by definition
- C. only the inflation rate
- D. improvements in living standards, such as health and education, and changes in the structure of the economy

CE-454 (Easy, knowledge) Growth and Sustainable Development

Economic growth means

- A. a more equal distribution of a fixed output
- B. any rise in the price level
- C. an increase in real national output over time
- D. a fall in real GDP

CE-455 (Hard, knowledge) Growth and Sustainable Development

Measurable Economic Welfare, as named in this syllabus, is best understood as

- A. the same statistic as the Gini coefficient
- B. the debt-service ratio
- C. nominal GDP with no adjustment
- D. an adjustment of a national-income measure for welfare-relevant items such as leisure and environmental costs

CE-456 (Medium, knowledge) Growth and Sustainable Development

Sustainable development means meeting present needs

- A. only by maximising this year's nominal GDP
- B. by using up natural resources as fast as possible
- C. without any reference to the environment
- D. without compromising the ability of future generations to meet their needs

CE-457 (Medium, knowledge) Growth and Sustainable Development

The Human Development Index combines indicators of

- A. inflation, unemployment and the budget deficit only
- B. exports, imports and the exchange rate only
- C. health, education and living standards
- D. the four-firm concentration ratio

CE-458 (Medium, application) Growth and Sustainable Development

A country has high GDP per capita but short schooling and poor health indicators. Its HDI rank is likely to be

- A. identical to its income rank, because HDI is GDP

- B. undefined, because education is not in the index
- C. improved by the poor health indicators
- D. weaker than its income rank

CE-459 (Hard, application) Growth and Sustainable Development

Growth that destroys a coral reef used by a tourism industry may fail the test of sustainable development because

- A. environmental costs raise Measurable Economic Welfare automatically
- B. tourism is not part of GDP
- C. future income from the reef is sacrificed for a present gain
- D. any rise in real GDP is sustainable by definition

CE-460 (Easy, application) Growth and Sustainable Development

Which is a source of economic growth?

- A. Counting transfer payments as investment
- B. A larger current-account deficit with no change in productive capacity
- C. An increase in the capital stock or an improvement in technology
- D. A rise in the price level with quantities unchanged

CE-461 (Medium, application) Growth and Sustainable Development

Which is a structural feature of many small island developing states?

- A. Perfect diversification of exports by definition
- B. A large internal market that makes trade unimportant
- C. No need for foreign exchange
- D. A narrow export base and high exposure to hurricanes and world prices

CE-462 (Easy, calculation) Growth and Sustainable Development

Real GDP in Golden Vale rises from EC\$360 million to EC\$396 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 36 percent
- B. 1.1 percent
- C. 10 percent
- D. 9.09 percent

CE-463 (Easy, calculation) Growth and Sustainable Development

Real GDP in Harbour Cay rises from EC\$500 million to EC\$530 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 6 percent
- B. 1.06 percent
- C. 30 percent
- D. 5.66 percent

CE-464 (Easy, calculation) Growth and Sustainable Development

Real GDP in Maren Island rises from EC\$800 million to EC\$840 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 40 percent
- B. 4.76 percent
- C. 5 percent
- D. 1.05 percent

CE-465 (Easy, calculation) Growth and Sustainable Development

Real GDP in Port Clare rises from EC\$250 million to EC\$275 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 10 percent
- B. 25 percent
- C. 9.09 percent
- D. 1.1 percent

CE-466 (Easy, calculation) Growth and Sustainable Development

Real GDP in St Brice rises from EC\$400 million to EC\$420 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 20 percent
- B. 5 percent
- C. 4.76 percent
- D. 1.05 percent

CE-467 (Easy, calculation) Growth and Sustainable Development

Real GDP in Westford rises from EC\$1000 million to EC\$1040 million. The growth rate, $(\text{new real GDP} - \text{old real GDP}) / \text{old real GDP} \times 100$, is

- A. 40 percent
- B. 3.85 percent
- C. 4 percent
- D. 1.04 percent

CE-468 (Medium, knowledge) International Economic Relations

Foreign direct investment is distinguished from portfolio investment because FDI

- A. is recorded entirely on the current account
- B. involves a lasting interest and a voice in management
- C. is a short-term holding of bonds or shares with no control
- D. cannot repatriate profit

CE-469 (Medium, knowledge) International Economic Relations

Globalisation refers to

- A. closer integration of economies through trade, capital, technology and sometimes labour

- B. a fall in all cross-border flows by definition
- C. a policy of complete self-sufficiency
- D. the closure of the WTO

CE-470 (Easy, knowledge) International Economic Relations
The Caribbean Development Bank is

- A. the central bank of every Caribbean country
- B. a regional development bank that lends to Caribbean borrowing members
- C. a committee of the WTO
- D. a private commercial bank with no development mandate

CE-471 (Easy, knowledge) International Economic Relations
The International Monetary Fund mainly provides

- A. commercial bank deposits for households
- B. a forum whose main product is a cut in tariffs negotiated as trade rounds
- C. short-term balance-of-payments support and surveillance of macroeconomic policy
- D. long-term finance for a harbour, as its primary role

CE-472 (Easy, knowledge) International Economic Relations
The World Bank's primary role is

- A. day-to-day pegging of a floating exchange rate
- B. acting as a country's commercial bank for household deposits
- C. long-term lending for development
- D. setting tariff bindings among all members

CE-473 (Easy, knowledge) International Economic Relations
The World Trade Organization is mainly concerned with

- A. the note issue of a single Caribbean state
- B. long-term project lending for development
- C. rules for international trade and the settlement of trade disputes
- D. short-term loans to countries with a balance-of-payments crisis

CE-474 (Medium, application) International Economic Relations

A foreign firm buys a 5-day treasury bill and sells it the next week, with no role in any local company. This is

- A. a current-account export of goods
- B. portfolio investment, not foreign direct investment
- C. foreign direct investment, because every financial flow is FDI
- D. a tariff

CE-475 (Medium, application) International Economic Relations

A possible benefit of globalisation for a small Caribbean economy is

- A. the guaranteed disappearance of all external shocks
- B. the end of any need for foreign exchange
- C. automatic equality of income
- D. wider markets and access to foreign capital and technology

CE-476 (Hard, application) International Economic Relations

A possible cost of globalisation for a small open economy is

- A. greater exposure to external shocks and to footloose capital
- B. an automatic improvement in the terms of trade every year
- C. a smaller market for every export, by definition
- D. the inability to import goods that the country cannot produce

CE-477 (Medium, knowledge) International Trade

A non-reciprocal trade preference means

- A. one partner gives easier access and does not require the same concession in return
- B. a customs union with a common external tariff
- C. a ban on trade
- D. both partners cut every tariff to zero

CE-478 (Easy, knowledge) International Trade

A tariff is

- A. a payment to domestic producers
- B. a ban on all trade
- C. a tax on imports
- D. a limit on the number of units imported, with no tax

CE-479 (Medium, knowledge) International Trade

Comparative advantage, rather than absolute advantage, is the basis for gains from trade because

- A. a country must be absolutely more productive in every good before it can export
- B. opportunity cost is irrelevant
- C. trade only helps the country that is larger in every industry
- D. a country gains by specialising in the good with the lower opportunity cost, even if it is less productive in both goods

CE-480 (Medium, knowledge) International Trade

Free trade can let a country consume

- A. at a point that violates opportunity cost inside the trading partner as well, by definition
- B. only inside its production possibility frontier, with no exception
- C. only one good
- D. beyond its production possibility frontier

CE-481 (Easy, knowledge) International Trade

International trade is

- A. government spending on transfers
- B. the same thing as the national debt
- C. trade that takes place only inside one parish
- D. the exchange of goods and services across national borders

CE-482 (Medium, knowledge) International Trade

The infant-industry argument for protection says that

- A. protection should last forever even if the industry never becomes efficient
- B. tariffs lower the price paid by consumers
- C. all industries are infants
- D. temporary protection may let a new industry gain scale and skill until it can compete

CE-483 (Medium, application) International Trade

A terms-of-trade index rises from 90 to 110. The commodity terms of trade have

- A. worsened
- B. fallen, because a higher index means imports are cheaper to sell
- C. improved
- D. become a measure of the volume of exports

CE-484 (Hard, application) International Trade

An improvement in the terms of trade caused only by a collapse in export volume and a scarcity premium on the remaining exports

- A. is the same thing as a rise in export volume
- B. cannot occur if the index is defined as export prices over import prices
- C. always raises real income in proportion to the index
- D. need not mean the country is better off

CE-485 (Medium, application) International Trade

Compared with a tariff, an import quota

- A. always gives the government the same revenue as a tariff of equal protective effect
- B. lowers the domestic price
- C. does not automatically give revenue to the government unless the licences are sold
- D. is a subsidy

CE-486 (Easy, application) International Trade

Dumping is

- A. specialisation according to comparative advantage
- B. a rise in the terms of trade
- C. the same as free trade

D. selling exports below the cost of production or below the home price

CE-487 (Medium, calculation) International Trade

For Golden Vale, the export price index is 200 and the import price index is 160. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 80
- B. 125
- C. 140
- D. 180

CE-488 (Medium, calculation) International Trade

For Harbour Cay, the export price index is 90 and the import price index is 75. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 82.5
- B. 120
- C. 115
- D. 83.33

CE-489 (Medium, calculation) International Trade

For Maren Island, the export price index is 150 and the import price index is 120. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 130
- B. 125
- C. 80
- D. 135

CE-490 (Medium, calculation) International Trade

For Northbank, the export price index is 130 and the import price index is 130. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 100
- B. 2
- C. 130
- D. 1

CE-491 (Medium, calculation) International Trade

For Petit Havre, the export price index is 105 and the import price index is 100. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 1
- B. 95.24
- C. 105
- D. 102.5

CE-492 (Medium, calculation) International Trade

For Port Clare, the export price index is 80 and the import price index is 100. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 80
- B. 1
- C. 90
- D. 125

CE-493 (Medium, calculation) International Trade

For St Brice, the export price index is 120 and the import price index is 100. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 1
- B. 83.33
- C. 120
- D. 110

CE-494 (Medium, calculation) International Trade

For Westford, the export price index is 110 and the import price index is 125. The commodity terms of trade, $(\text{export price index} / \text{import price index}) \times 100$, equal

- A. 113.64
- B. 88
- C. 117.5
- D. 85

CE-495 (Hard, calculation) International Trade

Output per worker per day is: Island A produces 8 units of fish or 4 units of yams; Island B produces 6 units of fish or 6 units of yams. Comparative advantage goes to the producer with the lower opportunity cost. Which statement is correct?

- A. Island B has a comparative advantage in fish because it has the higher opportunity cost
- B. Opportunity cost of one unit of fish in Island A is 2 units of yams
- C. Island A has a comparative advantage in fish because its opportunity cost is 0.5 units of yams, lower than 1
- D. Island A has a comparative advantage in both goods

CE-496 (Hard, calculation) International Trade

Output per worker per day is: North Cay produces 10 units of cloth or 5 units of rum; South Cay produces 4 units of cloth or 4 units of rum. Comparative advantage goes to the producer with the lower opportunity cost. Which statement is correct?

- A. South Cay has a comparative advantage in cloth because it has the higher opportunity cost
- B. Opportunity cost of one unit of cloth in North Cay is 2 units of rum
- C. North Cay has a comparative advantage in both goods

- D. North Cay has a comparative advantage in cloth because its opportunity cost is 0.5 units of rum, lower than 1

CE-497 (Medium, calculation) International Trade

Using the same output figures (Bellecombe: 9 cocoa or 3 bananas; Rio Luma: 5 cocoa or 5 bananas), absolute advantage in cocoa is held by

- A. Bellecombe
- B. Rio Luma
- C. neither island
- D. both islands

CE-498 (Medium, calculation) International Trade

Using the same output figures (Island A: 8 fish or 4 yams; Island B: 6 fish or 6 yams), absolute advantage in fish is held by

- A. neither island
- B. Island A
- C. Island B
- D. both islands

CE-499 (Medium, calculation) International Trade

Using the same output figures (North Cay: 10 cloth or 5 rum; South Cay: 4 cloth or 4 rum), absolute advantage in cloth is held by

- A. North Cay
- B. both islands
- C. neither island
- D. South Cay

CE-500 (Medium, calculation) International Trade

Using the same output figures (Port Elena: 12 fish or 6 yams; Fortuna: 6 fish or 4 yams), absolute advantage in fish is held by

- A. neither island
- B. both islands
- C. Port Elena
- D. Fortuna

Answer key and short explanations

CE-001 B. Scarcity means wants exceed availability at a zero price, so the good has an opportunity cost. A free good does not.

CE-002 C. The PPF is a boundary of maximum output of two goods, given resources and technology, with full employment of those resources.

CE-003 C. Opportunity cost is the value of the best forgone alternative, not every alternative added together.

CE-004 D. Scarcity forces every economy to decide what is produced, which methods are used, and who receives the output.

CE-005 C. Microeconomics looks at households, firms and particular markets. Macroeconomics looks at aggregates such as national income, inflation and unemployment.

CE-006 D. Economics starts from scarcity: wants exceed the resources available, so choice is unavoidable.

CE-007 A. Points inside the frontier are attainable but inefficient. Points on the frontier are efficient. Points outside are unattainable with current resources.

CE-008 D. The frontier is the maximum. Output beyond it needs more resources or better technology.

CE-009 D. A free good is not scarce. An economic good requires a sacrifice of something else.

CE-010 D. The opportunity cost of a choice is the next best alternative forgone, here the harbour repair.

CE-011 B. A normative statement contains a value judgement such as 'ought'. The other statements are positive: they can be tested.

CE-012 D. A positive statement is a testable claim. Saying a policy is unfair, better, or must be preferred is normative.

CE-013 C. Extra fish is 8 tonnes and yams given up is 16 tonnes, so the opportunity cost per tonne of fish is $16/8 = 2$ tonnes of yams.

CE-014 A. Extra cocoa is 10 tonnes and breadfruit given up is 20 tonnes, so the opportunity cost per tonne of cocoa is $20/10 = 2$ tonnes of breadfruit.

CE-015 C. Extra cocoa is 10 tonnes and breadfruit given up is 20 tonnes, so the opportunity cost per tonne of cocoa is $20/10 = 2$ tonnes of breadfruit.

CE-016 B. Equilibrium is the price at which planned purchases equal planned sales, so there is no tendency for the price to change.

CE-017 D. The tax drives a wedge between the price buyers pay and the price sellers receive. Incidence depends on relative elasticities: the less elastic side bears more.

CE-018 B. A price floor above equilibrium is binding. At that higher price, quantity supplied exceeds quantity demanded.

CE-019 A. A maximum price above the price that the market would set does not constrain buyers and sellers.

CE-020 C. A maximum price below equilibrium is binding. Quantity demanded exceeds quantity supplied, and trade is limited by the smaller amount, which is quantity supplied.

CE-021 B. A shortage means buyers bid the price up. The higher price reduces quantity demanded and raises quantity supplied.

CE-022 D. A surplus puts downward pressure on price. As price falls, quantity demanded rises and quantity supplied falls until the surplus disappears.

- CE-023 D.** Each shift raises quantity, so quantity rises. Demand alone would raise price and supply alone would lower it, so the price change depends on which shift is larger.
- CE-024 A.** When demand is perfectly inelastic, quantity does not fall and buyers pay the whole tax. If supply were perfectly inelastic, sellers would bear the whole tax.
- CE-025 A.** Higher demand raises the equilibrium price and the equilibrium quantity when supply slopes upward.
- CE-026 C.** An increase in supply lowers equilibrium price and raises equilibrium quantity.
- CE-027 D.** The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC\$}900$.
- CE-028 C.** The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC\$}450$.
- CE-029 B.** The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC\$}900$.
- CE-030 C.** $P = (100 - 20 + 2 \times 4) / (2 + 2) = 22$. Sellers receive EC\$18.
- CE-031 A.** $P = (200 - 40 + 4 \times 4) / (4 + 4) = 22$. Sellers receive EC\$18.
- CE-032 A.** Buyers pay EC\$14 and sellers receive EC\$14 - EC\$4 = EC\$10.
- CE-033 C.** New quantity is 48 and revenue is $2 \times 48 = \text{EC\$}96$.
- CE-034 A.** Buyers pay EC\$32 and sellers receive EC\$32 - EC\$4 = EC\$28.
- CE-035 D.** New quantity is 66 and revenue is $6 \times 66 = \text{EC\$}396$.
- CE-036 C.** Set $100 - 2P = 20 + 2P$. Then $P = 20$ and $Q = 60$.
- CE-037 B.** Set $200 - 4P = 20 + 5P$. Then $P = 20$ and $Q = 120$.
- CE-038 D.** Set $80 - 1P = 20 + 1P$. Then $P = 30$ and $Q = 50$.
- CE-039 A.** Set $500 - 5P = 100 + 5P$. Then $P = 40$ and $Q = 300$.
- CE-040 C.** Set $90 - 2P = 10 + 2P$. Then $P = 20$ and $Q = 50$.
- CE-041 A.** Set $120 - 3P = 30 + 3P$. Then $P = 15$ and $Q = 75$.
- CE-042 A.** The cardinal approach treats utility as measurable in utils. In practice utility is not cardinally measurable, which is why the ordinal indifference-curve approach is used.
- CE-043 C.** Each indifference curve is a set of bundles among which the consumer is indifferent. A budget line shows what the consumer can afford.
- CE-044 D.** The equi-marginal condition is $MU_a/P_a = MU_b/P_b$, with the budget exhausted.
- CE-045 A.** Marginal utility is the change in total utility from one extra unit. Total utility is the sum of satisfaction from all units.
- CE-046 C.** Tangency means the marginal rate of substitution equals the price ratio, and the consumer reaches the highest affordable indifference curve.
- CE-047 B.** Diminishing marginal utility means successive units yield less additional satisfaction, holding other things constant.
- CE-048 B.** If good X is on the horizontal axis, the budget line has slope minus P_x/P_y . Income changes shift the line; a relative-price change rotates it.
- CE-049 D.** Utility is satisfaction. It is not the same thing as price or cost.
- CE-050 B.** More of both goods is preferred, so higher curves are better. Crossing would imply inconsistent rankings. Standard curves are convex to the origin.

CE-051 B. Equilibrium requires $MU_a/P_a = MU_b/P_b$. If MU_a/P_a is higher, the last dollar spent on A yields more utility, so the consumer gains by switching spending toward A.

CE-052 C. When marginal utility is positive, total utility rises. If marginal utility is falling, total utility rises more slowly. Total utility is maximised when marginal utility is zero.

CE-053 D. Simple PED is 1.6, so demand is price elastic. Total revenue moves from EC\$2000 to EC\$1500, so it falls.

CE-054 C. YED = -1. The good is inferior. A negative coefficient means inferior; a positive coefficient above 1 means normal and income-elastic.

CE-055 A. Percentage change in price is 20 percent and in quantity is 10 percent, so PED = 0.5. The midpoint result (0.58) is a different method and is not asked for.

CE-056 B. XED = -1. A positive value means substitutes, a negative value means complements, and zero means no measurable relationship in this data.

CE-057 D. YED = 2.5. The good is normal and income-elastic. A negative coefficient means inferior; a positive coefficient above 1 means normal and income-elastic.

CE-058 B. Percentage change in price is 25 percent and in quantity is 50 percent, so PED = 2. The midpoint result (3) is a different method and is not asked for.

CE-059 B. XED = 0.5. A positive value means substitutes, a negative value means complements, and zero means no measurable relationship in this data.

CE-060 B. YED = -0.5. The good is inferior. A negative coefficient means inferior; a positive coefficient above 1 means normal and income-elastic.

CE-061 A. Simple PED is 0.5, so demand is price inelastic. Total revenue moves from EC\$1800 to EC\$1944, so it rises.

CE-062 A. Percentage change in price is 25 percent and in quantity is 25 percent, so PED = 1. The midpoint result (1.29) is a different method and is not asked for.

CE-063 C. XED = -1. A positive value means substitutes, a negative value means complements, and zero means no measurable relationship in this data.

CE-064 A. YED = 1.5. The good is normal and income-elastic. A negative coefficient means inferior; a positive coefficient above 1 means normal and income-elastic.

CE-065 D. Percentage change in price is 20 percent and in quantity is 20 percent, so PED = 1. The midpoint result (1.22) is a different method and is not asked for.

CE-066 A. XED = 2. A positive value means substitutes, a negative value means complements, and zero means no measurable relationship in this data.

CE-067 B. Simple PED is 1.25, so demand is price elastic. Total revenue moves from EC\$1000 to EC\$700, so it falls.

CE-068 A. Simple PED is 2, so demand is price elastic. Total revenue moves from EC\$1200 to EC\$1344, so it rises.

CE-069 A. The firm supplies where price equals marginal cost, but only if price covers average variable cost. Below that, it shuts down.

CE-070 C. Normal profit covers the opportunity cost of enterprise and is included in economic cost. Economic profit is then zero. Supernormal profit is positive economic profit.

CE-071 C. Producer surplus is the gap between the price received and the marginal cost, or the minimum acceptable price, summed over the units sold.

CE-072 B. Diminishing returns is a short-run idea: one factor is fixed. Economies of scale are a long-run idea, when all factors can change.

CE-073 B. The factor rewards used in this syllabus are rent, wages, interest and profit.

CE-074 B. Accounting profit ignores some opportunity costs. Once the entrepreneur's alternative earnings are treated as a cost, economic profit is zero. That is normal profit.

CE-075 D. If price is below average variable cost, producing adds to losses. If price covers average variable cost but not total cost, the firm still produces in the short run because it covers variable cost and part of fixed cost.

CE-076 D. A producer subsidy lowers the cost of supplying each unit, so firms offer more at each price.

CE-077 C. Own-price changes cause movements along supply. Cost, technology, taxes and the number of firms shift supply.

CE-078 A. Total product rises while marginal product is positive. It rises more slowly when marginal product is falling. Total product is maximised when marginal product is zero.

CE-079 C. Higher input costs reduce supply. Better weather, cheaper inputs and better technology increase supply.

CE-080 C. The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC}\100 .

CE-081 A. The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC}\200 .

CE-082 B. The triangle area is $\frac{1}{2} \times \text{base} \times \text{height} = \text{EC}\100 .

CE-083 B. PES = 0.4, so supply is price inelastic over this range. A coefficient above 1 is elastic and below 1 is inelastic.

CE-084 C. PES = 1, so supply is unit elastic over this range. A coefficient above 1 is elastic and below 1 is inelastic.

CE-085 A. PES = 2, so supply is price elastic over this range. A coefficient above 1 is elastic and below 1 is inelastic.

CE-086 B. A tax equal to marginal external cost makes the firm face marginal social cost, so it chooses the smaller socially efficient output.

CE-087 A. Intervention is not automatically better than the market. The benefits of a policy have to be compared with its costs and with the risk of government failure.

CE-088 C. Governments can misjudge the size of an externality, favour interest groups, or impose administrative costs larger than the benefit.

CE-089 A. A uniform quota ignores which firms can cut pollution more cheaply. A tax or permit market gives those firms a stronger reason to cut more.

CE-090 B. The cap fixes the total externality. Trade lets firms that can cut emissions cheaply sell permits to firms that cannot, which reduces the cost of meeting the cap.

CE-091 A. When average cost is still falling at market demand, splitting the firm raises cost. Regulation may then be used to limit the monopoly price.

CE-092 B. A subsidy lowers the private cost or price and increases quantity, which can close the gap created by a positive externality.

CE-093 C. Laws against cartels, mergers that harm competition, and abuse of a dominant position are meant to move price and output closer to the competitive outcome.

- CE-094 C.** If over-consumption comes from consumers not knowing the risk, information can change demand without banning the good.
- CE-095 C.** Non-excludability and non-rivalry make voluntary payment unreliable, so public provision or public finance is a standard remedy.
- CE-096 A.** A zero price removes the private cost barrier. That can be justified when information failure or external benefits mean the market quantity is too low, though it has a cost in taxation and possible over-use.
- CE-097 C.** A tax reduces quantity demanded. A subsidy or free provision would increase consumption, which is the wrong direction for a demerit good.
- CE-098 B.** Too large a tax over-corrects. The firm then produces less than the output at which marginal social benefit equals marginal social cost.
- CE-099 C.** Demerit goods, such as cigarettes in the usual example, are over-consumed because consumers ignore harm to themselves or others, or lack information.
- CE-100 B.** Merit goods, such as preventive health care or basic education in the usual examples, are under-consumed if left only to private decisions. They can still be private goods.
- CE-101 D.** The firm ignores costs imposed on others, so $MSC = MPC + \text{external cost}$. Private equilibrium output is higher than the social optimum.
- CE-102 D.** Others gain from this consumption, but the buyer counts only private benefit, so too little is consumed.
- CE-103 A.** One person's consumption of a private good reduces what is left for others, and non-payers can be kept from using it.
- CE-104 C.** Non-rival means one person's use does not reduce another's. Non-excludable means non-payers cannot be kept out. Street lighting is the usual example.
- CE-105 A.** Pareto efficiency means all mutually beneficial changes have already been exhausted. It does not mean incomes are equal.
- CE-106 B.** If consumers do not know the benefits of a merit good, or the harm of a demerit good, their choices are not the efficient ones.
- CE-107 A.** Failure is judged against efficiency, especially allocative efficiency, not against the mere existence of a price.
- CE-108 D.** Externalities and public goods are examples of effects that lack a complete market. There is then no price to signal the right quantity.
- CE-109 A.** Fish taken by one boat are not available to others, so the resource is rival. If nobody can be excluded, fishers ignore the cost they impose on others and overfish. That is not a pure public good.
- CE-110 D.** Public goods are defined by non-rivalry and non-exclusion. Merit goods are defined by under-consumption. A good can be one without being the other.
- CE-111 A.** The output where $MR = MC$ is smaller than the output where $P = MC$. That under-production is allocatively inefficient.
- CE-112 B.** The cost falls on third parties during production and is not in the firm's private cost. Output is likely to be too high.
- CE-113 C.** If exclusion is impossible, each person waits for someone else to pay. Private firms then cannot cover costs from voluntary payments.

- CE-114 A.** Efficiency requires all benefits and costs, including external ones, to be balanced at the margin. The private market equates only private benefit and private cost.
- CE-115 C.** A firm produces for sale. An industry is the group of firms producing a particular product.
- CE-116 C.** CR4 is the sum of the market shares of the four largest firms. A high ratio means the industry is concentrated.
- CE-117 B.** A high share can still be consistent with competitive pressure if entry is easy. Concentration is a structural clue, not a full measure of performance.
- CE-118 B.** The threat of hit-and-run entry can discipline incumbents if leaving does not sacrifice large sunk costs.
- CE-119 B.** The firm can sell any quantity at the market price, so the demand it faces is horizontal and $P = AR = MR$.
- CE-120 D.** The output rule is $MR = MC$ for any profit-maximising firm. The monopolist reads the price from demand, so price exceeds marginal cost.
- CE-121 A.** $P > MC$ means consumers value extra units more than they cost to produce, but the monopolist does not produce them.
- CE-122 A.** Industry refers to the collection of firms in a market, not to one firm.
- CE-123 D.** Squaring means a market dominated by one firm has a higher HHI than a market whose four leaders are equal, even if CR4 is similar.
- CE-124 D.** To sell one more unit the monopolist lowers the price on all units, so the extra revenue is less than the price. MR lies below AR.
- CE-125 B.** Free entry drives price to the minimum of average total cost. The firm then earns normal profit and is productively efficient.
- CE-126 A.** Entry shifts the firm's demand until it is tangent to average cost, which is normal profit. Tangency is on the falling part of average cost, so there is excess capacity, and price still exceeds marginal cost.
- CE-127 B.** A price rise loses customers if rivals do not follow, while a price cut is matched so sales hardly rise. The kink creates a break in marginal revenue, and marginal cost can move inside that break without changing price.
- CE-128 D.** Allocative efficiency requires $P = MC$, so the value consumers place on the last unit equals the cost of producing it. Perfect competition meets that condition.
- CE-129 A.** Those four features are the usual basis for perfect competition, monopoly, monopolistic competition and oligopoly.
- CE-130 D.** Product differentiation gives each firm some price-setting power, but free entry prevents long-run supernormal profit.
- CE-131 D.** Interdependence is the defining conduct of oligopoly: each firm must consider how the others will react.
- CE-132 C.** Monopoly is a single seller protected by barriers, so close substitutes and free entry are absent.
- CE-133 C.** Perfect competition requires price-taking firms selling an identical product, with no barriers to entry.
- CE-134 B.** Barriers protect supernormal profit. Free entry, as in perfect or monopolistic competition, competes that profit away in the long run.

CE-135 A. Supernormal profit attracts entry. Market supply rises, price falls, and profit is competed down to normal profit.

CE-136 D. The cartel price is above marginal cost, so one firm gains by selling extra units if it is not detected. That incentive makes cartels unstable.

CE-137 B. At 1 units MR is EC\$20, equal to MC. The following unit has lower MR, so it would reduce profit.

CE-138 A. At 1 units MR is EC\$12, equal to MC. The following unit has lower MR, so it would reduce profit.

CE-139 C. At 1 units MR is EC\$15, equal to MC. The following unit has lower MR, so it would reduce profit.

CE-140 B. Marginal cost stays at or below EC\$15 up to 3 units and is higher after that. AVC at 3 units is EC\$10, which is below price, so the firm covers variable cost.

CE-141 C. Total revenue is $\text{EC}\$50 \times 4 = \text{EC}\200 . Total cost is $\text{EC}\$25 + \text{EC}\$80 = \text{EC}\$105$. Economic profit is EC\$95. At this output AVC is EC\$20 and marginal cost of the unit is EC\$25.

CE-142 C. $\text{AFC} = \text{TFC}/Q = 120/2 = 60$. Fixed cost does not change with output.

CE-143 C. $\text{ATC} = \text{TC}/Q = 256/4 = 64$.

CE-144 B. $\text{AVC} = \text{TVC}/Q = 90/3 = 30$.

CE-145 C. MC of the 4th unit is $\text{TC}(4) - \text{TC}(3) = 256 - 210 = 46$.

CE-146 A. $\text{TC} = \text{TFC} + \text{TVC} = 120 + 200 = 320$.

CE-147 A. Marginal cost stays at or below EC\$16 up to 3 units and is higher after that. AVC at 3 units is EC\$12, which is below price, so the firm covers variable cost.

CE-148 B. Total revenue is $\text{EC}\$40 \times 3 = \text{EC}\120 . Total cost is $\text{EC}\$20 + \text{EC}\$48 = \text{EC}\$68$. Economic profit is EC\$52. At this output AVC is EC\$16 and marginal cost of the unit is EC\$18.

CE-149 D. $\text{AFC} = \text{TFC}/Q = 100/2 = 50$. Fixed cost does not change with output.

CE-150 A. $\text{ATC} = \text{TC}/Q = 248/4 = 62$.

CE-151 B. $\text{AVC} = \text{TVC}/Q = 105/3 = 35$.

CE-152 C. MC of the 4th unit is $\text{TC}(4) - \text{TC}(3) = 248 - 205 = 43$.

CE-153 A. $\text{TC} = \text{TFC} + \text{TVC} = 100 + 200 = 300$.

CE-154 C. CR4 adds the four largest percentage shares: $50 + 20 + 10 + 10 = 90$.

CE-155 B. CR4 adds the four largest percentage shares: $40 + 25 + 15 + 10 = 90$.

CE-156 D. CR4 adds the four largest percentage shares: $30 + 20 + 20 + 15 = 85$.

CE-157 B. $\text{AFC} = \text{TFC}/Q = 60/2 = 30$. Fixed cost does not change with output.

CE-158 C. $\text{ATC} = \text{TC}/Q = 168/4 = 42$.

CE-159 D. $\text{AVC} = \text{TVC}/Q = 72/3 = 24$.

CE-160 B. MC of the 4th unit is $\text{TC}(4) - \text{TC}(3) = 168 - 132 = 36$.

CE-161 C. $\text{AFC} = \text{TFC}/Q = 80/2 = 40$. Fixed cost does not change with output.

CE-162 D. $\text{ATC} = \text{TC}/Q = 204/4 = 51$.

CE-163 B. $\text{AVC} = \text{TVC}/Q = 84/3 = 28$.

CE-164 A. MC of the 4th unit is $TC(4) - TC(3) = 204 - 164 = 40$.

CE-165 A. $TC = TFC + TVC = 80 + 180 = 260$.

CE-166 B. $HHI = 2500 + 400 + 100 + 100 + 25 + 25 = 3150$. Squaring gives extra weight to larger firms, unlike CR4 which is 90.

CE-167 C. $HHI = 1600 + 625 + 225 + 100 + 25 + 25 = 2600$. Squaring gives extra weight to larger firms, unlike CR4 which is 90.

CE-168 D. $HHI = 900 + 400 + 400 + 225 + 100 + 25 = 2050$. Squaring gives extra weight to larger firms, unlike CR4 which is 85.

CE-169 B. Marginal cost stays at or below EC\$20 up to 3 units and is higher after that. AVC at 3 units is EC\$14, which is below price, so the firm covers variable cost.

CE-170 D. Total revenue is $EC\$30 \times 4 = EC\120 . Total cost is $EC\$15 + EC\$48 = EC\$63$. Economic profit is EC\$57. At this output AVC is EC\$12 and marginal cost of the unit is EC\$18.

CE-171 C. The Gini coefficient runs from 0, perfect equality, toward 1, or 100 if expressed as a percentage, for perfect inequality. This item does not ask for a calculation.

CE-172 A. Means-testing targets the poor. A high withdrawal rate as earnings rise acts like a high marginal tax and can create a poverty trap.

CE-173 B. People below the line are classified as poor. An absolute line is a fixed real basket. A relative line is often a fraction of median income.

CE-174 A. Progressive means the average tax rate rises with income. A constant average rate is proportional. A falling average rate is regressive.

CE-175 C. Absolute poverty uses a fixed threshold, such as the cost of a basic basket of food, clothing and shelter. It does not depend on how rich other people are.

CE-176 C. Two societies can have different views about whether a gap in results is acceptable if the starting chances were equal. The syllabus distinction is between the chances people have and the incomes they end up with.

CE-177 B. The diagonal means each share of households receives the same share of income. The further the Lorenz curve bows away, the more unequal the distribution.

CE-178 D. Relative poverty depends on the distribution. A household can meet basic needs and still be relatively poor if its income is far below the median.

CE-179 A. Functional distribution classifies income by the factor that earns it. Size distribution classifies it by people or households.

CE-180 A. Size distribution answers who receives income, from richest to poorest, rather than which factor earned it.

CE-181 C. The workers who remain employed gain. Workers who become unemployed lose wage income. The net effect on poverty is therefore not guaranteed.

CE-182 D. Even a flat rate on spending can be regressive if poorer households spend a larger fraction of income. The average tax rate then falls as income rises.

CE-183 A. Transfers raise the disposable income of people at the bottom. They are a direct tool of poverty alleviation and redistribution.

CE-184 C. A higher Gini coefficient means a more unequal size distribution. No formula needs to be evaluated to rank the two figures.

CE-185 D. Education is both a merit good and a way of widening access to better-paid work. The effect on inequality is long run, through earning power.

CE-186 B. If jobs move to the poor region, local labour demand rises. That can narrow regional income gaps, though it has a cost and may not succeed if firms do not come.

CE-187 D. Functional distribution is the split of income among factors. A move from profit toward wages is a change in that split, even before we know how households are affected.

CE-188 A. Households without work, or with only low-paid work, are more likely to fall below a poverty line. Equality would not itself be a cause of poverty.

CE-189 D. Growth can lift people above a fixed poverty line while the gap between rich and poor widens. Absolute and relative poverty therefore need not move together.

CE-190 C. Tax-and-transfer policy changes disposable incomes across households. The other policies are macroeconomic instruments with different primary targets.

CE-191 B. The wage is the marginal cost of labour to a competitive employer. Profit rises by hiring while MRP exceeds that cost.

CE-192 B. Monopsony power is on the buying side. Monopoly power is on the selling side. A firm can have one without the other.

CE-193 A. Because the supply of labour slopes upward, hiring one more worker raises the wage paid to all, so the marginal cost of labour is above the wage. The monopsonist equates that marginal cost with MRP and pays only the supply-curve wage, which is below MRP.

CE-194 D. Economic rent is a surplus. It can be earned by any factor whose supply is less than perfectly elastic, not only by land.

CE-195 A. MRP is the extra revenue from hiring one more worker. It equals MPP times MR. Only in perfect product-market competition does MR equal price.

CE-196 D. In the short run some factors cannot leave, so their earnings contain a temporary surplus. In the long run that surplus can be competed away. Permanent rent applies when supply stays fixed.

CE-197 C. With other factors fixed, extra workers add less output. MRP therefore falls, and the firm hires more workers only at a lower wage.

CE-198 A. Firms hire labour only because consumers demand the product. If product demand rises, the demand for the labour that makes it rises.

CE-199 A. Land receives rent, labour wages, capital interest, and enterprise profit.

CE-200 D. The substitution toward work, and entry from other occupations, typically make the supply curve of an occupation slope upward. A backward-bending supply of hours for one person is a separate possibility and is not the usual market supply curve.

CE-201 C. Transfer earnings compensate the factor for not moving to its next best use. Payment above that is economic rent.

CE-202 C. VMP multiplies marginal product by price. MRP multiplies it by marginal revenue. They coincide only when the product market is perfectly competitive.

CE-203 B. If the factor is supplied whatever the payment, taxing the surplus does not change the quantity offered. The same tax on transfer earnings could drive the factor away.

CE-204 D. A rightward shift of labour supply moves the market down the demand curve: a lower wage and higher employment.

CE-205 D. The monopsony outcome is inside the competitive employment level, and the wage is read from supply, below the competitive wage.

CE-206 A. Labour demand is derived from product demand. Lower product price or lower sales reduce MRP, so firms hire fewer workers at each wage.

CE-207 D. $MRP = MPP \times \text{price}$ in this product market. A higher product price raises MRP at each employment level, which is a higher demand for labour.

CE-208 A. If the factor would be supplied even at a zero price, transfer earnings are zero and every dollar received is economic rent.

CE-209 C. Perfectly elastic supply means the factor is available at that payment and would leave if paid less. There is no surplus, so the payment is all transfer earnings.

CE-210 C. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 7 \times 5 = \text{EC\$}35$.

CE-211 D. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 4 \times 12 = \text{EC\$}48$.

CE-212 D. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 5 \times 8 = \text{EC\$}40$.

CE-213 A. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 6 \times 10 = \text{EC\$}60$.

CE-214 B. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 3 \times 20 = \text{EC\$}60$.

CE-215 A. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 8 \times 6 = \text{EC\$}48$.

CE-216 C. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 4 \times 9 = \text{EC\$}36$.

CE-217 A. Under perfect competition in the product market, $MRP = MPP \times \text{price} = 2 \times 15 = \text{EC\$}30$.

CE-218 D. Economic rent = actual earnings - transfer earnings = $\text{EC\$}900 - \text{EC\$}600 = \text{EC\$}300$. The surplus over the minimum required payment is economic rent.

CE-219 D. Economic rent = actual earnings - transfer earnings = $\text{EC\$}1200 - \text{EC\$}400 = \text{EC\$}800$. The surplus over the minimum required payment is economic rent.

CE-220 C. Economic rent = actual earnings - transfer earnings = $\text{EC\$}2500 - \text{EC\$}1800 = \text{EC\$}700$. The surplus over the minimum required payment is economic rent.

CE-221 C. Economic rent = actual earnings - transfer earnings = $\text{EC\$}300 - \text{EC\$}200 = \text{EC\$}100$. The surplus over the minimum required payment is economic rent.

CE-222 C. Economic rent = actual earnings - transfer earnings = $\text{EC\$}1500 - \text{EC\$}1100 = \text{EC\$}400$. The surplus over the minimum required payment is economic rent.

CE-223 A. Economic rent = actual earnings - transfer earnings = $\text{EC\$}700 - \text{EC\$}700 = \text{EC\$}0$. All of the payment is transfer earnings, so economic rent is zero.

CE-224 A. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is $\text{EC\$}35$ and the wage is $\text{EC\$}30$.

CE-225 A. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is $\text{EC\$}48$ and the wage is $\text{EC\$}40$.

CE-226 D. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is $\text{EC\$}40$ and the wage is $\text{EC\$}50$.

CE-227 D. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is $\text{EC\$}60$ and the wage is $\text{EC\$}70$.

CE-228 A. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is $\text{EC\$}60$ and the wage is $\text{EC\$}50$.

CE-229 C. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is EC\$48 and the wage is EC\$40.

CE-230 A. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is EC\$36 and the wage is EC\$30.

CE-231 B. A competitive employer hires an extra worker when MRP exceeds the wage. Here MRP is EC\$30 and the wage is EC\$40.

CE-232 D. An employers' association is the employers' side of collective bargaining. A union is the workers' side and seeks higher wages or better conditions.

CE-233 A. Schooling and training are investments in human capital. They raise MPP and therefore MRP, which raises the wage firms are willing to pay.

CE-234 B. If nurses cannot become engineers overnight, their labour markets are separated and wages can differ for long periods.

CE-235 C. Occupational mobility depends on skills, qualifications and training time. Geographical mobility is the ability to move between places.

CE-236 D. Workers care about what the wage buys. The real wage is the money wage divided by a price index, or otherwise adjusted for inflation.

CE-237 C. The topic is why wages are not equal: different jobs, skills, regions and market structures pay different rates.

CE-238 C. Unions, minimum wages, employers' associations and government employment rules are labour-market institutions. The other pairs belong to other parts of the syllabus.

CE-239 C. A higher wage on a downward-sloping demand curve reduces the quantity of labour demanded, unless the union also raises productivity or the employer is a monopolist.

CE-240 B. Bilateral monopoly means one seller of labour, the union, faces one buyer, the monopsony. The wage is indeterminate between limits and depends on bargaining.

CE-241 B. Compensating differentials pay workers extra to accept unpleasant, risky or inconvenient conditions.

CE-242 B. At a wage above equilibrium, quantity supplied of labour exceeds quantity demanded. That gap is unemployment in this market.

CE-243 C. The minimum wage can become the marginal cost of labour over a range, so the monopsonist hires more workers than at the unrestricted monopsony outcome, up to the competitive employment level.

CE-244 C. Long training limits supply, and the value of the extra output is high. Both raise the wage relative to jobs with lower MRP and easier entry.

CE-245 A. If productivity is the same, a pay gap caused by prejudice or exclusion is discrimination, not a compensating or productivity differential.

CE-246 C. If workers cannot or will not move, regional supply and demand can keep wages apart. Perfect mobility would arbitrage the gap away.

CE-247 B. Wage bill = $32 \times \text{EC\$}950 = \text{EC\$}30400$.

CE-248 B. Wage bill = $15 \times \text{EC\$}2000 = \text{EC\$}30000$.

CE-249 D. Wage bill = $25 \times \text{EC\$}1200 = \text{EC\$}30000$.

CE-250 A. Wage bill = $40 \times \text{EC\$}800 = \text{EC\$}32000$.

CE-251 B. With spare capacity and sticky wages, changes in aggregate demand change real output, not only prices.

CE-252 C. When equilibrium income is below full employment, there is a deflationary, or recessionary, gap. An inflationary gap is the opposite: demand above full-employment output.

CE-253 B. In a liquidity trap, extra money is held idle. Monetary policy cannot cut the interest rate, so Keynesians look to fiscal policy.

CE-254 B. The gap is excess demand. Contractionary fiscal or monetary policy can remove it. A deflationary gap is closed by raising demand.

CE-255 D. Even at zero income the consumption function has an intercept, financed by past saving or borrowing. Induced consumption is the part that depends on income.

CE-256 A. An extra dollar of disposable income is either consumed or saved, so $MPC + MPS = 1$.

CE-257 B. b is the slope, ΔC over ΔY . Autonomous consumption is a . APC is C/Y and falls as Y rises when a is positive.

CE-258 A. The spending raises income directly. The tax reduces consumption by MPC times the tax, not by the whole tax. The net multiplier on an equal rise in G and T is 1. This item asks for the concept, not a numerical calculation.

CE-259 C. The 45-degree line shows points where planned spending equals income. Their intersection with aggregate demand is equilibrium output.

CE-260 B. For one household, saving more is possible if income is given. For the economy, less consumption lowers income, and saving, which depends on income, may not increase.

CE-261 B. $APC = a/Y + b$. As Y increases, a/Y shrinks, so APC falls toward b , the MPC .

CE-262 B. The problem is deficient demand. Raising injections, or reducing withdrawals, multiplies through to higher output and employment when resources are idle.

CE-263 D. People hold money for transactions, precaution and speculation. The speculative demand falls as the interest rate rises, which is why money demand slopes downward against the interest rate.

CE-264 D. Imports are a withdrawal. The more of each extra dollar that is spent abroad, the less remains to generate further domestic income.

CE-265 A. Autonomous spending is $200 + 50 + 70 + 40 - 20 = 340$. $Y = 340 / (1 - 0.6) = 850$. Check: $C = 200 + 0.6 \times 850 = 710$, and $C + I + G + X - M = 850$.

CE-266 C. $C = 40 + 0.9 \times 800 = 760$. $APC = C/Y = 0.95$. MPC is the slope, 0.9, which is not the same as APC when there is autonomous consumption.

CE-267 D. Autonomous spending is $80 + 40 + 60 + 20 - 10 = 190$. $Y = 190 / (1 - 0.5) = 380$. Check: $C = 80 + 0.5 \times 380 = 270$, and $C + I + G + X - M = 380$.

CE-268 B. $C = 80 + 0.5 \times 200 = 180$. $APC = C/Y = 0.9$. MPC is the slope, 0.5, which is not the same as APC when there is autonomous consumption.

CE-269 C. Autonomous spending is $50 + 30 + 40 + 20 - 15 = 125$. $Y = 125 / (1 - 0.75) = 500$. Check: $C = 50 + 0.75 \times 500 = 425$, and $C + I + G + X - M = 500$.

CE-270 A. $C = 50 + 0.75 \times 500 = 425$. $APC = C/Y = 0.85$. MPC is the slope, 0.75, which is not the same as APC when there is autonomous consumption.

CE-271 C. Autonomous spending is $100 + 40 + 50 + 30 - 20 = 200$. $Y = 200 / (1 - 0.8) = 1000$. Check: $C = 100 + 0.8 \times 1000 = 900$, and $C + I + G + X - M = 1000$.

- CE-272 B.** $C = 100 + 0.8 \times 500 = 500$. $APC = C/Y = 1$. MPC is the slope, 0.8, which is not the same as APC when there is autonomous consumption.
- CE-273 A.** The multiplier is $1 / (1 - 0.6) = 1 / 0.4 = 2.5$. It is not $1/MPC$.
- CE-274 B.** The multiplier is $1 / (1 - 0.5) = 1 / 0.5 = 2$. It is not $1/MPC$.
- CE-275 B.** The multiplier is $1 / (1 - 0.75) = 1 / 0.25 = 4$. It is not $1/MPC$.
- CE-276 D.** The multiplier is $1 / (1 - 0.8) = 1 / 0.2 = 5$. It is not $1/MPC$.
- CE-277 A.** Change in income = multiplier $\times$ injection = $2.5 \times 15 = 37.5$.
- CE-278 D.** Change in income = multiplier $\times$ injection = $2 \times 40 = 80$.
- CE-279 A.** Change in income = multiplier $\times$ injection = $4 \times 20 = 80$.
- CE-280 D.** Change in income = multiplier $\times$ injection = $5 \times 10 = 50$.
- CE-281 C.** Classical models rely on flexible markets to clear labour, goods and loanable funds at full employment.
- CE-282 A.** If the real wage can fall, the quantity of labour demanded rises until everyone who wants work at that wage is employed. Remaining unemployment is frictional or a choice not to work at the going wage.
- CE-283 D.** At full employment, extra public borrowing competes for funds, the interest rate rises, and private investment falls. The net rise in demand is then smaller.
- CE-284 D.** With flexible wages, output is pinned at full employment. A rise in aggregate demand raises the price level rather than real output in the long run.
- CE-285 C.** Producing goods generates the incomes with which those goods are bought, so a general glut of goods is ruled out in the strict Classical story.
- CE-286 B.** The policy difference follows from the assumption about wage and price flexibility. Keynesian under-employment equilibrium is possible when wages do not fall.
- CE-287 A.** Because the curve is vertical, each price level is associated with the same full-employment output.
- CE-288 D.** Long-run supply shifts when potential output changes. A monetary expansion shifts aggregate demand and, in this model, changes prices rather than potential output.
- CE-289 A.** Flexible interest rates equate planned saving and planned investment. Extra saving pushes the interest rate down and encourages investment.
- CE-290 B.** The quantity theory, $MV = PY$, with V and Y fixed, implies that P moves in proportion to M .
- CE-291 B.** Buying an existing financial asset only transfers ownership. Investment in this module is the creation of real capital.
- CE-292 D.** Gross investment equals net investment plus replacement of worn-out capital. Net investment is the addition to the capital stock.
- CE-293 C.** If firms want a stock of capital in proportion to output, they invest when output is rising. If the growth of output slows, investment can fall even while output is still high.
- CE-294 C.** MEC is a stock concept: the return expected from one more machine. It is compared with the interest rate. MEI is the related flow of investment spending.
- CE-295 B.** A change in the interest rate is a movement along the MEI schedule. Expectations, technical progress and capital-goods prices shift it.

CE-296 C. The interest rate is the opportunity cost of funds. A project whose expected return exceeds that cost adds to profit.

CE-297 B. More projects now have a return above the lower cost of borrowing, so planned investment increases. That is a movement along the schedule.

CE-298 D. The accelerator ties investment to the change in output. A smaller increase in output requires a smaller addition to the capital stock, so investment drops.

CE-299 B. Better expectations raise the return at each interest rate, which is a shift. A higher interest rate is a movement up the existing schedule and lower investment.

CE-300 A. Personal income is received by households. Disposable income is what remains after personal taxes. It is the income behind consumption and saving.

CE-301 C. GDP is territorial. GNP adds net property income from abroad, so it follows nationally owned factors.

CE-302 B. Households own the factors. Firms hire those factors, pay incomes, and sell output back to households.

CE-303 C. Depreciation is the using-up of the capital stock. Subtracting it from GNP moves from a gross measure to a net measure of national income.

CE-304 D. Nominal GDP is valued at current prices. Real GDP uses constant prices, so it changes only when quantities change.

CE-305 D. Per capita income is an average. It says nothing by itself about how equally that income is distributed.

CE-306 D. Injections are spending that does not come from current household consumption: I, G and X. Withdrawals are S, T and M.

CE-307 C. Saving, taxes and imports leak income out of the domestic spending flow. Equilibrium can be stated as injections equal to withdrawals.

CE-308 C. An average can rise while the median household gains nothing. GDP also omits unpaid work, leisure and environmental damage.

CE-309 B. GDP counts final goods, or the value added at each stage, not the intermediate good and the final good as well.

CE-310 B. Profits paid to foreign owners are net property income paid abroad, so net property income from abroad is negative and GNP is below GDP.

CE-311 D. Transfer payments are not payments for current output. Including them would double-count income that is counted when households spend. Teacher salaries and road building are purchases of output.

CE-312 D. Factor cost removes indirect taxes and adds subsidies: $800 - 100 + 25 = 725$.

CE-313 D. Factor cost removes indirect taxes and adds subsidies: $640 - 40 + 10 = 610$.

CE-314 C. Factor cost removes indirect taxes and adds subsidies: $1200 - 150 + 30 = 1080$.

CE-315 D. Factor cost removes indirect taxes and adds subsidies: $900 - 70 + 20 = 850$.

CE-316 C. Factor cost removes indirect taxes and adds subsidies: $450 - 60 + 10 = 400$.

CE-317 B. $\text{GNP} = 960 + (25) = 985$. Net income from abroad makes GNP larger than GDP.

CE-318 B. $\text{GNP} = 420 + (-15) = 405$. Repatriated profits make GNP smaller than GDP.

- CE-319 D.** $\text{GNP} = 1500 + (60) = 1560$. Net income from abroad makes GNP larger than GDP.
- CE-320 A.** $\text{GNP} = 800 + (-40) = 760$. Repatriated profits make GNP smaller than GDP.
- CE-321 D.** $\text{GNP} = 300 + (-20) = 280$. Repatriated profits make GNP smaller than GDP.
- CE-322 B.** With the definition given in the stem, net national income $= 985 - 40 = 945$.
- CE-323 B.** With the definition given in the stem, net national income $= 405 - 30 = 375$.
- CE-324 B.** With the definition given in the stem, net national income $= 1560 - 80 = 1480$.
- CE-325 C.** With the definition given in the stem, net national income $= 760 - 50 = 710$.
- CE-326 A.** With the definition given in the stem, net national income $= 280 - 20 = 260$.
- CE-327 B.** $\text{GDP} = 600 + 180 + 260 + (200 - 240) = 1000$. Imports are subtracted, not added.
- CE-328 A.** $\text{GDP} = 250 + 90 + 140 + (60 - 40) = 500$. Imports are subtracted, not added.
- CE-329 A.** $\text{GDP} = 800 + 220 + 300 + (250 - 170) = 1400$. Imports are subtracted, not added.
- CE-330 D.** $\text{GDP} = 400 + 150 + 200 + (120 - 80) = 790$. Imports are subtracted, not added.
- CE-331 D.** $\text{GDP} = 150 + 70 + 80 + (40 - 30) = 310$. Imports are subtracted, not added.
- CE-332 A.** $\text{Real GDP} = 990 / 110 \times 100 = 900$. Forgetting to multiply by 100 is a common error.
- CE-333 A.** $\text{Real GDP} = 600 / 120 \times 100 = 500$. Forgetting to multiply by 100 is a common error.
- CE-334 C.** $\text{Real GDP} = 1500 / 125 \times 100 = 1200$. Forgetting to multiply by 100 is a common error.
- CE-335 A.** $\text{Real GDP} = 840 / 105 \times 100 = 800$. Forgetting to multiply by 100 is a common error.
- CE-336 D.** The cyclical deficit appears because revenue falls and benefits rise in a downturn. The structural deficit is the underlying stance of the budget.
- CE-337 A.** In a boom, income-tax revenue rises and unemployment benefits fall, which withdraws spending. In a slump the opposite happens.
- CE-338 A.** Roads, ports or a more secure outlook can complement private projects. Crowding out is the opposite interest-rate or resource effect.
- CE-339 C.** The budget is the fiscal instrument. Monetary policy uses the money supply and interest rates.
- CE-340 D.** Contractionary fiscal policy reduces aggregate demand. Expansion would widen an inflationary gap.
- CE-341 B.** The budget moves toward surplus, or a smaller deficit, without anyone voting a new tax. That leakage slows the rise in disposable income.
- CE-342 B.** With little spare capacity and a fixed money supply, extra borrowing pushes up interest rates. In a liquidity trap or a deep slump, that channel is weak.
- CE-343 A.** Borrowing during a year is a flow. The national debt is the stock that results from past borrowing that has not been repaid.
- CE-344 C.** Lower taxes or higher spending raise aggregate demand. Higher taxes or lower spending are contractionary.
- CE-345 C.** Recognition, decision and implementation lags mean a stimulus can arrive after the recession has already turned.
- CE-346 D.** Spending that counts here is $420 + 60 = 480$. Balance $= 400 - 480 = -80$. A negative balance is a deficit.

CE-347 B. Spending that counts here is $180 + 20 = 200$. Balance = $250 - 200 = 50$. A positive balance is a surplus.

CE-348 A. Spending that counts here is $500 + 80 = 580$. Balance = $500 - 580 = -80$. A negative balance is a deficit.

CE-349 A. Spending that counts here is $300 + 40 = 340$. Balance = $260 - 340 = -80$. A negative balance is a deficit.

CE-350 A. Repos and reverse repos let the central bank add or withdraw reserves for a short period. The repo rate is a policy interest rate.

CE-351 B. With V and Y fixed, P must move with M . Keynesians dispute the assumption that V is stable.

CE-352 B. Narrow money is the assets used most readily as a means of payment. Broader measures such as $M2$ add savings and time deposits.

CE-353 B. Suasion is informal pressure rather than a change in reserves or a posted rate. It is one of the instruments listed with open-market operations, reserve ratios and interest rates.

CE-354 D. At a high interest rate, bonds are attractive and the opportunity cost of holding money is high, so speculative balances are small. At a low rate, people hold money rather than bonds that may fall in price.

CE-355 A. The base, sometimes called high-powered money or $M0$, is what the banking system multiplies into a larger money supply.

CE-356 B. More income means more spending, so households and firms hold more money for transactions. The speculative demand, by contrast, depends on the interest rate.

CE-357 A. Money is used to buy goods, to hold wealth, to quote prices, and to state debts that are paid later.

CE-358 B. A higher reserve ratio lowers the deposit multiplier and forces banks to hold more reserves, so lending capacity falls.

CE-359 C. The simple multiplier assumes banks lend out everything above required reserves and that the public does not drain cash. Excess reserves and a cash drain both reduce the expansion.

CE-360 C. If money demand is perfectly elastic, buying bonds does not reduce the interest rate, so investment does not rise.

CE-361 A. When the central bank pays for securities, commercial-bank reserves increase. Banks can then expand loans. Selling securities does the opposite.

CE-362 B. A higher penalty rate makes it more expensive for banks to be short of reserves, so they lend more cautiously.

CE-363 C. Sales of securities drain reserves. Purchases, a lower reserve ratio and a lower bank rate are expansionary.

CE-364 D. The deposit multiplier is $1/0.2 = 5$. Maximum deposits including the original deposit are $\text{EC\$}1000 \times 5 = \text{EC\$}5000$. New loans alone would be $\text{EC\$}4000$; excess reserves on the first deposit are $\text{EC\$}800$.

CE-365 C. The deposit multiplier is $1/0.1 = 10$. Maximum deposits including the original deposit are $\text{EC\$}2000 \times 10 = \text{EC\$}20000$. New loans alone would be $\text{EC\$}18000$; excess reserves on the first deposit are $\text{EC\$}1800$.

CE-366 C. The deposit multiplier is $1/0.12 = 8$. Maximum deposits including the original deposit are $\text{EC}\$400 \times 8 = \text{EC}\3200 . New loans alone would be $\text{EC}\$2800$; excess reserves on the first deposit are $\text{EC}\$350$.

CE-367 D. The deposit multiplier is $1/0.25 = 4$. Maximum deposits including the original deposit are $\text{EC}\$500 \times 4 = \text{EC}\2000 . New loans alone would be $\text{EC}\$1500$; excess reserves on the first deposit are $\text{EC}\$375$.

CE-368 A. The deposit multiplier is $1/0.2 = 5$. Maximum deposits including the original deposit are $\text{EC}\$800 \times 5 = \text{EC}\4000 . New loans alone would be $\text{EC}\$3200$; excess reserves on the first deposit are $\text{EC}\$640$.

CE-369 A. Approximate real rate $= 8 - 3 = 5$ percent. Subtract inflation from the nominal rate. Do not add the two rates.

CE-370 C. Approximate real rate $= 6 - 2 = 4$ percent. Subtract inflation from the nominal rate. Do not add the two rates.

CE-371 D. Approximate real rate $= 12 - 7 = 5$ percent. Subtract inflation from the nominal rate. Do not add the two rates.

CE-372 B. Approximate real rate $= 9 - 4 = 5$ percent. Subtract inflation from the nominal rate. Do not add the two rates.

CE-373 C. Approximate real rate $= 15 - 5 = 10$ percent. Subtract inflation from the nominal rate. Do not add the two rates.

CE-374 A. $Y = MV/P = 250 \times 4 / 2 = 500$. PY is nominal output, so output is found by dividing MV by P.

CE-375 C. $Y = MV/P = 100 \times 8 / 4 = 200$. PY is nominal output, so output is found by dividing MV by P.

CE-376 D. $Y = MV/P = 500 \times 3 / 5 = 300$. PY is nominal output, so output is found by dividing MV by P.

CE-377 A. $Y = MV/P = 200 \times 4 / 2 = 400$. PY is nominal output, so output is found by dividing MV by P.

CE-378 A. $Y = MV/P = 80 \times 5 / 2 = 200$. PY is nominal output, so output is found by dividing MV by P.

CE-379 D. Debt service divided by exports shows the foreign-exchange burden. A high ratio leaves less foreign exchange for imports of fuel, food and capital goods.

CE-380 B. External debt service is a real transfer abroad. Internal debt is mainly a transfer among residents, though taxes that pay the interest can still distort incentives.

CE-381 C. A deficit is the flow added during the year. The debt is the accumulated stock.

CE-382 D. The deficit is new borrowing. Unless it is financed in a way that does not create a liability, the stock of debt rises.

CE-383 A. Unexpected inflation erodes the real value of money debts. If the debt is indexed, or if lenders raise the nominal interest rate fully, that erosion is prevented.

CE-384 A. Internal interest is a transfer inside the country. External service is a leakage of foreign exchange. Both can still displace other public spending.

CE-385 A. Rolling over debt changes its timing or its interest rate. It is not the same as repaying the debt from a surplus.

- CE-386 D.** A larger export base, concessional refinancing, or faster growth of the capacity to pay can reduce the burden. New borrowing that only rolls up interest does not remove it.
- CE-387 B.** Debt service is $40 + 20 = 60$. The ratio is $60/400 \times 100 = 15$ percent.
- CE-388 D.** Debt service is $12 + 8 = 20$. The ratio is $20/80 \times 100 = 25$ percent.
- CE-389 D.** Debt service is $45 + 15 = 60$. The ratio is $60/300 \times 100 = 20$ percent.
- CE-390 A.** Debt service is $30 + 20 = 50$. The ratio is $50/200 \times 100 = 25$ percent.
- CE-391 B.** Higher costs push the price level up and can reduce real output at the same time.
- CE-392 D.** Too much spending chasing limited output pulls prices up. Cost-push inflation comes from the supply side.
- CE-393 B.** If the wage cannot fall, quantity of labour supplied exceeds quantity demanded. That unemployment is not the Keynesian demand-deficient type.
- CE-394 B.** A supply shock can raise prices and cut output, so unemployment and inflation increase at the same time. That is not a move along a stable downward-sloping Phillips curve.
- CE-395 B.** To be unemployed a person must be out of work and actively seeking work, or otherwise meet the survey definition. Others of working age are outside the labour force.
- CE-396 B.** Even at 'full' employment, search and mismatch remain. Cyclical unemployment is the part that disappears when demand is strong.
- CE-397 B.** Lower unemployment was associated with higher inflation along the original Phillips curve. The relationship is a short-run trade-off, not a law that holds once expectations adjust.
- CE-398 D.** A person can be counted as employed and still be underemployed. The unemployment rate misses that slack. It is sometimes called hidden unemployment when people are not in the measured unemployed.
- CE-399 B.** Frictional unemployment is short-term search while moving between jobs or into the labour force. It exists even when there are vacancies.
- CE-400 D.** Discouraged workers are not seeking work, so they are not unemployed. The unemployment rate then understates spare labour.
- CE-401 A.** Imported inflation is especially important for Caribbean economies because a large share of consumption and inputs is imported.
- CE-402 C.** Structural unemployment is a mismatch of skills or location after the pattern of demand or technology changes. It is not cured quickly by a general rise in spending.
- CE-403 A.** Seasonal unemployment follows a regular calendar pattern in agriculture, tourism or fishing.
- CE-404 B.** Cyclical unemployment rises when aggregate demand falls in a downturn and falls when demand recovers.
- CE-405 D.** If inflation comes from abroad or from domestic costs, cutting demand to slow prices raises unemployment and may not stop the imported part of inflation quickly.
- CE-406 D.** Participation = $70000/100000 \times 100 = 70$ percent. People of working age who are not in the labour force are not counted as unemployed.
- CE-407 D.** Labour force = $56000 + 14000 = 70000$. Unemployment rate = $14000/70000 \times 100 = 20$ percent.
- CE-408 B.** Participation = $40000/50000 \times 100 = 80$ percent. People of working age who are not in the labour force are not counted as unemployed.

- CE-409 C.** Labour force = $38000 + 2000 = 40000$. Unemployment rate = $2000/40000 \times 100 = 5$ percent.
- CE-410 C.** Participation = $50000/80000 \times 100 = 62.5$ percent. People of working age who are not in the labour force are not counted as unemployed.
- CE-411 B.** Labour force = $45000 + 5000 = 50000$. Unemployment rate = $5000/50000 \times 100 = 10$ percent.
- CE-412 A.** Participation = $80000/100000 \times 100 = 80$ percent. People of working age who are not in the labour force are not counted as unemployed.
- CE-413 A.** Labour force = $72000 + 8000 = 80000$. Unemployment rate = $8000/80000 \times 100 = 10$ percent.
- CE-414 C.** Participation = $30000/40000 \times 100 = 75$ percent. People of working age who are not in the labour force are not counted as unemployed.
- CE-415 C.** Labour force = $24600 + 5400 = 30000$. Unemployment rate = $5400/30000 \times 100 = 18$ percent.
- CE-416 C.** Inflation = $(96 - 80) / 80 \times 100 = 20$ percent. The base of the percentage is the old index, not the new one.
- CE-417 C.** Inflation = $(165 - 150) / 150 \times 100 = 10$ percent. The base of the percentage is the old index, not the new one.
- CE-418 C.** Inflation = $(130 - 125) / 125 \times 100 = 4$ percent. The base of the percentage is the old index, not the new one.
- CE-419 D.** Inflation = $(126 - 120) / 120 \times 100 = 5$ percent. The base of the percentage is the old index, not the new one.
- CE-420 B.** Inflation = $(210 - 200) / 200 \times 100 = 5$ percent. The base of the percentage is the old index, not the new one.
- CE-421 C.** A managed, or dirty, float sits between a pure float and a hard peg.
- CE-422 D.** Depreciation is the market fall under floating rates. Devaluation is the policy step under a peg. Revaluation and appreciation are the upward counterparts.
- CE-423 D.** Devaluation or depreciation, and tariffs, are switching instruments. Higher taxes or interest rates that cut absorption are reducing instruments.
- CE-424 C.** FDI is a capital flow that buys a lasting stake. It is not an export of a good, so it is not a current-account item.
- CE-425 D.** If quantities hardly respond, the fall in export prices worsens the account. Enough elasticity of demand is needed for volumes to offset that price effect.
- CE-426 A.** Goods and services are the trade balance in the broad sense. Primary income covers investment income. Secondary income covers transfers. FDI belongs in the financial account.
- CE-427 A.** Defending a peg uses reserves. If the currency is under downward pressure, the bank sells foreign currency and buys its own.
- CE-428 B.** A stronger currency buys more foreign goods per unit. Import prices in local currency fall. Exporters find it harder to sell.
- CE-429 B.** Foreigners need fewer units of their own currency to buy the exports. That expenditure-switching effect depends on the regime being a float, so the word is depreciation, not devaluation.

CE-430 C. Foreigners need the local currency to buy the exports, so demand for that currency rises and it appreciates if the rate floats.

CE-431 B. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 2.4 \times 60 = \text{EC\$144}$. Fewer EC dollars are needed, so the EC dollar has appreciated against the US dollar if the rate is floating.

CE-432 A. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 3.2 \times 50 = \text{EC\$160}$. Fewer EC dollars are needed, so the EC dollar has appreciated against the US dollar if the rate is floating.

CE-433 C. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 1.5 \times 80 = \text{EC\$120}$. More EC dollars are needed, so the EC dollar has depreciated against the US dollar if the rate is floating.

CE-434 D. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 2.9 \times 200 = \text{EC\$580}$. More EC dollars are needed, so the EC dollar has depreciated against the US dollar if the rate is floating.

CE-435 D. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 2.5 \times 100 = \text{EC\$250}$. Fewer EC dollars are needed, so the EC dollar has appreciated against the US dollar if the rate is floating.

CE-436 C. $\text{Cost} = \text{exchange rate} \times \text{US dollar amount} = 2.75 \times 40 = \text{EC\$110}$. More EC dollars are needed, so the EC dollar has depreciated against the US dollar if the rate is floating.

CE-437 A. $\text{Current account} = 5 + (-12) + (-3) + (2) = -8$. A negative result is a current-account deficit.

CE-438 D. $\text{Current account} = 10 + (10) + (-4) + (-2) = 14$. A negative result is a current-account deficit.

CE-439 C. $\text{Current account} = -15 + (30) + (-8) + (3) = 10$. A negative result is a current-account deficit.

CE-440 A. $\text{Current account} = 20 + (-5) + (4) + (-6) = 13$. A negative result is a current-account deficit.

CE-441 A. $\text{Current account} = -40 + (15) + (-10) + (8) = -27$. A negative result is a current-account deficit.

CE-442 D. $\text{Current account} = -60 + (25) + (5) + (10) = -20$. A negative result is a current-account deficit.

CE-443 A. Goods, services, labour and capital can move. An economic union goes further and harmonises economic policy.

CE-444 B. Members liberalise trade among themselves and apply the same tariff to the rest of the world.

CE-445 D. The absence of a common external tariff is what separates a free-trade area from a customs union.

CE-446 B. Policy coordination is the extra step. A monetary union, with one currency, is a deeper form.

CE-447 C. CSME is the deepening of CARICOM beyond a simple trade preference, toward a single market. It is not itself a world-trade institution.

CE-448 A. Trade creation is a gain. Trade diversion, the shift from a cheaper non-member to a dearer member because of the common external tariff, is a possible loss.

CE-449 D. The welfare effect of joining is the balance of creation and diversion, plus any scale or terms-of-trade effects. Diversion can dominate.

CE-450 A. The union has diverted trade from a lower-cost outsider to a higher-cost insider. That is trade diversion.

CE-451 D. Each step adds a commitment: a common external tariff, then factor mobility, then policy harmonisation.

CE-452 B. When trained workers leave, the sending country loses human capital. Remittances are a partial offset, not a full replacement for the lost skills.

CE-453 D. A country can grow and still fail to develop if health, schooling and the quality of jobs do not improve.

CE-454 C. Growth is a quantity concept, usually measured by the percentage change in real GDP. It is not the same as development.

CE-455 D. The syllabus uses Measurable Economic Welfare for a welfare-adjusted view of national income. Students are not required to compute the adjustment.

CE-456 D. The standard definition requires the path of development to be one that future generations can continue.

CE-457 C. HDI is not GDP alone. A country can rank higher in income than in human development if health or schooling lags. Calculation of the index is not required.

CE-458 D. HDI averages income with health and education. Weak social indicators pull the index down relative to income alone.

CE-459 C. Sustainability asks whether the activity can continue. Damaging the natural asset that future output depends on fails that test.

CE-460 C. Growth of potential output comes from more or better factors and from technical progress, not from inflation.

CE-461 D. Small populations, limited land, openness and natural hazards make output and export earnings volatile.

CE-462 C. $\text{Growth} = (396 - 360) / 360 \times 100 = 10$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-463 A. $\text{Growth} = (530 - 500) / 500 \times 100 = 6$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-464 C. $\text{Growth} = (840 - 800) / 800 \times 100 = 5$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-465 A. $\text{Growth} = (275 - 250) / 250 \times 100 = 10$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-466 B. $\text{Growth} = (420 - 400) / 400 \times 100 = 5$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-467 C. $\text{Growth} = (1040 - 1000) / 1000 \times 100 = 4$ percent. This is a growth rate of real output, not by itself a measure of development.

CE-468 B. Portfolio investment does not seek control. A lasting stake with influence over the enterprise is FDI, even though both are financial flows.

CE-469 A. Globalisation is the process, not a single institution. It covers goods, services, finance and ideas.

CE-470 B. The CDB is the regional counterpart, focused on Caribbean development finance, not a global trade or monetary institution.

CE-471 C. IMF resources are for external financing problems and are often tied to policy conditions. They are not the World Bank's project loans.

CE-472 C. The World Bank group lends and advises for development projects and programmes. It is not the WTO and not the IMF.

CE-473 C. The WTO is the trade-rules body. The IMF deals with balance-of-payments finance and surveillance. The World Bank finances development.

CE-474 B. There is no lasting control. Treating portfolio flows as FDI would misclassify the financial account.

CE-475 D. Openness can raise demand for local exports and bring in investment. It does not remove vulnerability to world prices or storms.

CE-476 A. Capital and demand can leave quickly, and a narrow export base transmits world prices into local income. Those are costs to set against the gains from trade and FDI.

CE-477 A. Reciprocal agreements exchange concessions. A one-way preference does not require the beneficiary to liberalise in return.

CE-478 C. A tariff raises the domestic price of the import and raises revenue. A quota limits quantity. A subsidy pays domestic producers. An embargo bans trade.

CE-479 D. Absolute advantage compares output per worker. Comparative advantage compares opportunity cost. Trade can benefit both sides when those opportunity costs differ.

CE-480 D. Specialisation moves production to the frontier. Trade then allows a consumption bundle outside the frontier that would be impossible in isolation.

CE-481 D. Trade between residents of different countries is international trade. It is recorded in the balance of payments.

CE-482 D. The argument is for temporary help. A risk is that the industry never grows up and the tariff stays, so consumers keep paying higher prices.

CE-483 C. The index is export prices relative to import prices. A rise means a given amount of exports buys more imports. That is an improvement, though the cause still has to be interpreted.

CE-484 D. The commodity terms of trade look only at prices. If fewer goods are exported, the higher price may not compensate for the lost volume.

CE-485 C. The gap between the world price and the domestic price under a quota can become profit for whoever holds the licences. A tariff collects that gap as tax.

CE-486 D. Countries sometimes protect against dumped imports. Proving dumping, and whether it harms the importing country, is a separate policy argument.

CE-487 B. Terms of trade = $200/160 \times 100 = 125$. An index above 100 means export prices are higher relative to import prices than in the base year, when the index was 100.

CE-488 B. Terms of trade = $90/75 \times 100 = 120$. An index above 100 means export prices are higher relative to import prices than in the base year, when the index was 100.

CE-489 B. Terms of trade = $150/120 \times 100 = 125$. An index above 100 means export prices are higher relative to import prices than in the base year, when the index was 100.

CE-490 A. Terms of trade = $130/130 \times 100 = 100$. An index of 100 means export and import price indexes are equal, the same relationship as the base year.

CE-491 C. Terms of trade = $105/100 \times 100 = 105$. An index above 100 means export prices are higher relative to import prices than in the base year, when the index was 100.

CE-492 A. Terms of trade = $80/100 \times 100 = 80$. An index below 100 means the terms of trade are worse than in the base year.

CE-493 C. Terms of trade $= 120/100 \times 100 = 120$. An index above 100 means export prices are higher relative to import prices than in the base year, when the index was 100.

CE-494 B. Terms of trade $= 110/125 \times 100 = 88$. An index below 100 means the terms of trade are worse than in the base year.

CE-495 C. Opportunity cost of one fish is 0.5 yams in Island A and 1 yams in Island B. Island A has the comparative advantage in fish. Island B therefore has the comparative advantage in yams. Absolute advantage in fish belongs to Island A; absolute advantage in yams belongs to Island B. Comparative advantage does not require an absolute advantage.

CE-496 D. Opportunity cost of one cloth is 0.5 rum in North Cay and 1 rum in South Cay. North Cay has the comparative advantage in cloth. South Cay therefore has the comparative advantage in rum. Absolute advantage in cloth belongs to North Cay; absolute advantage in rum belongs to North Cay. Comparative advantage does not require an absolute advantage.

CE-497 A. Absolute advantage compares output per worker, not opportunity cost. Bellecombe produces 9 cocoa and Rio Luma produces 5, so absolute advantage in cocoa is held by Bellecombe.

CE-498 B. Absolute advantage compares output per worker, not opportunity cost. Island A produces 8 fish and Island B produces 6, so absolute advantage in fish is held by Island A.

CE-499 A. Absolute advantage compares output per worker, not opportunity cost. North Cay produces 10 cloth and South Cay produces 4, so absolute advantage in cloth is held by North Cay.

CE-500 C. Absolute advantage compares output per worker, not opportunity cost. Port Elena produces 12 fish and Fortuna produces 6, so absolute advantage in fish is held by Port Elena.